

EMBRACING CHANGE

Amāna Takaful Life PLC | Annual Report 2019

EMBRACING CHANGE

Having surpassed a year in which we were challenged to create positive results, we continued our efficient strategy in which adaptability proved vital to our sustainability. Through timely decisions and solid leadership, we mitigated the risk that was posed in the year under review by identifying and catering to our customers' ever changing needs. With new products that catered to a wider range of requirements, we sought to understand their requirements and enhanced our processes in order to provide a more streamlined service.

With a new year in our grasp, we are embracing change and the opportunity that it portends.

Financial Highlights	4
Chairman's Message	6
Chief Executive Officer's Review	8
Board of Directors	10
Management Team	14

Management Discussion and Analysis

Financial Review	17
Operations Review	19
Product Portfolio	22
Human Resources	24

Stewardship

Corporate Governance	28
Enterprise Risk Management	37
Annual Report of the Board of Directors on the Affairs of the Company	44
Report of the Board Audit and Compliance Committee	47
Report of the Board Remuneration Committee	49
Report of the Related Party Transactions Review Committee	50
Report of the Shari'ah Advisory Council	51

Financial Reports

Statement of Directors' Responsibilities	54
Certificate of the Actuary - Family Takaful (Life)	55
Independent Auditors' Report	56
Statement of Financial Position	59
Statement of Comprehensive Income	60
Statement of Changes In Equity	61
Statement of Cash Flows	62
Segment Analysis - Statement of Financial Position	64
Segment Analysis - Statement of Comprehensive Income	65
Notes to the Financial Statement	66

Annexes

Value Added Statement	102
Share Information	103
Ten Year Summary	105
Geographic Locations	106
Glossary	107
Notice of Meeting	109
Notes	110
Form of Proxy	111
Corporate Information	Inner Back Cover

OUR VISION

“Committed to providing peace of mind through
World Class Takaful solutions”

OUR MISSION

“We will stand apart from the rest by engaging all stakeholders,
crafting unique insurance solutions, in a spirit of mutuality and solidarity”

OUR VALUES

Customer Centered:

Interaction with Customers.

We LISTEN to our customers and go the EXTRA MILE to SERVE them

Open Mindedness:

Changing the Status Quo, seeking new ideas.

We FOSTER a culture where IDEAS and OPINIONS are shared freely

Rise for Quality:

A culture of continuous improvement.

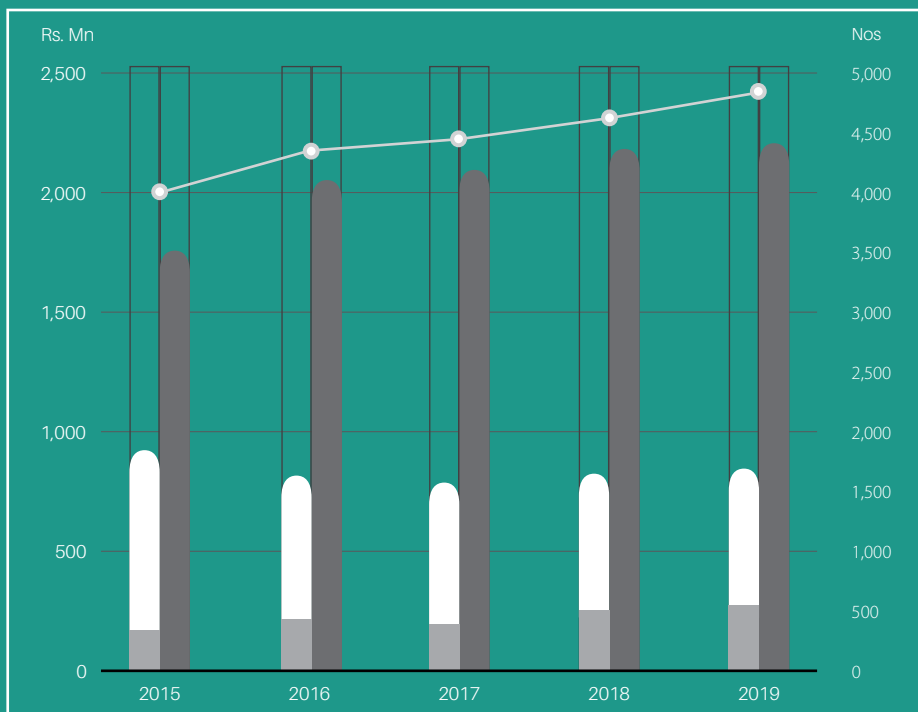
We are DRIVEN to give all stakeholders a QUALITY service

Diversity:

Our soul and spirit

We are OPEN to All

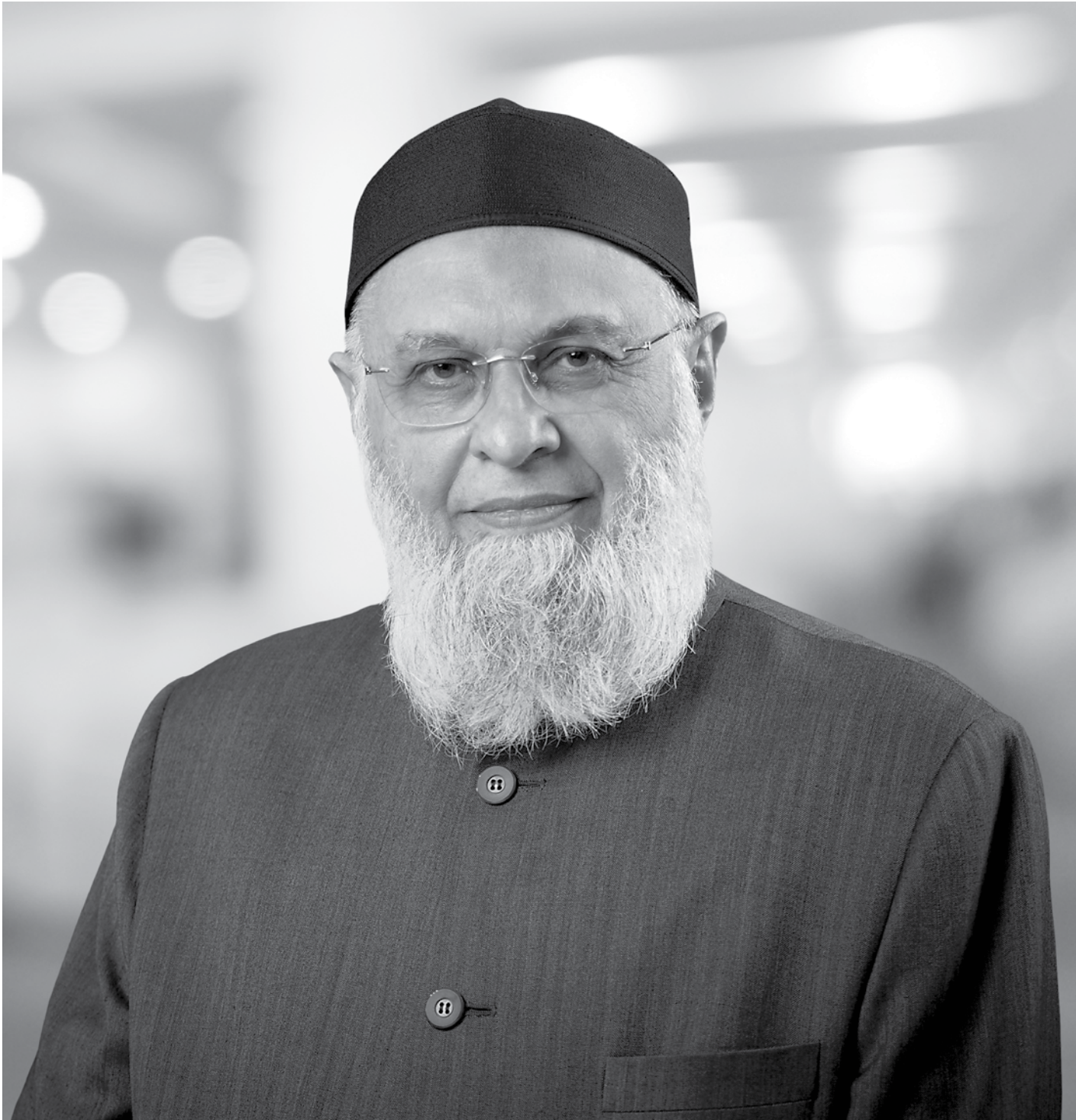
	2019 Rs. Mn	2018 Rs. Mn	Growth %
Total Gross Written Premium	851	828	2.82
Profit/(Loss) After Tax	(29)	(63)	53.76
Earnings per share (Rs.)	(0.58)	(1.26)	53.76
Financial Investments	2,533	2,496	1.45
Total Assets	2,926	2,878	1.63
Net Assets Value per Share (Rs.)	9.76	10.31	(5.40)
Return on Equity	(0.06)	(0.12)	51.12
Life (Family Takaful) Fund - Family Takaful	471	535	(11.90)
Unit Linked	1,748	1,660	5.27
Total Life (Family Takaful) Fund	2,219	2,195	1.08
No. of Employees	82	79	3.80
No. of Agents	420	353	18.98
No. of Branches/Distribution Centres	30	32	(6.25)



**Family Takaful
Contribution
2.8%**

**Contribution - New
Business
8.8%**

	2015	2016	2017	2018	2019
Family Takaful (Life)Contribution (Rs. Mn) (LHS)	928	821	729	828	851
Contribution - New Business (Rs. Mn) (LHS)	173	218	198	255	277
Life Fund ((Rs. Mn) (LHS)	1,767	2,064	2,106	2,195	2,219
No of Policies - New Business (RHS)	4,047	4,379	4,467	4,636	4,835



There are many other reasons to be pleased about as well. Over the past twenty years, we have built a solid reputation as a reliable and trustworthy life insurance partner. Our brand is widely accepted and continues to gain traction around the country.

It is my pleasure to present to you, the Annual Report and the Financial Statements of Amāna Takaful Life PLC (ATLL) for the year ended 31st December 2019. As you may be aware 2019 marks ATLL's 5th year of operation post segregation and as I look back on our journey, I find it very gratifying to see how far we have come from humble beginnings in 1999 as composite insurance company. If I am to recap a few of the key highlights: ATLL has remained the only Company in Sri Lanka dedicated to promoting life insurance solutions under the Takaful concept, which I believe puts us in a unique position that strengthens the diversity of the Country's financial system.

There are many other reasons to be pleased about as well. Over the past twenty years, we have built a solid reputation as a reliable and trustworthy life insurance partner. Our brand is widely accepted and continues to gain traction around the country. We have continued operating on sound fundamentals, to grow our life fund at a Compounded Annual Growth Rate of 26% over the past five years.

The new business generation on regular premium business for the industry was 5% and Amāna Takaful Life PLC registered a growth of 9% which is above the industry growth rate. However, the company had very ambitious plans to grow at a much higher rate which was unfortunately not to be due to the adverse environment that prevailed in the country.

Despite these setbacks however, we forged ahead with plans to enhance our position in our chosen space. Declaring 2019 to be a year of building for the future we took purposeful

action to future-proof our people and our business operations. Our main priority was to refine our strategic pillars to bring in a stronger focus on building resilience and improving our readiness for the years ahead. As part of this process, we have set in place a very clear business plan that is founded on some key deliverables. An expanded distribution footprint using multiple channels, up-grading our product portfolio to meet the changing needs of our customers and ensuring that we manage the risks of the business effectively. Your board is very clear with regards the strategic focus of the company and it will ensure that the required capital is available to fund the expansion of the business.

There was also a renewed focus on corporate governance throughout the year, with the Board spending a significant proportion of its time examining and strengthening processes. These initiatives are in line with our aim of building trust and transparency by creating a culture where employees understand their role and duties and also feel empowered to speak up and voice concerns.

Leaving 2019 behind, I look forward to the future with a clear vision. As demographic factors such as growing middle class, young insurable population and growing awareness of the need for protection and retirement planning will fuel the demand for life insurance in Sri Lanka in the coming years, I see definite potential for growing our Takaful model especially in regions outside the western province. These are the opportunities we expect to focus heavily on, as we move into the next decade of operations in 2020.

Acknowledgements

In closing, I wish to thank my colleagues on the Board for their steadfast support, commitment and conscientious stewardship of the Company at all times.

I would also like to express my gratitude to the ATLL team for their dedication and passion with which they commit to their work each and every day.

A special word of thanks also goes to our Regulators for their guidance and support. And to conclude, I thank our policyholders, customers and shareholders who are the driving force behind our business. I invite you to be a part of ATLL's journey in the coming years as well.



Osman Kassim
Chairman

20 May 2020



We have ambitious growth plans for the future.
We are looking to grow faster than the market and position Amāna Takaful Life PLC as one of the top performing long term insurance Companies in Sri Lanka.

Reflecting on the past year, I must admit it was a particularly challenging one and perhaps even one of the toughest periods for the country in recent times. Having started off the year on a positive note, it was disconcerting to witness the devastating effects of the Easter Sunday terror attacks which shook the entire nation to the core. As shock and turmoil took over, economic activity contracted in the months following the attack, which meant Sri Lanka was able to register GDP growth of only 2.3% in 2019, well below the optimistic predictions at the start of the year.

As sluggish economic activity saw disposable incomes continuing to shrink, we at Amāna Takaful Life PLC found ourselves dealing with several challenges, most notably collection pressure and our ability to canvass new business. A culmination of these factors affected the Company's performance for the 2019 financial year.

Strategic Focus

Reaching the final year of the 3 year strategic plan set out in 2016, we continued to focus on firming up the Company's position within the long term insurance market. Given the unusually low penetration levels in Sri Lanka's long term insurance industry, we believe there is a very strong case for Amāna Takaful Life to grow in this space. Admittedly while the growth opportunities are attractive, we do realise there is much work to be done to improve our readiness, mainly by strengthening our infrastructure and building the necessary operational scale to ensure Company is equipped to seize available opportunities in order to meaningfully grow its market share.

Our main priority for 2019 was to transform into a truly customer centric organisation

capable of delivering a superior customer experience that will grant us a clear competitive edge over peers. We began by rethinking how we can adapt to changing customer demographics, attitudes and behaviours, which led us to critically re-evaluate our existing product portfolio. Taking swift action we realigned several products cognisant to market demand. The existing pension plan was revamped with a series of new add-ons being incorporated while the child education product which was further enhanced and relaunched as "Adyapana Plus". To commemorate the launch "Adyapana Plus", which coincided with World Children's Day in October 2019, a special art competition was held for the children of policyholders.

Equally important we sought to increase our customer interactions. Leveraging on digital technology we launched SMS alerts and email notifications to provide our customers with regular status updates, while a new welcome call procedure and the tele underwriting process was introduced to facilitate one on one contact with new customers at the start of their journey with Amāna Takaful Life.

Shifting focus to our distribution model we continued with efforts to build a solid agency base which would systematically increase the Company's presence across Sri Lanka. After careful scrutiny of the existing agency network we accelerated our recruitment strategies, which helped to boost our mainstream agency numbers by 19% by end 2019. However ever mindful of the inherently high levels of attrition among agents, we also stepped up our training and development agenda and leveraged on sophisticated digital tools to imbue the performance driven culture among agents. Hand in hand with these efforts,

greater supervisory control was introduced to increase oversight and streamline the entire agency management process. Our aim in all this is to build formidable agency network that we can continue to leverage to sustainably grow our business in the coming years.

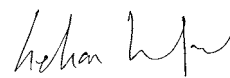
Meanwhile to ensure we are more agile and responsive for diversifying customer needs, we pursued alternative channels such as "bancassurance".

Looking Ahead

We have ambitious growth plans for the future. We are looking to grow faster than the market and position Amāna Takaful Life PLC as one of the top performing long term insurance Companies in Sri Lanka. And as we consider what lies ahead, our focus will remain on creating a scalable platform from which to grow our business. It is this clarity of purpose along with disciplined execution of our strategy that will drive our actions in the coming years. I must also reiterate that in our pursuit of growth, we will ensure that everything we do will remain within the framework of the Shari'ah principles and reflect the true spirit of the Takaful concept in order to live up to the promises made to our customers over the long term.

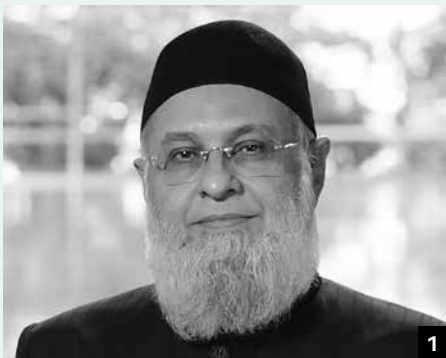
Appreciations

To conclude, I would like to extend my grateful thanks to our shareholders and customers, for their trust and confidence in our business and strategic direction. I also wish to thank the Chairman and Board of Directors of Amāna Takaful Life PLC for their judicious stewardship of the Company at all times. And finally to our employees, my heartfelt thanks to them for the dedication to helping our customers achieve financial security and well-being.



Gehan Rajapakse
Chief Executive Officer

20 May 2020



1. Mr. Osman Kassim - Chairman
Non-Executive Director

Mr. Osman Kassim, the visionary and one of the main promoters of Amāna Group of Companies, is the Chairman of Amāna Bank PLC, Sri Lanka's first and only licensed commercial bank to conduct all its operations under the principles of Islamic banking. Mr. Kassim, a well-versed personality in Islamic banking and finance, was instrumental in introducing Islamic finance to Sri Lanka with the setting up of Amāna Investments in 1997, whose assets and liabilities were later transferred to Amāna Bank PLC in 2011. He has expanded his directorships in Islamic Finance companies overseas as well, where he is a director at Amāna Takaful Maldives & the Maldives Islamic Bank.

With over 40 years of senior management experience, Mr. Kassim was also the founder Chairman of the well-established Expolanka Group of Companies which is engaged in diverse business activities. He is the Chairman of Vidullanka PLC, a leading provider of renewable energy to the National Grid and he is also the Chairman of Aberdeen Holdings (Private) Limited. He also sits on the board of Ex-Pack Corrugated Cartons (Private) Limited.

He was conferred an Honorary Doctorate from the Staffordshire University in recognition of his achievements as both a global entrepreneur and visionary educationalist.

2. Dato' Mohd Fadzli Yusof
Independent Non-Executive Director

Dato' Mohd Fadzli Yusof was appointed to the Board since its inception. He was the founder Chief Executive Officer of Syarikat Takaful Malaysia Berhad, the first Takaful Operator in Malaysia as well as in Asia, since its incorporation in 1984 until his retirement in 2005. He obtained the professional Diploma in Communication, Advertising and Marketing (CAM) from the CAM Foundation in the United Kingdom in 1976. He started his career in broadcasting, including six years with the BBC External Service in London. Currently he is an independent member of the Board of Hei-Tech Padu Berhad, Malaysia. He is also a member of the Board of Motor Research Consortium Data Sdn Bhd, a subsidiary of Hei-Tech Padu Berhad.

He has been appointed as a member of the Board of State Economic Development Corporation of Kelantan, Malaysia. He is also a member of the Council, Ismail Petra International Islamic College Kelantan, Malaysia, member of the Negeri Sembilan Baitulmal Corporation, Malaysia as well as member of the Board of Trustees Sultan Mizan Royal Foundation, an NGO institution.

3. Mr. Mohamed Haniffa Mohamed Rafiq
Independent Non-Executive Director

Mr. M.H.M. Rafiq has been on the Board since its inception. He has been involved in the insurance industry for over four decades. His interests are extremely diverse and include Education, Healthcare and Real Estate. Mr. Rafiq, with his wealth of experience in the sphere of insurance, plays an active role in the Company.

4. Mr. Radhakrishnan Gopinath (Resigned w.e.f. 1st December 2019)
Independent Non-Executive Director

Mr. Radhakrishnan Gopinath has been on the Board since its inception. He was formerly the Chief Executive Officer and the Managing Director of Life Insurance Corporation Lanka (LIC Lanka), having previously held several top positions at LIC India. Mr. Gopinath was also a Director at Al Nabooda Insurance Brokers LLC Dubai. He has also served as a Vice-President of the Insurance Association of Sri Lanka and was an Executive Committee member of the Ceylon Chamber of Commerce in the Insurance Subcommittee.

Mr. Gopinath is a member of Chartered Insurance Institute (CII), UK and also a member of The Personal Finance Society and Society of Mortgage Professionals (PFS) London UK. He is also a member of Indian Management Association and also is the Alumnus of Madras Christian College, India. He holds a Bachelor of Science (Mathematics) and a Postgraduate Diploma in Business Management.

His passion in training, coaching and mentoring along with his extensive experience in insurance led him to establish GOPAST Centre for Learning (Pvt) Ltd., a company dedicated towards building human potential, where he holds the position of Chief Executive Officer/Managing Director.

5. Mr. Mohamed Fazal Ghaffoor (Resigned w.e.f. 30th November 2019)
Non-Executive Director

Mr. Ghaffoor has been on the Board since its inception. He was the CEO of Amāna Takaful PLC. During his career, he had various roles in marketing, financial services and logistics covering a span of 35 years. He was Director – Marketing of Ceylon Tobacco Company and having progressed through a number of roles within the organisation he later joined British American Tobacco's Horn & East African Cluster and thereafter a Board member at British American Tobacco's operations in Pakistan and Iran. Mr. Ghaffoor was also the General Manager of DHL and Whittals Insurance, Sri Lanka and also served as Head of Marketing at Bank of Ceylon from 2010 to 2011.

6. Mr. Ammar Shafik Kassim
Independent Non-Executive Director

Mr. Ammar was appointed to the Board on 7th March 2016. He heads Business Development at FITS Aviation, Sri Lanka's largest private airline. He has managed a programme of aircraft acquisition fleet standardisation across three global hubs for the airline. He holds a BSc in Economics and an MSc in Management Information Systems from New York University.

7. Mr. Mohamed Rizwan Mohamed Nayeem
Independent Non-Executive Director

Mr. Rizwan Nayeem was appointed to the Board on 2nd January 2018. He is currently an Executive Director at the Nortonbridge Capital (Pvt) Ltd. He has had an extensive career in investment research, corporate finance and management consultancy in Sri Lanka, Middle East and United Kingdom. Mr. Rizwan has had well-acclaimed research-based publications in the insurance sector and luxury goods in Sri Lanka and United Kingdom. He is also an accomplished entrepreneur having successfully launched vibrant enterprises including the Nortonbridge Capital and Orofini Jewellery.

Mr. Rizwan has an MBA from the Cranfield School of Management, United Kingdom and he has successfully completed the programme on Advanced Corporate Financial Strategies at the Kellogg School of Management, Illinois, USA. Mr. Rizwan is also a member of the Association of Chartered Certified Accountants (ACCA – UK), Chartered Institute of Management Accountants (CIMA – UK) and Chartered Institute of Marketing (CIM – UK).

8. Mr. Dileepa Anura Wijesundera (Resigned w.e.f. 6th January 2020)
Independent Non-Executive Director

Mr. Dileepa Wijesundera is an engineer with extensive experience in project logistics, profitability and restructuring both at private and Government institutions. He holds a BSc in Civil Engineering and a MSc in Management from the Loughborough University (UK). He has held leadership positions in several prestigious organisations including Head of Emirates Sky Cargo, Canada, Senior Vice-President – Qatar Airways, Chairman – Sri Lanka Ports Authority amongst others. Mr. Wijesundera also served as the Group CEO of SLT.

9. Mr. Syed Rizwan Hussain (Appointed w.e.f. 2nd October 2019)
Independent Non-Executive Director

An Industry stalwart with over 29 years' experience. Seasoned CEO with an industry leading company in Pakistan, expert at leading cross-functional teams, managing result-oriented departments, ensuring corporate governance. He holds multiple Board Member position(s) with reputed companies and leverages management and visionary leadership expertise for driving long-term strategies aimed at excelling companies' top-line and bottom-line. He is serving as an independent non-executive director of Amāna Takaful PLC. Alongside his several accolades, he is an MBA & a Certified Director.



Gehan Rajapakse
Chief Executive Officer



N. Shahnaz Deen
Specified Officer



Shaul Hameed Asif
Head of National Distribution



Nimal Priyantha
Assistant General Manager - Sales



Nimalika Sooriyaarachchi
Assistant General Manager - Family
Underwriting (Retired w.e.f. 31/3/2020)



Shakir Mohamed
Senior Regional Manager - Western



Sathik Niyas
Senior Regional Manager - East
& North



Inshath Hanifa
Manager - Actuarial



Althaf Kaleel
Manager - Business Development
(Bancassurance)



Priyanthi Newmen
Manager - Life Underwriting



Sabeeh Feisal
Manager - Family Underwriting



Fahrul Nisver
Manager - Family Underwriting



Sawan Rodrigo
Manager - Agency Development/
Sales Administration



Irshad Nawaz
Regional Manager - Western



Hazari Farouk
Regional Manager- Central



A Moses
Regional Manager - North



Nalin Dammika
Regional Manager - Uva



Jahaan Sultan
Assistant Manager - Human Resources



Shafeel Jabir
Assistant Manager - Banca Takaful



Malaiqa Dole
Assistant Manager - Family Underwriting



Yudeesha Fernando
Assistant Manager - Sales Administration



Jaseel Jawhar
Assistant Manager - Actuarial



Shameer Sahir
Assistant Manager - Learning & Development



Afzal Ali
Assistant Manager - Finance



Fazal Tahir
Assistant Manager - Finance & Investments

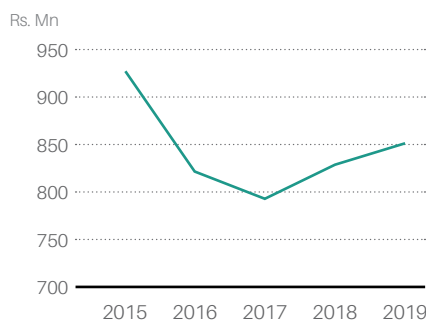
The Company completed its fifth year of operations as a separate entity in 2019, the Company previously operated within Amāna Takaful PLC, it segregated and operated as a separate listed entity in 2015 keeping in line with Regulatory directives. The key financial and industry details are presented below;

Gross Written Premium (GWP) and Profitability

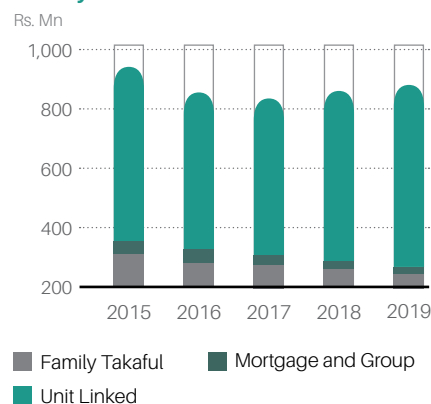
The GWP of the company grew by 2.8% for year 2019 which is well below industry growth rate of 10.6% over the same period; this is in the backdrop of 2019 being a very turbulent year caused by the Easter Sunday and its ripple effect faced throughout the nation and a climate of political uncertainty. More importantly the company discontinued "Prosper" an investment plan which contributed to the GWP but did not provide sufficient shareholder return. This is in keeping with the company's strategy of pursuing profitable growth. The expansion of the agency sales force continued growing by 19% with the total number of agents being 420 by the year end. Despite the many initiatives taken by the company in streamlining of operations and right scaling the business the negative economic environment post the Easter bomb resulted in the company derail from a targeted top-line forecasted for the year. These resulted in the company to post a Net Loss of Rs. 29.1 Mn (2018 - Rs. 63.0 Mn). However, the company has being resilient since the change in strategic direction, initiated in 2016 which induced promoting "protection based" products as opposed to "investment based" products enabled the company to circumvent some of the challenged faced during the year under review. Despite the present challenges faced by the company in this volatile environment, the management envisage a turnaround to profitability by improving the product portfolio and sustaining the current strategy.

Given below is the breakdown of the GWP over the last five years:

ATLL GWP



Family Takaful GWP



The company's strategic shift to promote "protection based" products through its Unit-Linked platform, has driven growth by 7% for the year under review. The Family Takaful GWP has diminished by 23% for the year and accounts for only 3% of the income portfolio for 2019.

AT-Life Fund Movement

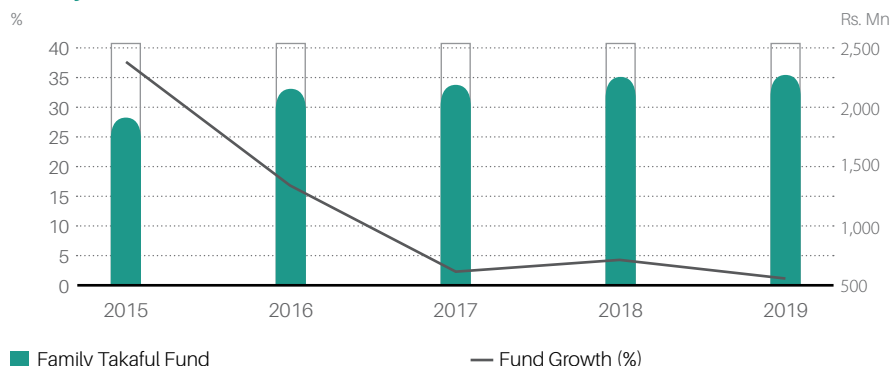
The Fund has grown by Rs. 27 million, which is as a result of high claim pay outs, high values of surrender, aggravated by policies under the discontinued product 'Prosper' completing the waiting period of 3 years are factors which restricted the Company in achieving a significant growth of the fund during the period under review. The movement of the AT-Life Fund for the last five years is given below:

AT-Life Fund Movement

	2019 Rs. Mn	2018 Rs. Mn	2017 Rs. Mn	2016 Rs. Mn	2015 Rs. Mn
Gross Written Premium	851	828	792	821	928
Net Earned Premium	821	806	765	806	908
Income from Investments and Other Income	251	159	211	174	121
Claims and Expenses	1,045	1002	935	679	537
Fund Growth	27	(37)	41	301	483

The above table clearly depicts an upward continuing momentum of GWP for the second year, since it took a dip during the 2016/17 period due to the strategic shift adopted in 2016 of moving from "investment" related products to "protection" related products. The company has currently realigned its portfolio to provide wide array of "protection" related products to different market segments. However an increase in Claims, lapses, Forfeitures and Surrenders resulted in the decrease in total policies and customers in force.

Family Takaful Fund



Family Takaful Fund

The Takaful Fund for FY 2019 saw a modest growth to Rs. 2,218 Mn from Rs. 2,195 Mn in FY 2018, reflecting an increase of 1% YoY, mostly driven by Unit Linked fund which has increased by a moderate 5.0% YOY.

Total Assets

Total Asset have increased to Rs. 2.92 Bn for FY 2019 from Rs. 2.88 Bn in FY 2018, reflecting a YoY increase of 2%. However, the Net Asset Value per share decreased to Rs. 9.76 from Rs. 10.31 in FY 2018. This is as a result of a loss recorded for the year under review.

Expenses

Expenses decreased by 10% YoY in FY 2019 largely on account of the decrease in Administration and Establishment expenses. However, the administration/establishment expenses for the year 2018 includes a provisioning of 105.4 Mn. The change in Administration and Establishment expenses excluding the provisioning expenses recorded in FY 2018, has increased by 23% in effect. The company's commitment and effort to invest in its employees to drive growth, has resulted in Staff and related expenses to increase by 10% during the year.

Expenses	2019 Rs. Mn	2018 Rs. Mn	Change %
Staff Expenses	224	204	9.59
Administration and Establishment Expenses	178	250	(28.92)
Sales and Marketing	12	11	8.50
Depreciation	13	7	82.40
Total	426	472	(9.69)

Positioned for Growth

The Company's top line for 2019 continued the growing momentum for the second year despite being a very challenging and turbulent year. The company will sustain its strategy in focusing sales to focus on "protection" based products over "investment" based products. However it will be flexible in adopting to changes in a volatile duel shock macro and micro-environment to circumvent any challenges posed.

The discussion that follows provides information related to key aspects of our Company and the Group, our financial performance, operational aspects and an overview of our operational environment.

A Leading Takaful Insurance Provider

Derived from the Arabic root-word "kafala", Takaful means Mutual Protection and Joint Guarantee. Amāna Takaful Life PLC is the only fully-fledged Takaful company offering life insurance solutions, in accordance with established international Accounting and Auditing Organisation for Islamic Financial Institutions (AAOIFI) and Shari'ah practices in Sri Lanka.

Our comprehensive portfolio of products consists Savings and Protection, Investment Linked, Group Life and Retirement (Pension) with an array of add-ons, including comprehensive medical/health plans and critical illness covers. As our product portfolio is ever evolving to meet our customer needs, whilst our sales focus has moved from "investment" product selling to "protection" based product selling. We are expanding our product portfolio and value proposition to cater to upmarket clientele and well an array of basic 'protection products' with unique selling points. Our products are distributed through an island-wide network which stands at 30 branches for 2019.

Amāna Takaful Life PLC was incorporated in 2015 with the life insurance business being segregated from Amāna Takaful PLC. This was

as a result of regulatory changes introduced to the insurance industry in 2011. The said regulatory changes were as per terms of Section 53 of the Regulation of Insurance Industry (Amendment) Act No. 03 of 2011, where all composite insurance companies were required to segregate their two business lines into two separate legal entities as life insurance and general insurance.

The Life business commenced from year 1999 as part of the composite Amāna Takaful PLC. Shared services such as Human Resources, Finance, Marketing, IT, Legal and Compliance are provided by the Parent Company, Amāna Takaful PLC as permitted by the Insurance Regulatory Commission of Sri Lanka for the year under review.

Our Group Structure

Amāna Takaful Life PLC is a subsidiary of Amāna Takaful PLC. Amāna Takaful PLC has no upstream controlling stake.

Macro Environment

The year 2019 was a very turbulent year impacting many facets of the nation. However with much of 2020 in the horizon, the Sri Lankan economy is making a slow recovery after a series of setbacks - a devastating terror attack in April 2019, preceded by a political crisis in the third quarter of 2019. The Central Bank of Sri Lanka (CBSL) estimates sluggish GDP growth of 2.3% mostly due by Q2'2019 recording a growth of 1.1%, being one of the lowest quarterly real GDP growth recorded in the recent history. The per capita GDP for 2019 is also estimated to drop to \$3852. Growth should accelerate in years' to come, thanks to a recovery in tourism, favourable credit conditions and a significantly more expansionary fiscal stance—in the form of tax cuts. Moreover, the IMF support program and last year's election outcome should support business sentiment. Despite the challenging macro-conditions prevailing in the globe and its implication to the country, the insurance sector, especially the long term life insurance sector is capable of bracing the challenges.

Long-Term Insurance Industry of Sri Lanka

Based on the information published by the Insurance Regulatory Commission of Sri Lanka (IRC SL) and other relevant sources - Sri Lanka's long-term insurance industry has recorded a progressive performance in 2019 recording a GWP income of Rs. 88.8 Bn. This growth is largely attributable to sustaining the sale of investment type products as opposed to term assurance products while improving operational processes to assure quality service, re-engineering existing products in a highly competitive environment. This is though the life segment has relatively lower market penetration compared to general segment, the insurance industry celebrated the National Insurance Day on the 1st September 2019 for the third conservative year, along with the launch of Insurance Awareness Month campaign but with the primary purpose of conducting activating programs. These Activation programs were carried out in specific locations throughout the country. Galle, Anuradhapura, Colombo, Kandy, Negombo, Trincomalee and Chankani (Jaffna) organised by the Insurance Association of Sri Lanka, the Insurance Regulatory Commission of Sri Lanka and the insurance companies of the country. The purpose of these activations was to spread awareness about the importance of Insurance among as many people as possible.

The total assets of the Long-Term insurance industry increased to Rs. 487 Bn as at 31st December 2019 reflecting an increase of 13.4% YoY. The 3.4 million policies in force for 2019 is a marginal increase for 3.2 million policies of 2018, however it has been gradually increasing over the last five years, further the year 2019 was marked with 759,822 new life insurance policies compared to 729,803 new policies issued in 2018 due to certain creativities and innovations undertaken by life insurers such as offering life insurance through mobile applications, day claim settlements, etc. The capital adequacy ratio for Long-term insurance sector is estimated at 298% end of December 2019 and

the total average investments by the long-term insurance sector increased by a modest 10.0%, however the total income generated from investments noticeably grew by 15.3% to Rs. 42,806 million compared to Rs. 37,141 million reported in 2018.

Sri Lanka's life insurance penetration in terms of GDP is the lowest in the region, however gradually increasing over the last five years. With the participation of various stakeholders in the insurance industry, the life segment has great future potential. In the medium and long-term, many insurers are expected to consolidate by way of mergers and acquisitions in order to enhance one's insurance portfolio and competitiveness while some insurers being earmarked by foreign insurers to enter the lucrative but highly competitive Sri Lankan insurance industry.

Given below are selected indicators of the insurance sector based on the latest available data of the IRCSL and other relevant sources:

Year ended 31st December	2019	2018	2017	2016	2015
Long-term insurance (Rs. Mn)	88,788	80,303	71,571	63,477	53,691
Growth rate in total premium (%)	8.41	10.03	15.30	16.35	16.22
Gross Domestic Product at current market price (Rs. Bn)*	15,016	14,450	13,418	11,996	10,951
GDP growth rate (%)*	2.3	3.20	3.40	4.50	4.84
Penetration (%) (Total industry premium as a percentage of GDP)	1.31	1.26	1.23	1.19	1.12
Penetration (%) (Premium of long-term insurance business as a percentage of GDP)	0.59	0.56	0.53	0.53	0.49
Insurance density (Total premium income/ population) (Rs.)	9,025	8,376	7,693	6,747	5,865
Population '000 (Mid year)*	21,803	21,670	21,444	21,203	20,966

Source: IRCSL Statistical Review (*Source: Central Bank of Sri Lanka and Department of Census and Statistics)

As Sri Lanka moves forward to be a middle income country, the national vision is to establish Sri Lanka's insurance industry to be a pillar of the financial sector.

The Penetration of Long-Term Insurance

Based on the latest data available, the total insurance premium as a percentage of GDP for 2019 was 1.31% as compared to 1.26% for 2018 a growth of 3.7% year on year (YOY), the long-term insurance premium as a percentage of GDP for 2019 was 0.59% as compared to 0.56% for 2018 an increase of 3 basis point. This is comparatively low compared to other economies in the Asian region.

Creating Shared Stakeholder Benefits for Our Customers

The company's drive in sales channel expansion, product portfolio re-adjustment along with a raft of other management initiatives, focusing firmly on our customer's needs, enabled us to increase our customer base and profitability.

Increasing Our Customer Touch Points

Customers access to our products and services through our 30 branches island wide, our website and agency force.

Our Branch Network

We right scaled operations which led to a decrease in our touch points from 32 to 30 branches in 2019. This will ensure optimising and consolidating of regional segments.

Our Online Channel

The Company sees the need for further digitalisation of the sales process for enhanced customer convenience. Features such as online payments through our corporate website and Mobile App are some of the features implemented, a raft of further features and initiatives are in the pipe-line as well.

Our Sales Team

Our sales agency force continues to be our main channel in reaching our customer base. A dedicated team of individual sales personal, agents, agency supervisors form our sales force. Over the year we invested significantly in structured recruitment clinics and activations, substantially increasing our sales force throughout the island. A revised value driven incentive structure and career progression routes were implemented in tandem with comprehensive training and development programmes. The Company also conducted several out-reach programs on Takaful insurance and product awareness. The combination of these activities enhances our abilities and leaves the Company well positioned to gain significant growth in the outer years.

Our Product Portfolio

Our product portfolio is continuously evolving in terms of features and coverage, keeping with our customer's ever changing needs. Our products may be segregated into three main categories; Protection and Savings, Investment Linked and Corporate and Micro.

Keeping our customers firmly in mind, over the year AT-life substantially enhanced its medical product range's benefits and coverage. Further seeing the need for the enhanced critical illness protection given the Sri Lankan context, we substantially expanded the benefits and coverage of our Critical Illness protection products as well.

Features such as SMS based customer interactions we implemented to ensure customer convenience.

Our product portfolio is given below:

Protection and Savings Products

★ **Adyapana Plus**

A long-term protection and savings plan that helps plan and provide for children's higher education. The plan also includes a health insurance cover for the parent and child as well.

★ **Surakshitha**

An affordably-packaged, tailor-made life cover to help families reap the benefits of insurance. With a host of add-ons that include hospitalisation and critical illness coverage, enabling everyone to face life's contingencies with confidence.

★ **Platinum**

Designed to provide the best protection and benefits that money can buy. Apart from a coverage for natural/accidental death, and critical illness coverage, it also includes a comprehensive hospitalisation cover for the policyholder and his/her family with an overseas treatment option. This is another first in the life insurance policies in Sri Lanka.

★ **Platinum Plus**

Platinum Plus offers an unparalleled extensive protection benefits, designed with you and your loved ones in mind. The Platinum Plus plan is the most comprehensive life and hospitalisation cover from Amāna Takaful Life, the leading Takaful Insurance Company, and is the only Sharia compliant family health cover in the country.

Retirement Plan

★ **Deergayou Plus**

The product Deergayou was the first ever Shari'ah compliant retirement plan catering to the ever growing demand for a pension plan providing financial security in the golden years of the customers. The product was reintroduced as Deergayou Plus a retirement fund is built over a period of time, to facilitate an enjoyable retirement. The ensuing pension can be taken at the age of 55 as a lump sum or regular monthly pension.

Corporate and Micro Products

★ **Micro Takaful**

The micro Takaful offering, takes the benefits of insurance to deserving markets promoting inclusiveness and mutual assistance. Covers include natural and accidental death, critical illness, loss of income, funeral and medical expenses. The covers are uniquely priced and marketed through the Company's strategic partners.

★ **Group Life**

A solution offered to corporate and SMEs to secure the health and well-being of employees enabling them to work with peace of mind with assurance of being taken care of in the event of a calamity. With 24/7 coverage, it provides protection and safety beyond the mandatory insurance of the employer.

★ **Safeguard**

Protects loved ones from the burden of debt, in the event of an unexpected loss of the breadwinner. This offering can be tailor-made to safeguard higher education payments, in the event of the death of a parent as well.

Rewarding Our Policyholders

We reward our policyholders in the following ways:

★ **Surplus Refunds**

Once the certificate matures, the participant receives the total Participants Fund value and the surplus in the Tabarru Fund (Risk Fund).

★ Participant's Investment Fund (PIF) with profit Subsequent to the actuarial valuation, the profit generated each year is credited to the Participant's Investment Fund (PIF).

★ **Scholarships***

Under the Adhyapana children's plan we extend scholarships to policyholders' children who successfully complete the following examinations:

★ Grade Five Scholarship Examination – Rs. 15,000/-

★ G.C.E. Ordinary Level Examination – Rs. 50,000/-
(for students who receive 9 'A' passes)

★ Entry to a State University – Rs. 100,000/-

*Conditions apply

Our Business Partners

Our Reinsurers

The Company's reinsurance panel consist of Munich Re, Germany since 2017, Hannover Re Takaful B.S.C.(c) (HRT), Kingdom of Bahrain since 2012 and SCOR Re of Singapore, since 2014. These companies are life reinsurance with investment grade financial ratings.

Our Actuaries

Actuarial Partners Consulting Sdn Bhd, Malaysia, considered the premier service provider in Malaysia, has been our actuarial service provider since our founding years. We obtain a full range of services from them, including Takaful pricing, product design and valuation.

Our Society and Environment

As a Takaful company, the well-being of society and environment is a priority to us, as such we actively participate in several Corporate Social Responsibility (CSR) activities of our Parent Company, Amāna Takaful, under the banner, "Amāna Takaful Cares".



Surakshitha

live your dreams

Life, is uncertain and we need to be prepared to face any misfortune. 'ATL Surakshitha' is a Life cover affordably packaged to enable the policy holder and his family to face misfortunes and unavoidable circumstances. Surakshitha provides a plan that is tailor-made to suit the individual needs with a host of benefits including hospitalisation and critical illness cover. The money is judiciously invested to provide larger returns as well.

Adhyapana Plus

child education plan

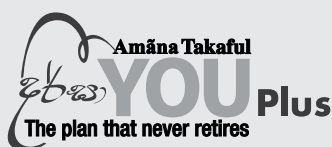
'ATL Adhyapana Plus' is a unique plan that provides comprehensive insurance cover for both you and your child. It assures you long-term protection, savings and investment to help finance your child's higher education in addition to offering a comprehensive hospitalisation cover during the term of the plan. Obtaining this plan ensures that your child is provided for, even in your absence



SAFEGUARD

peace of mind

We all wish to leave behind an inheritance for our loved ones. However, the unexpected loss of the breadwinner might leave the dependants with the burden of debt. 'ATL Safeguard' protects the loved ones from the burden of left over debt and enables them to enjoy the life built for them by the policyholder. Amāna Takaful Safeguard enables one to plan ahead.



YOU Plus

The plan that never retires

In retirement, how you choose to spend your time is now up to you. The decisions you make about your investment today should be flexible enough to accommodate your life after retirement.

In the event of you not being able to look over your family, due to an accident or sickness during the Policy Term, ATL would come forward and continue your payments on your behalf.

Taking charge of your retirement begins with ATL's Retirement Plan; assuring a dignified retirement for you and your spouse.



An untimely death or accident or disability can take away a valuable employee and his/her contribution to a company, not to mention the devastation caused to the employee's family. Amāna Takaful now offers the opportunity to secure the health and well-being of the employees, so that they can work with peace of mind, knowing that they will be taken care of in the event of a tragedy



'ATL Platinum' has been designed to suit those of us who want to provide the best money can buy for the ones dearest to us. Not only does it meet one's protection needs in terms of death, critical illness and accident, but it also includes a comprehensive hospitalisation cover for the policyholder and the family with an overseas treatment option. A unique feature is the second opinion, which enables the insured to obtain a second medical opinion locally or overseas, in case of a critical illness, which is a first time feature in Sri Lanka.



Amāna Takaful, the only pure and pristine Takaful company in the island, offers you 'ATL Platinum Plus' – a family protection cover that's the best in its class. Platinum Plus offers you unparalleled extensive protection benefits, designed with you and your loved ones in mind.

'ATL Platinum Plus' is created with you and your family at the helm and will bring about a sense of stability by offering you financial protection, that is convenient and hassle free while supporting you at the time of your need.

'ATL Platinum Plus' plan is the most comprehensive life and hospitalisation cover from Amāna Takaful Life, the leading Takaful Insurance Company, and is the only Sharia compliant family health cover in the country.

Our People - Our Future!

2019 was a challenging year for the Country, particularly post the Easter Sunday attacks - impacting many businesses in the country and the economy at large. ATLL was no exception. With our GWP and Profitability stressed, judicious measures were taken to realign the organisation with a view to making it more effective and efficient thus leading to a project of Right Sizing our company. Attracting, nurturing and retaining a competent workforce has always ensured the pristine quality of our human capital.

10 targeted trainings were held during the year among others, which included a Leadership Excellence Program specifically crafted for the distribution team. Head office and Branch operations were rationalised. Due attention was given to managing staff attritions at acceptable levels in managing regrettable losses.

In line with our credo - OPEN TO ALL, ATLL's openness to gender, ethnic diversity and fostering a culture that is tolerant and mutually inclusive has been a key element in our value creation process.

The work environment at Head office and the branch network is reflective of an open, inclusive and stimulating ambience for our employees and customers alike. Employees at all levels have the opportunity to interact openly with Management.

Today the Group has 82 full time employees based at the Head office and island wide branch network.

Towards our goal in developing and fortifying a sustainable business model, we have aligned the Human Resources Strategy to the organisation's Corporate Goals. Hence, it becomes critically important to ensure we have the right people, with the right skills, at the right place at the right time, in catering to the requirements of all our stakeholders.

EMPLOYEE ANALYSIS

Staff Distribution by Province

Staff Distribution by Province	2018		2019	
	No.	%	No.	%
Central	16	20	14	17
Eastern	11	14	10	12
North Central	1	1.3	1	1.2
North Western	7	9	5	6
Northern	2	3	3	4
Southern	2	3	1	1
Sabaragamuwa	3	3.8	3	3.7
Western	37	47	45	55
Total	79	100	82	100

Staff Age Analysis

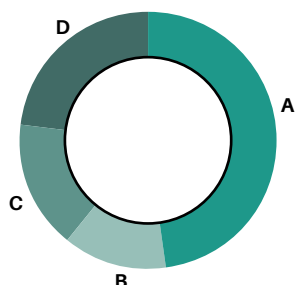


		%
A	25-30	16
B	31-35	26
C	36-40	23
D	41-45	12
E	46-55	5

Service Analysis of Staff - 2019

Year	Senior Management	Middle Management	Executives	Non Executives	2019
2 and below	2	21	16	0	39
3 - 5	1	6	4	0	11
6 - 10	0	10	3	0	13
Above 10	1	14	4	0	19
Grand Total	4	51	27	0	82

Service Analysis of Staff - 2019



		%
A	2 Years & below	48
B	3 - 5 Years	13
C	6 - 10 Years	16
D	Above 10 Years	23

Staff Strength	2018	2019
Senior Management	3	4
Middle Management	53	51
Executives	21	27
Non Executives	2	0
Grand Total	79	82

Labour Turn Over	2018	2019
No. of Staff resigned/terminated	22	21
Avg. no. of staff during the period	80	84
Labour Turn Over %	27.50%	25.00%

Benefits Philosophy

It is ATLL's philosophy to provide competitive benefits to its employees. The organisation is committed to monitor its benefit offerings, in ensuring it meets the needs of its employees and their families.

★ Personal Accident, Surgical & Hospitalisation Insurance

Designed for employees to manage medical expenses due to unexpected accidents or hospitalisations, ATLL provides coverage for employees through the Group Life, Surgical/ Hospitalisation, OPD and Child Birth Insurance Cover.

★ OPD Treatment Reimbursement

ATLL reimburses medical expenses incurred for any OPD related expenses up to the employee's annual entitlement limit. This includes specialist consultations, drugs & laboratory investigations etc.

★ Employees Provident Fund and Employees Trust Fund Scheme

As per the rules stipulated by the Employee Provident Fund and Employees Trust Fund Act, ATLL contributes 12% of Basic Salary towards the Employee Provident Fund and 3% towards Employee Trust Fund scheme.

★ Employees Gratuity Scheme

Full-time employees who have completed a minimum of 5 years continuous service or more are eligible for gratuity as per the Payment of Gratuity Act No.12 of 1983.

★ Annual Awards Day

In rewarding and recognising the performance and achievements of staff, ATLL held its annual awards night at the Golden Rose. More than 550 participants

witnessed the glitzy event unfold with many top performers walking away with accolades and prizes that included foreign tours, cash prizes, medals and trophies.



Being a much-anticipated event in the company's annual calendar, ATLL's 'Annual Awards Night' also proves to be a vital motivational and engagement tool in recognising employees in the presence of board members, senior management and staff of ATLL.



Key awards:

CEO's Award - Essentially recognises the contribution of operations staff who go beyond the call of duty.

Ten-Years' Service Award - Staff completing 10-years of service in the Company are recognised for their dedicated service to ATLL.

Champion of Champions - Prestigious award for Outstanding Sales Person of the Year for overall best performances.

★ **Amāna Takaful Welfare Association - ATWA**

Individuals joining ATLL are automatically enrolled as members of ATWA. ATWA was founded in 2002 and is run by a committee of staff members, supported by ATLL Management.

ATWA forms an integral part of our company and ensures that staff are engaged in different activities and events organised throughout the year, in a spirit of engagement and bonhomie.

ATWA's mandate covers staff welfare, sports and social events.

★ **Open Door Policy**

We foster an Open-Door Policy in promoting transparent and open communication. Staff are encouraged to engage their line managers/ superiors, HR department or any member of the senior management or executive staff regarding any work-related concern. It is our goal to resolve such issues in an amicable method through such open discussions.

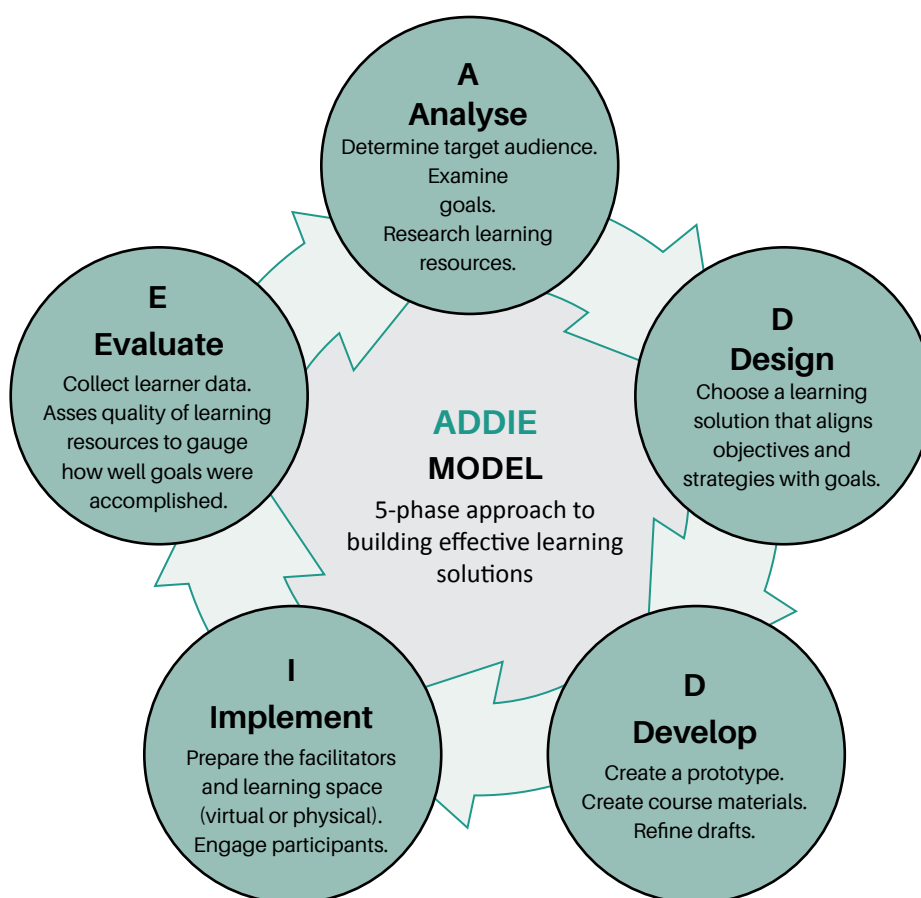
We invite and encourage a free and continuous exchange of information and welcome employee's suggestions and ideas. These meetings are typically informal and an open dialogue is encouraged.

The **Internal Communications Unit** (ICU) too serves as a robust interface in communicating relevant information to staff on important events, monthly Team Briefs - sharing the performance of the company and staff achievements in a timely manner.

Learning & Development

The organisation's learning and development initiatives play a pivotal role in employee motivation, engagement and retention. Our aim is to foster a culture of learning, thereby enabling our employees to grow and succeed not only in their careers but also be value adding citizens. We ensure that employees are exposed to relevant training and development programs stemming from the Training Needs Analysis (TNA). This ensures their knowledge, skills and attitudes are sharpened and relevant to perform effectively in their current roles whilst preparing them to take on greater responsibility in the future where applicable.

Learning and Development model:



Our unique training programs are crafted and designed to enhance the capability and capacity of our employees. Where required, external intervention is sought from reputed trainers to inculcate best Management practices in upskilling staff. An in-house panel of trainers is being developed in further building our own timber and talent pool.

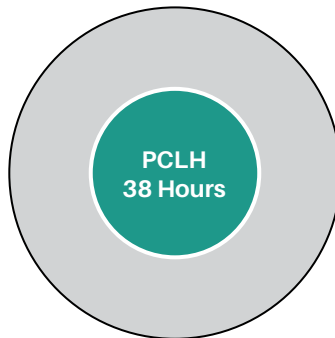
Management Development Program (MDP)

In 2019, ATLL introduced a tailor-made Management Development Program, focusing on developing leadership skills among key branch distribution staff. The program was designed and conceptualised in-house with particular emphasis on organisational change, leadership and team building initiatives.

Training Summary for the Financial Year 2019.

Table: Training Summary for the Year 2019

NO	PROGRAM
1	Product Competency
2	Professional Selling Skills
3	Motivation Skills
4	MDRT Skills Development
5	Leadership Training
6	Recruitment & Selection Skills
7	Technical Programme in Life Insurance
8	Change Management
9	Low Producer Coaching



Corporate governance that nurtures a culture of transparency, accountability and integrity plays an integral part in ensuring growth and stability. It is through the adoption of the highest of such standards that we continue to enjoy the trust and confidence of all our stakeholders.

The present business environment has become more challenging. Therefore, Amāna Takaful Life PLC strongly believe that it is vital for the Company to adopt the highest standards of corporate governance. This would nurture a culture of transparency, accountability and integrity which are essential prerequisites in ensuring the Company's survival and growth in a competitive market.

Corporate governance is described as a Management process in which a corporate, business entity or Company is directed, managed and controlled. It is a concept which is now entrenched in the business world. In any company where the shareholders have placed the reigns of power in the hands of the Directors, it naturally follows that the Directors are accountable to the shareholders. To ensure that the trust placed in the Directors is secure, a company must adhere to the best corporate governance practices which embody integrity, accountability and transparency. Nevertheless, the success of any good governance practice initiative depends

on how the people are led and the policies as well as how the processes are implemented.

In order to create shareholders' wealth and gain market confidence, Amāna Takaful Life PLC is committed to adopting best practices. It is also committed to maintain the smooth functioning of the Company's operations.

Capital Structure and Shareholding

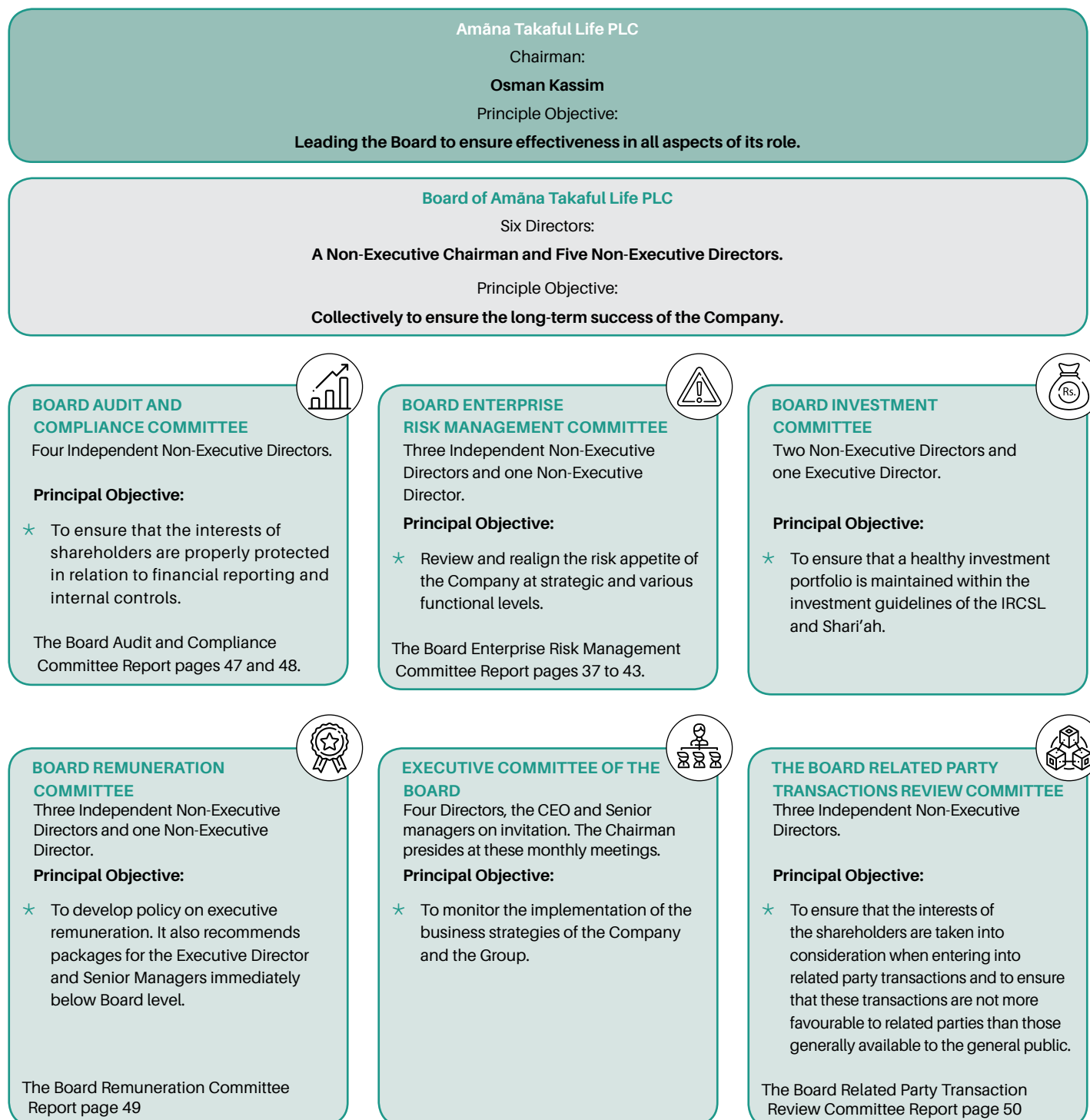
Amāna Takaful Life PLC has at its foundation a capital structure consisting an issued share capital of Rs. 500,000,000/-. The Company has 1,152 shareholders, while the majority shares are held by institutions. Details of the main shareholders are given on page 103.

Board of Directors and Board Committees

There are Six Directors on the Board of Amāna Takaful Life PLC, whom hold office in non-executive capacities. The Board of Directors has been drawn from a cross-section of industries/disciplines. Their expertise and experience in various fields as well as insights have contributed immensely to making effective and informed Board decisions. The selection of the appropriate and suitable candidates with the right skills and attributes is crucial in order to ensure its efficiency and effectiveness. For it is believed that a healthy Board culture will help to encourage and safeguard good governance practices which in turn will ensure shareholders' interests are always protected. The names of the Board of Directors are given on page 45.

Corporate Governance Framework

Amāna Takaful Life PLC operates within a clear governance framework, which is outlined in the diagram below and set out in this Report:



Board Composition

The Board currently comprises Six Directors. The composition of the Board and its committees are regularly reviewed by the Board and in particular, by the Nominations Committee to ensure that there is an appropriate balance and diverse mix of skills, experience, independence and knowledge of the Group. More details of our Board members can be found on pages 10 to 13.

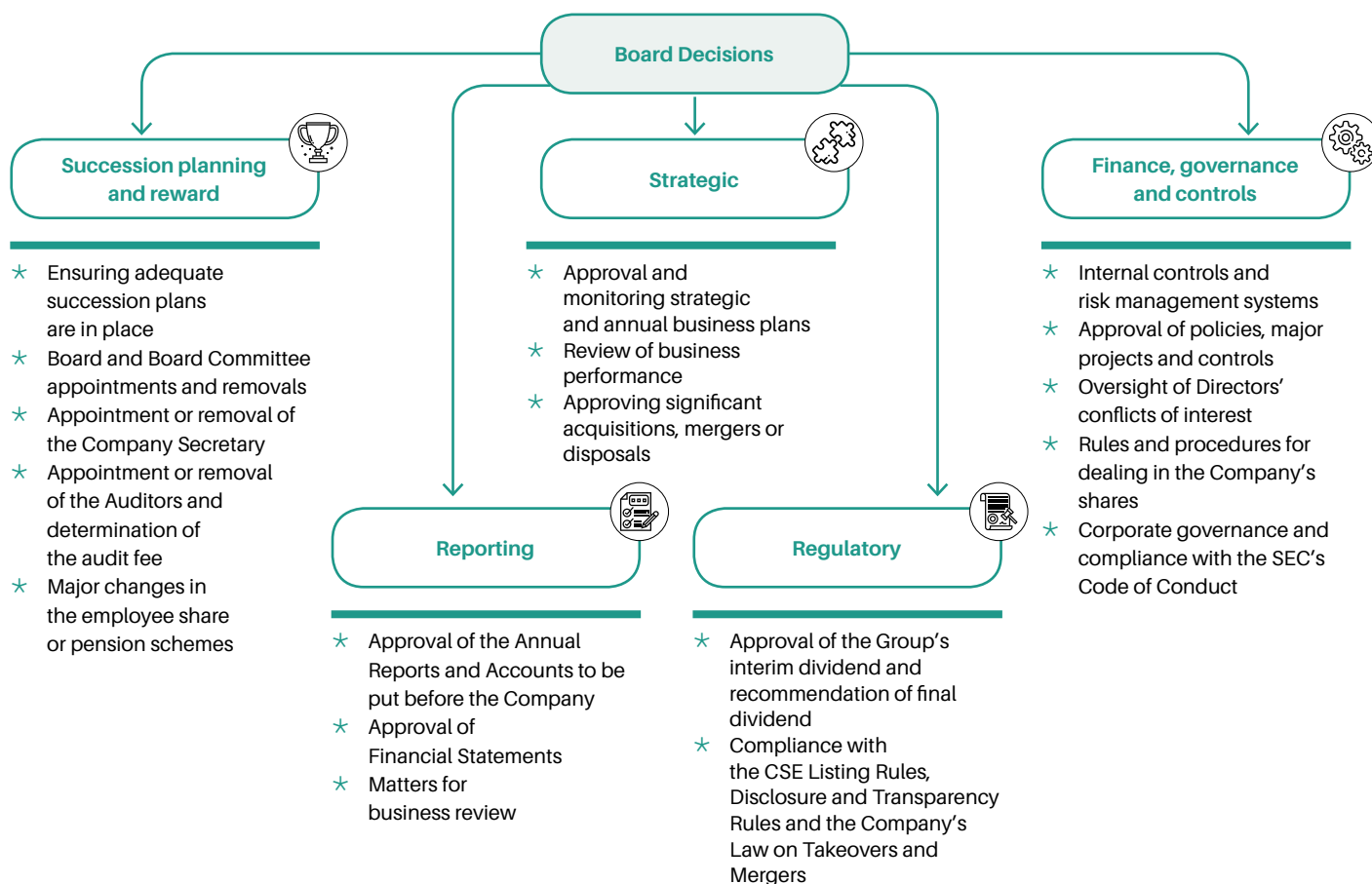
The Board is collectively responsible for the long-term success of the Group. The Executive Committee is responsible for running the business operations and ensuring that the necessary financial and human resources are in place in order to achieve the Company's strategic aims.

The Non-Executive Directors are responsible for constructively challenging and helping develop proposals on strategy; scrutinising the performance of Management; satisfying themselves that financial controls and systems of risk management are robust; determining levels of remuneration; satisfying themselves on the integrity of financial information and succession planning.

The Board reviews strategic issues on a regular basis and exercises control over the performance of the Company by agreeing budgetary targets and monitoring performance against those targets. Certain matters are reserved for approval by the Board and the Board has overall responsibility for the Group's system of internal controls and risk management, as described on pages 37 to 43. Following presentation by Executive Management and a disciplined process of review and challenge by the Board, clear decisions on policy and strategy are adopted and the Executive Management is empowered to implement those decisions.

A formal schedule of matters reserved for Board approval is maintained, which covers items that are significant to the Group as a whole, due to their strategic, financial or reputational implications.

A summary of these matters includes:



The main functions of the Board of Directors are as follows:

- ★ Formulate, review and monitor implementation of competitive business strategies including Long-term business plans.
- ★ Ensure the appointment of a competent Chief Executive Officer, and an effective Management Team including an evaluation of their performance, as well as review the Company's and the Group's succession plans. Secure a sound and an adequate risk management system.
- ★ Review the integrity and effective information, control and audit systems.
- ★ Adopt business practices that conform to "Shari'ah" Principles.
- ★ Approve policies of corporate conduct that continue to promote, maintain and sustain the integrity of the Company and the Group.
- ★ Ensure compliance with legal/ethical standards.

Board Roles and Responsibilities

Chairman

The role of the Chairman (or Chair) is to:

- ★ Lead the Board to ensure effectiveness in all aspects of its role;
- ★ Plan agenda items and timings for Board meetings;
- ★ Ensure the membership of the Board is appropriate to meet the needs of the business;
- ★ Oversee that the Board Committees carry out their duties including reporting to the Board;
- ★ Establish appropriate personal objectives for the Chief Executive;
- ★ Ensure Directors are up-to-date with training and development;
- ★ Provide the information necessary for Directors to take a full and constructive part in Board discussions;
- ★ Promote an open culture of debate; and Develop and maintain effective communication with shareholders.

Chief Executive

The role of the Chief Executive Officer (or Chief Executive or CEO) is to:

- ★ Run the day-to-day business and operations of the Company;
- ★ Lead the development and delivery of strategy to enable the Company to meet the requirements of its shareholders;
- ★ Lead and oversee the Executive Management of the Company;
- ★ Meet the Company's budget and strategic plans; and
- ★ Provide the appropriate environment to recruit, engage, retain and develop the personnel needed to deliver the strategy.

Board Secretary

Under the direction of the Chairman, the role of the Board Secretary and his team is to:

- ★ Ensure good information flows within the Board and its committees and between Senior Management and Non-Executive Directors;
- ★ Facilitate Director inductions and professional development;
- ★ As requested, arrange independent professional advice for Directors at the Company's expense; and
- ★ Advise the Board through the Chairman on governance matters.

The responsibilities of the Chief Executive Officer and the Chairman have been clearly established, adhering to best corporate governance practices. The responsibility and task of the Chairman and the Chief Executive Officer are separated in order to facilitate better workings of the Company and the Group.

New Directors are nominated to bridge identified knowledge gaps. Such Directors are elected to the Board by shareholders at the Annual General Meeting. In accordance with the Articles of Association, 1/3 of the Directors retire annually and being eligible, offer themselves for re-election. The Board meets

quarterly and the agenda is circulated to the Board members well ahead of the scheduled date. The Chairman of the Board as well as members chairing the various Committees of the Board will outline the agendas for the Board and Committee meetings respectively. Each Director or member is free to suggest items for the agenda or raise issues and concerns at these meetings.

Amāna Takaful Life PLC has outsourced its secretarial functions to a qualified company of secretaries.

The following committees of the Board have been formed with the objective of improving governance: viz-

- i. Audit and Compliance Committee
- ii. Risk Management Committee
- iii. Investment Committee
- iv. Remuneration Committee
- v. Related Party Transactions Review Committee
- vi. Executive Committee

Each Committee has a defined terms of reference approved by the Board, outlining the respective committees' authorities and responsibilities. The Board may, from time to time, establish and maintain additional committees. All members of these committees are expected to attend all meetings.

The Board Audit and Compliance Committee, Risk Management Committee, Investment Committee, Remuneration Committee and Related Party Transactions Review Committee of the Parent, Amāna Takaful PLC, function as the committees of the Company respectively.

i. The Board Audit and Compliance Committee

The Audit and Compliance Committee comprises three Independent Non-Executive Directors and One Independent Non-Executive Director who was appointed as an Executive Director w.e.f 2nd March 2020. One Independent Non-Executive Director retired w.e.f 30th November 2019. This Committee is chaired by Dato' Mohd Fadzli Yusof who is an Independent Non-Executive Director of the Company. The Chief Executive Officer, General Managers, relevant Senior Managers and Internal Auditors are invited to be present at the meetings. Exit meetings are held after each internal audit assignment with all concerned, where rectification actions taken of any weakness described in the audit findings. The details of the Audit and Compliance Committee are provided in the Report of the Board Audit and Compliance Committee on pages 47 and 48.

ii. The Board Risk Management Committee

The Risk Management Committee of the Board comprises four Non-Executive Directors of whom, three are Independent Directors. One Independent Non-Executive Director retired w.e.f 30th November 2019. This Committee is chaired by Dato' Mohd Fadzli Yusof who is an Independent Non-Executive Director of the Company. The main function of this Committee is to review and re-align the risk appetite of the Company at strategic and various functional levels. Further, the Committee also reviews the different risks that the Company is exposed to and recommends mitigation strategies for such risks.

A detailed report on the Risk Management Committee functions and its activities during the year 2019 are provided on pages 37 to 43.

iii. The Board Investment Committee

The Investment Committee comprises Osman Kassim, M.R.M. Nayeem and M.H.S. Kassim. The Committee ensures that a healthy investment portfolio is maintained within the Investment Guidelines of the Insurance Regulatory Commission of Sri Lanka and Shari'ah Advisory Council, whilst optimising yield to meet investment income targets of the Company.

The Committee convenes its meeting on a monthly basis.

iv. The Board Remuneration Committee

The Remuneration Committee is composed of four Non-Executive Directors of the Board of which, three are Independent Directors. One Independent Non-Executive Director retired w.e.f 30th November 2019. Details of remuneration paid to Directors are set out in Note 27 to the Financial Statements on page 89.

The Report of the Remuneration Committee is provided on page 49.

v. The Board - Related Party Transactions Review Committee

The Related Party Transactions Review Committee of the Board comprises three Independent Non-Executive Directors. One Independent Non-Executive Director retired w.e.f 30th November 2019. This Committee is chaired by M.R.M. Nayeem (Acting Chairman), who is an Independent Non-Executive Director of the Company, consequent to the resignation of A.S.M. Muzzammil w.e.f 30th November 2019. The Chief Executive Officer and relevant Senior Managers are invited to be present at the meetings. The details of the Related Party Transactions Review Committee are provided in the Report of the Related Party Transactions Review Committee on page 50.

vi. The Executive Committee of the Board

The Executive Committee or EXCOM is composed of four members of the Board and is chaired by Osman Kassim. Meetings are held once a month and the Committee is entrusted with the responsibility of monitoring the implementation of the business strategies of the Company and the Group. The members of the Committee are as follows:

- i. Osman Kassim - Chairman
- ii. M.H.M. Rafiq
- iii. M.R.M. Nayeem
- iv. A.S Kassim
- v. Mohamed Fazal Ghaffoor (Resigned w.e.f 30th November 2019)

Ethical Standards

Amāna Takaful Life PLC aspires to adopt the highest ethical standards and adheres to the Code of Ethics for Insurance Companies in Sri Lanka, which contain the following elements:

- ★ Honesty and fairness;
- ★ Compliance with regulatory requirements;
- ★ Accountability – provision of accuracy, timely and essential information to stakeholders;
- ★ Avoiding conflict of interest;
- ★ Professional judgement;
- ★ Maintaining privacy and confidentiality of customer – related information;
- ★ Corporate and Social Responsibility; and maintaining best practices in marketing and advertising.

The management encourages employees to adopt ethical practices during the monthly team brief.

Executive Management

The Chief Executive Officer deliberates strategic issues with the General Management Committee (GMC) which includes Heads of Departments. Each of them, who head

Strategic Business Units drive their business functions aligned to the strategic plan, building capacity and capability. Corporate Governance and Compliance is a key function of the GMC.

The Company's performance dashboard is a key evaluation and measurement tool in this process.

Internal Controls

The Board of Directors acknowledges the imperative of a sound and strong internal control environment for the purpose of attaining good governance. The internal control system, among others, covers risk management and organisational, operational, financial, compliance and business development controls. Towards this end, the Board has entrusted the responsibility of establishing an effective internal control system to the Audit and Compliance Committee, which is also responsible for the regular monitoring of such controls. In addition, an in-house audit team conducts internal audit on the systems and various aspects of the operations in accordance with the risk-based principle. The findings are conveyed to the Audit and Compliance Committee, which, in turn, briefs the Board on areas of concern.

Compliance with "Shari'ah" Requirements

Amāna Takaful Life PLC takes the utmost care in adhering to "Shari'ah" principles. A Shari'ah Unit has been set up internally to carry out quarterly reviews on the policies and operations of the Company. The Unit also conducts regular training programmes to members of staff in order to disseminate the knowledge of Shari'ah, in particular that relates with the operation of Takaful and Islamic finance in general. The Statement of Compliance is a part of the Annual Report and is provided on page 51.

Regulatory Compliance

The Audit and Compliance Committee is responsible for regulatory compliance. In addition, a Compliance Unit has been set up to monitor and investigate into all compliance-related matters across the Organisation. It keeps a close track of all new legislations, regulations etc., and notify and guide the respective departments accordingly.

Relationship with Stakeholders

The Board of Directors discloses policy decisions and operations affecting shareholders through its Quarterly and Annual Reports.

The Board entertains questions from shareholders at the Annual General Meetings ensuring shareholder participation and interaction.

The management holds monthly team brief at which employees are briefed on company performance, policies, goals and values of Amāna Takaful Group and their views and suggestions are sought and evaluated.

Amāna Takaful Life PLC believes in serving its customers beyond their expectations. An interactive website provides access to the general public on the Company's activities.

Solvency requirements

The Solvency Margin (Risk-Based Capital) pertaining to Long-term Insurance (Family Takaful) Business has been maintained as per the Solvency Margin (Risk-Based Capital) Rules 2015. Amāna Takaful Life PLC has met the minimum Total Available Capital (TAC) requirement as at 31 December 2019, while sustaining the Capital Adequacy Ratio (CAR) well above the Regulatory minimum of 120%.

Corporate governance disclosures under CSE Rules in relation to Directors of the Company

Areas of Compliance	Current Status	Remarks
Board of Directors	Non-Executive Directors 1. Osman Kassim - Chairman 2. Dato' Mohd Fadzli Yusof 3. M.H.M. Rafiq 4. R. Gopinath - (Resigned w.e.f. 1st December 2019) 5. Mohamed Fazal Ghaffoor - (Resigned w.e.f. 30th November 2019) 6. Ammar Shafik Kassim 7. M.R.M. Nayeem 8. Dileepa Anura Wijesundera - (Resigned w.e.f. 6th January 2020) 9. Syed Rizwan Hussain (Appointed w.e.f. 2nd October 2019)	All members of the Board serve in the capacity of Non-Executive Directors. The Company has complied with the CSE Listing Rules 7.10.1.
	Independent Directors 1. Dato' Mohd Fadzli Yusof* 2. M.H.M. Rafiq* 3. Ammar Shafik Kassim 4. M.R.M. Nayeem 5. Syed Rizwan Hussain (Appointed w.e.f. 2nd October 2019)	All the Non-Executive Directors have submitted the annual declaration of their independence or non-independence. The Board reviewed the declarations and determined the Independent Directors of the Company as per Rule 7.10.3 (a) The Board comprises of five Independent Directors out of six Non-Executive Directors by the end of 2019. Dato' Mohd Fadzli Yusof and M.H.M. Rafiq do not technically qualify as independent by not meeting Rule 7.10.4 (e) of the CSE Listing Rules (more than 9 years). However, as per Rule 7.10.3 (b) the Board after much discussion were of the view that they are nevertheless independent. Set out below are the criteria to consider them as Independent Directors: a. They do not provide any services to the Company in a capacity other than Director. b. They have not received financial assistance from the Company. c. They do not have any apparent conflict of interest in the Company which would impair their independent judgment as Directors. The Board was also of the view that taking into account the contribution made by these Directors to the affairs of the Company, their integrity and stature were not in question. The Company has complied with the CSE Listing Rules 7.10.2.

Areas of Compliance	Current Status	Remarks
Remuneration Committee	1. Dato' Mohd Fadzli Yusof - Chairman 2. M.H.M. Rafiq 3. Dr. A.A.M. Haroon 4. A.S.M. Muzzammil (Resigned w.e.f. 30th November 2019)	Remuneration Committee of the Parent Company, Amāna Takaful PLC, functions as the Remuneration Committee of the Company in terms of CSE Listing Rules 7.10.5.
Audit and Compliance Committee	1. Dato' Mohd Fadzli Yusof - Chairman 2. M.H.M. Rafiq 3. A.S.M. Muzzammil (Resigned w.e.f. 30th November 2019) 4. M.H.S. Kassim	Audit and Compliance Committee of the Parent Company, Amāna Takaful PLC, functions as the Audit and Compliance Committee of the Company in terms of CSE Listing Rules 7.10.6.
Related Party Transactions Review Committee	1. A.S.M. Muzzammil - Chairman (Resigned w.e.f. 30th November 2019) 2. M.R.M. Nayeem 3. M.H.M. Rafiq	Related Party Transactions Review Committee of the Parent Company, Amāna Takaful PLC, functions as the Related Party Transactions Review Committee of the Company in terms of CSE Listing Rules 9.2.3.

Compliance with IRCSL Direction # 17 on Corporate Governance

The company has ensured compliance with the above guidelines except for the limitation on the age of directors. As of the reporting date, 2 directors are in the age category of 71 to 75 years. The company has initiated actions to comply with the requirements within the grace period of 30th June 2021 stipulated in these Rules.

Directors' attendance at the meetings

Board Meeting

Four Board meetings were held on quarterly basis for the year 2019 and the attendance of each Director at such Board meetings conducted during their tenure is given in the following table:

Name of the Director	Board Meetings	
	Held/Applicable	Attended
1. Osman Kassim	4	4
2. Dato' Mohd Fadzli Yusof	4	2
3. M.H.M. Rafiq	4	4
4. Radhakrishnan Gopinath (Resigned w.e.f 1st December 2019)	4	3
5. Mohamed Fazal Ghaffoor (Resigned w.e.f. 30th November 2019)	4	4
6. Ammar Shafik Kassim	4	4
7. M.R.M. Nayeem	4	4
8. Dileepa Anura Wijesundera (Resigned w.e.f. 6th January 2020)	4	1
9. Syed Rizwan Hussain (Appointed w.e.f. 2nd October 2019)	1	1

Committee Meeting

The committee of Amāna Takaful PLC, the parent company functions as the committees of the Company in terms of the Listing Rules of the Colombo Stock Exchange. These committees include some of the Directors of the parent company.

Name of the Committee Member	Audit Committee Meetings		Remuneration Committee Meetings		Related Party Transactions Review Committee	
	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended
Dato' Mohd Fadzli Yusof	4	3	2	2		
M.H.M. Rafiq	4	4	2	2	4	4
M.R.M. Nayeem					4	4
A.S.M. Muzzammil (Resigned w.e.f. 30th November 2019)	4	4	2	2	4	4
Dr. A.A.M. Haroon			2	2		
M.H.S. Kassim	4	3				

As the pioneer Takaful company, risk management is at the heart of what we do and is the source of value creation as well as a vital form of control. It is an integral part of maintaining financial stability for our customers, shareholders and other stakeholders. Our sustainability and financial strength are underpinned by effective risk management, which allows us to prepare for future challenges, move speedily and facilitate better decisions for our customers, giving them peace of mind.

The Company's Risk Management Strategy is to operate within the risk appetite guidelines set by the Board Risk Committee and approved by the Board of Directors, which are then reviewed on a quarterly basis, with an eye on the changing corporate risk environment. Given the increased level of assertiveness required in the Risk-Based Capital regime and the connected risk involvements, the Company revisited the current Risk Management Model and widened its scope to an Enterprise Risk Management (ERM) Framework. The Risk Management Unit carries out the risk management process with involvement of departments, managers and executives on the ERM Framework.

Though the risk elements are managed on a daily basis at operational levels, the Risk Management Committee (RISCO) formally monitors the Key Risk Indicators through Enterprise Risk Registers for both Life and General Segments separately since 2014. This section elaborates the Company's Enterprise Risk Management Framework and the Key Risk Management activities carried out during 2019.

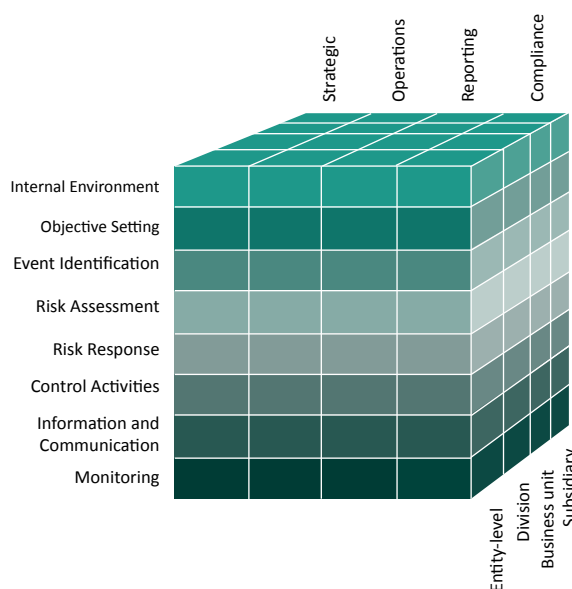
What is Enterprise Risk Management?

ERM is yet an emerging topic in this part of the world thus needs repeated explanations and elaborations for our society both internally and externally. ERM has formally been defined as 'the identification and assessment of the collective risks that affect firm value, and the implementation of a firm-wide strategy

to manage those risks' (Meulbroek 2002). Collective risks refer to risk categories such as the one profiled in Committee of Sponsoring Organisations of the Treadway Commission (COSO) ERM cube, as well as the interaction of risks over time.

COSO and framework which was published in 2004 in US defines ERM:

"...a process, effected by an entity's Board of Directors, Management and other personnel, applied in strategy setting and across the enterprise, designed to identify potential events that may affect the entity, and manage risks to be within its risk appetite, to provide reasonable assurance regarding the achievement of entity objectives."



The underlying premise of Enterprise Risk Management is that every entity exists to provide value for its stakeholders. All entities face uncertainty and the challenge for Management is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Enterprise Risk Management enables Management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

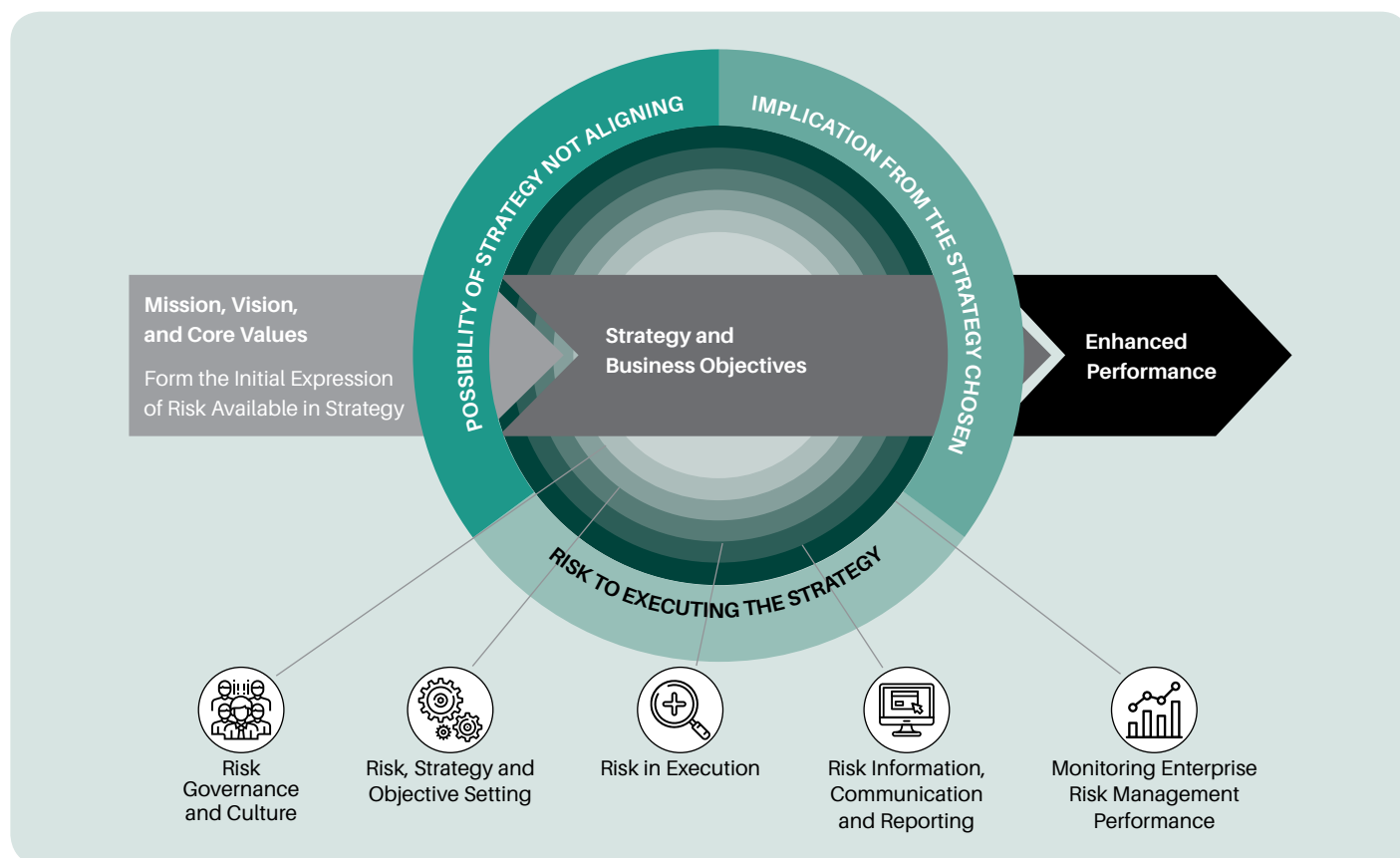
Value is maximised when Management sets strategy and objectives to strike an optimal

balance between growth return goals and related risks, and efficiently and effectively deploys resources in pursuit of the entity's objectives. Enterprise Risk Management Encompasses -

- ★ Aligning risk appetite and strategy - Management considers the entity's risk appetite in evaluating strategic alternatives, setting related objectives, and developing mechanisms to manage related risks.
- ★ Enhancing risk response decisions - Enterprise Risk Management provides the rigor to identify and select among alternative risk responses - risk avoidance, reduction, sharing, and acceptance.

- ★ Reducing operational surprises and losses – Entities gain enhanced capability to identify potential events and establish responses, reducing surprises and associated costs or losses.
- ★ Identifying and managing multiple and cross-enterprise risks – Every enterprise faces a myriad of risks affecting different parts of the Organisation, and Enterprise Risk Management facilitates effective response to the interrelated impacts, and integrated responses to multiple risks.
- ★ Seizing opportunities – By considering a full range of potential events, Management is positioned to identify and proactively realise opportunities.
- ★ Improving deployment of capital – Obtaining robust risk information allows Management to effectively assess overall capital needs and enhance capital allocation.

These capabilities inherent in Enterprise Risk Management help Management achieve the entity's performance and profitability targets and prevent loss of resources.



Enterprise Risk Management helps to ensure effective reporting and compliance with laws and regulations, and helps avoid damage to the entity's reputation and associated consequences. In summary, Enterprise Risk Management helps an entity get to where it wants to go and avoid pitfalls and surprises along the way.

Enterprise risk management is as much about understanding the implications from the strategy and the possibility of strategy not aligning as it is about managing risks to set objectives. The figure below illustrates these considerations in the context of mission, vision, core values, and as a driver of the company's overall direction and performance.

Definitions of Risk and Risk Management

Risk in general could be defined as "The combination of the probability of an event and its negative consequences", in other words, the barriers in meeting the corporate objectives.

Risk Management can be defined as "An efficient and effective process of minimising risks in meeting stakeholder requirements". However, Enterprise Risk Management is not strictly a serial process, where one component affects only the next. It is a multidirectional, iterative process in which almost any component can and does influence another.

Risks Faced by Insurance Companies

It appears that many organisations are experiencing pressure and recognising that change in the Organisation's overall approach to risk oversight is warranted, with the status quo no longer acceptable. Insurance companies whose business model is based on risk management require special attention with regard to its management. As an insurance company, we identified the following risk categories as illustrated in the diagram below. The risk management professionals refer to this as the "Risk Wheel". The different colours and shapes illustrate the magnitude and angles of risks that each of the risk types carries with it.

1. Insurance risk

Being an insurance company, risks related to the insurance business i.e., Insurance Risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this category:

Risks	Control
Product Design and Pricing – Designing the product offers and benefits with the right pricing is very critical to the insurance business.	The Company has appointed a Product Development Team with a set of hand-picked members from Sales, Underwriting, Actuarial, Marketing, Strategy and further, actuarial support is obtained from the appointed Actuary.

a Retakaful risk

Risk	Control
Credit risk can also be a factor with respect to Retakaful. Should a reinsurance company be either slow to pay its claims/contributions or unable to make such payments, the effects on insurance company performance (and hence value) could be significant.	Retakaful placements are done with reinsurers having credit ratings as required by Insurance Regulatory Commission of Sri Lanka. The services of professional Retakaful brokers are also obtained in reinsurance placements.

2. Market risks

Market risks are wider risks that any company is exposed to in terms of Demand and Supply for any types of goods and services, and cost. The increased competition from the industry players in terms of rates, products, marketing etc., are continuous risks while the entry of new players to the industry is a further risk.

Furthermore, for insurance companies which are heavily dependent on investment income, healthy market conditions underpinned by solid economic conditions are vital. Therefore, in addition to the overall economic growth conditions, key economic variables such as interest rates, inflation, stock market performance, exchange rates, and commodity market conditions especially Gold etc., expose enormous speculative risks to the Company.

3. Strategic and reputational risk

Achievement of overall Business Goals is the top most priority for any Company and justifies the purpose and existence of organisations in the long run. However, companies need to achieve their corporate goals consistently in the short run in order to achieve long-term success. Thus, achieving annual targets in terms of revenue and profitability along with other operational targets become critical to the Organisation. Even though the overall Enterprise Risk Management Framework embraces this objective, specific strategies and action plans to support and ensure achievements of annual targets are vital.

Due to internal and external reasons the Company could be exposed to serious risks to the reputation of the Company and its Brand Image, which could in turn affect the performance and achievement of corporate goals.

4. Operational risks

Operational risks result from inadequate or failed internal processes, people and systems which cover a wider area of operational aspects:

Risks	Controls
Sudden disasters/calamities	A detail DRP is in force to recover within 12 hours.
BCP/DRP failures	Tested every six months.
Not having the right people at the right place	A Semi-Annual Performance Appraisal system is in place to scrutinise the performance of key staff members including the Top Management Personnel.
Process failures – SOP's do not capture important controls	The Risk Committee reviews the SOP's periodically along with internal audit and makes modifications when required.
Potential fraud and errors	Strict implementation of the SOP's will minimise the risks involved in this area in addition to the supervisory controls.
Liquidity crunch	The Treasury team prepares a cash forecast on a weekly basis prior to making investment decisions.
Technology failure	The Disaster Recovery Plan covers such risks.
Non-implementation of Key Projects	The General Management Committee (GMC) meets monthly and reviews projects under implementation.
Utilities	Electricity – A back-up Generator is fully active.

5. Compliance risk

The Key Compliance Risks and the control measures are listed below:

Risk	Controls
Unable to comply with the applicable regulatory requirements	The first item of the agenda for the regular Executive Committee is set on compliance matters to prioritise the discussion on the subject. Any significant issue is escalated to the Audit/Risk Committees and the Board. A Dedicated Compliance Department is functional headed by a Senior Manager who is a member of the General Management Committee. All heads of departments are made aware of the applicable laws and regulations. Further, the regulatory requirements are cascaded down to relevant staff members. A monthly sign-off is obtained on a compliance check list covering applicable laws and regulations. This Checklist is tabled at the Executive Committee meetings. A periodic internal audit exercise is carried out on the compliance function and a report is tabled at the Audit Committee meetings.

ATI – Risk Management Grid

Impact/Consequences and Likelihood of the risks are the two parameters to gauge the criticalness of the risks that are encountered by the Company. The parameter of Likelihood ranges from almost certain to rare on a scale of A to E while the consequence parameter ranges from Negligible to Severe on I to V scale.

Consequence		Likelihood				
		Rare	Unlikely	Possible	Likely	Almost Certain
		E	D	C	B	A
Severe	V	H	H	H	VH	VH
Major	IV	M	M	H	H	VH
Moderate	III	M	M	H	H	H
Minor	II	L	L	M	M	H
Negligible	I	L	L	L	M	M
		L – Low	M – Medium	H – High	VH – Very high	

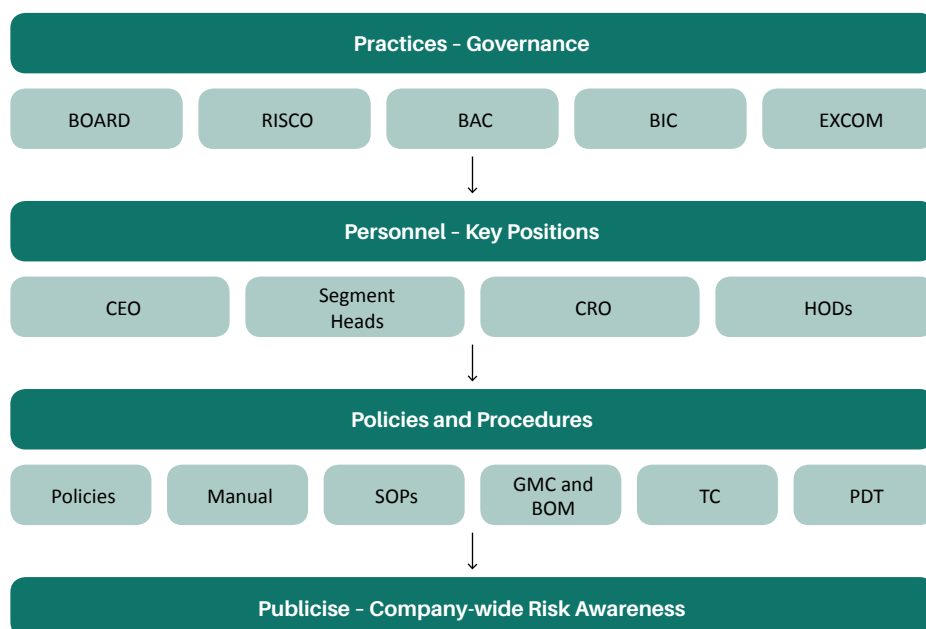
Amāna Takaful maintains a Risk Register which analyses all the potential risks under each of the above Category and these items have been graded based on the above parameters of Likelihood and Consequences.

The Company adopts the following strategies in managing the risks as per the likelihood and impact grading. Please refer the Impact and likelihood along with the Risk Management Grid:

Impact/Likelihood	Risk	Option	Strategy
(I,E), (I,D), (I,C), (II,E), (II,D).	Low	Accept	Keep monitoring of the Likelihood.
(I,B), (I,A), (II,C), (II,B), (III,E), (III,D), (IV,E), (IV,D).	Medium	Reduce Likelihood and/or Impact	Have measures to manage Likelihood and/or Impact.
(II,A), (III,C), (III,B), (III,A), (IV,C), (IV,B), (V,E), (V,D), (V,C).	High	Spread and/or Transfer	Spread the risk to a third party or involve risk owner sharing the risk. Have contingency arrangements. Have plans for recovery.
(IV,A), (V,B), (V,A).	Very High	Avoid	Do not participate in the activity.

ATI Enterprise Risk Management Framework

In the ERM Framework of the Company has been structured into a 4-stage cascade viz: Practices, Personnel, Procedures and Publicise from a risk management perspective, as illustrated below:



Board	- The Board of Directors	HODs	- Heads of Departments
RISCO	- Board Risk Committee	SOPs	- Standard Operating Procedures
BAC	- Board Audit Committee	GMC	- General Management Committee
BIC	- Board Investment Committee	BOM	- Business Operations Management
EXCOM	- Executive Committee	TC	- Technical Committee
CEO	- Chief Executive Officer	PDT	- Product Development Team
CRO	- Chief Risk Officer		

The ERM framework operates on a bottom-up approach in terms of its lines of defence.

First line of defence

Publicise - Educating the staff at shop floor level with the appropriate level of authority will help them take the right decision at the right time. We recognise that staff in the front line are exposed to the market and most often encounter various challenges. Cognisant of the challenge in communicating the entire ERM framework and strategies to manage risks, the Risk Management Unit has adopted a simplified cascade process to the wider audience to mobilise support and upscale knowledge at all levels in the Company.

Second line of defence

Policies and Procedures - Policies and Procedures play a vital role through proper internal control mechanisms in mitigating several risk factors. Further, the Company also has re-structured the Management Review Process through the General Management Committee (GMC) and a Business Operations Management Team (BOM), widening the participation of Key Management Personnel with specific roles in each of the groups.

Third line of defence

Key Personnel being appointed at key positions in any organisation will mitigate a major part of the risk. We believe in our people, especially people who are occupying key positions, that they will take prudent business decisions in pursuit of corporate objectives.

Final line of defence

Governance practices are activities that take place at Board level in order to ensure delivery of promises made to the stakeholders. In addition to the scheduled Board meetings and deliberations, there are Subcommittees at Board level such as the Investment, Board Audit, Risk Management and Executive Committees. These committees independently meet with the Key Management Personnel and review performance, challenges and opportunities under the respective areas and report to the Board periodically. While the Executive and the Investment Committees meet on a monthly basis, the other committees meet on a quarterly basis.

Risk Management Process

In the process of managing the risks of the Organisation the Company has identified the following Key Risk Indicators. Corrective actions will be taken as and when significant deviations are observed in the relevant areas:

Risk Area	Key Risk Indicator
Insurance Risk	★ Product Profitability ★ RI Covers Vs Risk Accumulation
Strategic and Reputational Risk	★ Daily Target Achievements ★ Variance Analysis ★ Market Positioning ★ Client Satisfaction Index
Market Risk	★ Interest Rate Movement ★ Equity Market Movement ★ Economic Indicators ★ Changes in Tax Regulations ★ Changes in Government Policies
Operational Risk	★ Staff Turnover Ratio ★ Staff Satisfaction Index ★ Internal/External Audit Findings ★ Deviations from ISO Standards on Safety Measures ★ Current and Liquidity Ratios
Compliance Risk	★ Queries Raised by Regulator/Ombudsman ★ Pending Legal Matters ★ Unresolved Audit Queries ★ Items in the Management Letter ★ Investment Portfolio Mix

The Chief Executive Officer of Amāna Takaful PLC, Chief Executive Officer of Amāna Takaful Life PLC, Head of Finance were invited to be present at all meetings of the Committee during the period under review. The Head of Compliance and Corporate Risk also attended all meetings in the capacity of Secretary to the Board Risk Committee. Other members of the Management were also invited to attend the meeting when required.

Key Areas Reviewed by the Board Risk Committee during 2019

- ★ Review of the Risk Registers and monitored the Key Risk Indicators covering all aspects of the business.
- ★ Review of the status pertaining to Capital Adequacy Ratio (CAR) and Total Available Capital (TAC) under Solvency Margin (Risk Based Capital) Rules 2015.
- ★ Review of key risks pertaining to Family Takaful Business.
- ★ Review of Investments.

The Board Risk Committee of the Parent, Amāna Takaful PLC functions as the Risk Committee of the Company. The composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Members	No. of Meetings Attended
1. Dato' Mohd Fadzli Yusof – Chairman Independent Non-Executive Director	3 out of 4
2. M.H.M Rafiq Independent Non-Executive Director	4 out of 4
3. Dr. A.A.M. Haroon Non-Executive Director	3 out of 4
4. A.S.M. Muzzammil (Resigned w.e.f 30th November 2019) Independent Non-Executive Director	4 out of 4

The Directors are pleased to submit their report together with the audited accounts of the Company, for the year ended 31st December 2019, to be presented at the 04th Annual General Meeting of the Company.

Review of the Year

The Chairman's Review on pages 6 and 7 describes the Company's affairs and mentions important events that occurred during the year, and up to the date of this Report. The Management Discussion and Analysis on pages 17 to 27 elaborates the financial results of the Company. These reports together with the Audited Financial Statements reflect the state of affairs of the Company.

Principal Activities

The principal activity of the Company is Family Takaful (Long-term Insurance) business.

Financial Statements

The Financial Statements are prepared in conformity with the Sri Lanka Accounting Standards and in compliance with the requirements of Section 151 of the Companies Act No. 07 of 2007 and the Rules and Regulations of Insurance Regulatory Commission of Sri Lanka, are given on pages 59 to 100 of this Annual Report.

Independent Auditors' Report

The Auditors' Report on the Financial Statements is given on pages 56 to 58 of this Annual Report.

Accounting Policies

The accounting policies adopted in preparation of the Financial Statements are given on pages 66 to 76.

Financial Results and Appropriations

The Loss After Taxation of the Company for the year was Rs. 29.1 Mn (2018 - Loss Rs. 63.0 Mn).

The Family Takaful (Life) Fund balance including Unit Linked Fund has increased to Rs. 2,219 Mn from Rs. 2,195 Mn in 2018.

Property, Plant and Equipment

During the year under review, the capital expenditure on Property, Plant and Equipment for the Company amounted to Rs. 5.6 Mn (2018 - Rs. 12.4 Mn).

Information relating to movement in Property, Plant and Equipment during the year is disclosed under Note 5 to the Financial Statements.

Financial Assets

Details of financial assets held by the Company are given in Note 8 to the Financial Statements.

Reserves

Accumulated Loss as at 31st December 2019 for the Company amounted to Rs. 18.9 Mn (2018 - Accumulated Profit Rs. 12.3 Mn). The breakup and the movement are shown in the Statement of Changes in Equity in the Financial Statements.

Stated Capital

The stated capital of the Company as at 31st December 2019 was Rs. 500,000,000, represented by 50,000,000 ordinary shares. The details of the stated capital are given in Note 19 to the Financial Statements on page 87

Contingent Liabilities

There were no material contingent liabilities outstanding as at 31st December 2019 other than those reported in Note 31 to the Financial Statements.

Material Issues Pertaining to Employees and Industrial Relations of the Company

The Company did not come across any material issues pertaining to employees and industrial relations during the year.

Post-Balance Sheet Events

There were no material events occurring after the Reporting date that require adjustments or disclosure in the Financial Statements.

Directors' Responsibilities

The Statement of the Directors' Responsibilities is given on page 54 of this Annual Report.

Corporate Governance

The Company has complied with the Corporate Governance Rules laid down under the Listing Rules of the Colombo Stock Exchange. The Report on the Corporate Governance is given on pages 28 to 36 of this Annual Report.

Statutory Payments

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities have been paid within the stipulated period.

Interests Register

The Company has maintained an Interests Register as contemplated by the Companies Act No. 07 of 2007.

- Directors' interest in contracts of the Company, both direct and indirect during the year under review, are included in Note 30 in the related party disclosures to the Financial Statements.
- Details of shareholding of Directors are given under particulars of Directors' Shareholding on page 46.

Board Committees

Audit and Compliance Committee

The Audit and Compliance Committee of the Parent Company, Amāna Takaful PLC functions as the Audit and Compliance Committee of the Company. Following are the names of the Directors comprising the Audit and Compliance Committee of the Board:

- Dato' Mohd Fadzli Yusof - Chairman
- M.H.M. Rafiq
- M.H.S. Kassim
- A.S.M. Muzzammil (retired w.e.f. 30th November 2019)

The Report of the Audit Committee on pages 47 and 48 set out the manner of compliance by the Company in accordance with the requirements of the Rule 7.10.6 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

Remuneration Committee

The Remuneration Committee of the Parent Company, Amāna Takaful PLC functions as the Remuneration Committee of the Company. Following are the names of the Directors comprising the Remuneration Committee of the Board:

1. Dato' Mohd Fadzli Yusof – Chairman
2. M.H.M. Rafiq
3. Dr. A.A.M. Haroon
4. A.S.M. Muzzammil (retired w.e.f. 30th November 2019)

The particulars of the Remuneration Committee are mentioned in the Report of the Remuneration Committee on page 49 in accordance with the requirements of the Rule 7.10.5 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance. The details of the aggregate remuneration paid to the Executive and Non-Executive Directors during the financial year are given in Note 27 to the Financial Statements.

Related Party Transaction Review Committee

The Related Party Transactions Review Committee of the Parent Company, Amāna Takaful PLC functions as the Related Party Transactions Review Committee of the Company. Following are the names of the Directors comprising Related Party Transaction Review Committee of the Board in accordance with the requirements of the Rule 9.2 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

1. M.R.M. Nayeem - Acting Chairman
2. A.S.M. Muzzammil - Chairman (retired w.e.f. 30th November 2019)
3. M.H.M. Rafiq

Share Information and Substantial Shareholdings

The distribution of shareholding, market value of shares and twenty largest shareholders are given on pages 103 and 104.

The earnings per share, dividends per share, net assets per share are given on page 104.

Directors

The Directors of the Company during the year are as follows:

	Date of Appointment	Date of Resignation
Osman Kassim	10th September 2018	Nil
Dato' Mohd Fadzli Yusof	26th June 2014	Nil
M.H.M. Rafiq	26th June 2014	Nil
R. Gopinath	26th June 2014	01st December 2019
M. Fazal Ghaffoor	26th June 2014	30th November 2019
A.S. Kassim	7th March 2016	Nil
M.R.M. Nayeem	2nd January 2018	Nil
D. A. Wijesundera	22nd May 2018	6th January 2020
S. R. Hussain	02nd October 2019	Nil

A brief profile of the Directors are given on pages 10 to 13 of this Annual Report.

In terms of Section 24 (2) of the Articles of Association of the Company, Mr. Syed Rizwan Hussain has been appointed as a Director subsequent to the last Annual General Meeting and being eligible have offered themselves for re-election.

In terms of Section 24 (7) of the Articles of Association of the Company, Mr. A. Shafik Kassim and Mr. M.R.M. Nayeem retire by rotation and being eligible have offered themselves for re-election.

In terms of section 210 of the Companies Act no 7 of 2007, Mr. M. H. M. Rafiq who is over 70 years of age does not offer himself for re-appointment, and have notified his intention of stepping down from the board.

In terms of section 210 of the Companies Act no 7 of 2007, Dato' Mohd Fadzli Yusof who is over 70 years of age does not offer himself for re-appointment, and have notified his intention of stepping down from the board.

Directors' Shareholdings

The interest of the Directors in the shares of the Company as at 31st December 2019 were as follows:

Number of Ordinary Shares		
	As at 31st December 2019	As at 31st December 2018
Osman Kassim	Nil	Nil
Dato' Mohd Fadzli Yusof	Nil	Nil
M.H.M. Rafiq	Nil	Nil
A.S. Kassim	Nil	Nil
M.R.M Nayeem	Nil	Nil
D. A. Wijesundera	Nil	Nil
S. R. Hussain	Nil	Nil

CEO' Shareholdings

The interest of the Chief Executive Officer (CEO) in the shares of the Company as at 31st December 2019 is as follows:

Number of Ordinary Shares		
	As at 31st December 2019	As at 31st December 2018
Mr.Gehan Rajapakse	Nil	Nil

Independence of Directors

Particulars of Independent Directors are mentioned under Corporate Governance Report on page 34.

Related Party Transactions

There are no related party transactions which exceeds the lower of 10% of equity or 5% of the total assets of the Company other than those reported in Note 30 to the Financial Statements. Directors have disclosed the transactions with related parties in terms of Sri Lanka Accounting Standard LKAS 24 – "Related Party Disclosures" in Note 30 to the Financial Statements.

In terms of section 9.3.2 (d) of the listing rules the board confirms that the company has complied with all requirements pertaining to related party transaction.

Going Concern

The Directors, after making necessary inquiries and review of the financial position and future prospects of the Company, have a reasonable expectation that the Company has adequate resources to continue to be in operational existence for the foreseeable future. Therefore, the going concern basis is adopted in the preparation of the Financial Statement.

Auditors

The resolutions to appoint the present Auditors, Messrs Ernst & Young, Chartered Accountants, who have expressed their willingness to continue in office, will be proposed at the Annual General Meeting.

The audit and non-audit fees paid to the Auditors is disclosed in Note 27 on page 89 of this Annual Report. As far as the Directors are aware, the Auditors do not have any relationship or interest in the Company.

The Audit Committee reviews the appointment of the Auditors, its effectiveness and its relationship with the Company including the level of audit and non-audit fees paid to the Auditors. Details on the work of the Audit Committee are set out in the Audit Committee Report.

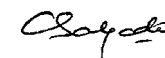
Notice of Annual General Meeting

The Annual General Meeting will be held on 14th July 2020 at 11.30a.m. at the Board room of Amāna Takaful PLC No. 660 - 1/1, Galle Road Colombo 03, via Audio/Video (Virtual AGM). The Notice of the Annual General Meeting appears on page 109 of this Annual Report.

For and on behalf of the Board,



Osman Kassim
Chairman



Managers & Secretaries (Pvt) Ltd.
Secretaries
Amāna Takaful Life PLC

20 May 2020
Colombo

Composition

The Audit Committee of the Board, appointed by and answerable to the Board of Directors, comprises (as at the date of this Annual Report) four members who are Independent Non-Executive Directors. The Committee is made up of members who bring their varied expertise, experience and knowledge to carry out and discharge their duties and responsibilities professionally and effectively. The Committee meets at least four (4) times a year, usually at quarterly intervals, to review and approve both the annual external and internal audit plans; ensure the independence and objectivity of the External Auditors; review the internal audit process, adequacy of internal controls and assessment on various transactions of the related party. In addition, the Committee also plays the role of a platform for the Management to raise concerns on possible irregularities for investigation.

The Board Audit and Compliance Committee of Amāna Takaful PLC, the Parent Company functions as the Board Audit and Compliance Committee in terms of Section 7.10.6 (a) of the Listing Rules of the Colombo Stock Exchange. The membership composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Member	Number of Meetings Attended
Dato' Mohd Fadzli Yusof Chairman/Independent Non-Executive Director	3 out of 4
M.H.M. Rafiq Independent Non-Executive Director	4 out of 4
Aboo Sally Mohamed Muzzammil Independent Non-Executive Director (resigned w.e.f. 30th November 2019)	4 out of 4
M.H. Sattar Kassim Independent Non-Executive Director (Appointed as Managing Director w.e.f. 2.3.2020)	3 out of 4

The Chief Executive Officer, Chief Executive Officer of the Parent Company, as well as Head of Sales and Marketing were invited to be present at all meetings of the Committee during the period under review. The Head of Internal Audit also attended all meetings in the capacity of Secretary to the Audit Committee, so were the respective Heads of Departments Compliance and Corporate Risk, Finance, Underwriting, Claims and Reinsurance/Retakaful. Other members of the Management were also invited to attend the meeting when required.

Agendas and reports to be tabled, presented and deliberated at the meetings were prepared and distributed sufficiently in advance to all members, along with the appropriate and relevant briefing materials.

Objectives, Duties and Responsibilities

The key objectives of the Audit Committee are:

- ★ To satisfy themselves that a good financial reporting system is in place in order to ensure accurate and timely financial information to the Board of Directors, regulators and shareholders and to make sure that these are prepared in accordance with Sri Lanka Accounting Standards and other relevant laws and regulations.

- ★ To satisfy themselves of the effectiveness of the Company's risk management process in order to identify and mitigate risks.
- ★ To review the design and implementation of the internal control system and take steps to strengthen them as necessary.
- ★ To ensure that the contract of the business is in compliance with the applicable laws and regulations of the country and the policies and procedures of the Company.
- ★ To assess the independence of the External Auditors and monitor the performance of Internal and External Auditors.
- ★ To assess the Company's ability to continue as a going concern in the foreseeable future.

The primary duties and the responsibilities of the Committee are as follows:

1. Review the adequacy of the internal audit programme and plan, internal audit findings and recommend actions to be taken by the Management of deficiencies in controls, processes and procedures.
2. Assessment of the independence and performance of the Company's External Auditors.
3. Review the Management Letter of the External Auditors and follow-up on its recommendations.
4. Ensure the preparation and presentation of financial reports in line with the accounting standards and ensuring the adequacy of disclosure in such report.
5. Review the effectiveness of internal controls and risk management processes.
6. Ensure compliance with Regulatory Affairs and Corporate Governance.

Internal Audit

The internal audit functions of the Company are undertaken by the Internal Audit Department. The Department presented to the Committee the Comprehensive Audit Plan for the financial year under review, and instructed the Internal Auditors on the approach to be adopted in their auditing processes.

Apart from the Audit Plan, the Committee also instructed the Auditors to carry out investigation, inspection and auditing on certain issues deemed necessary to maintain and ensure the adequacy and effectiveness of internal controls, appropriate governance and principles of best practice.

The Committee deliberated and reviewed a number of internal audit reports, audit findings and the management responses as well as its action plans on a multitude of operational areas such as Reinsurance (Retakaful), various types of reserve including technical/mortality reserve, claims and underwriting as well as treasury matters. To ensure key decisions and recommendations of the Committee were efficiently implemented a process of follow-up programmes had been put in place. Where necessary, Auditors were directed to conduct follow-up audits and inspections.

External Audit

The Committee reviewed and deliberated the Management Letter and other recommendations submitted by the External Auditors, Messrs Ernst & Young and followed-up the issues raised, during the financial year under review. From time to time during the period under review External Auditors made presentations and briefings to the Committee on matters related to new accounting standards and regulatory requirements.

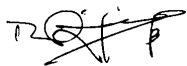
The Committee further made recommendations in relation to the remuneration, functions and terms of engagement of the External Auditors, particularly in relation to their audit work.

Provision of Non-Audit Service

The Committee is also responsible for reviewing the nature of non-audit services that the External Auditors may undertake in order to ensure that the Auditors' independence is not impaired in such circumstances.

Conclusion

The Committee is satisfied that effective measures, in respect of internal controls of the Company, are in place. The accounting standards are duly followed. Similarly, all the activities and functions of the Company are in compliance with regulatory and statutory provisions as well as its internal operating procedures. The Committee is also comfortable that the assets of the Company have been adequately safeguarded, and the requirements of independence of both the Internal and External Auditors are met. With the transparent and appropriate relationship established with the External Auditors, the latter have an obligation to raise and highlight any significant defects or weaknesses in the Company's system of internal control and compliance to the attention of the Management, the Committee and the Board. On the whole, the Committee firmly believes that the Company is in the right direction in terms of corporate governance and best practices.



Dato' Mohd Fadzli Yusof

*Chairman - Board Audit and Compliance
Committee*

20 May 2020
Colombo

The Remuneration Committee is entrusted by the Board of Directors with the responsibility of overseeing a reasonable, attractive and competitive remuneration package policy be adopted for all level of employees of the Amāna Takaful Group of companies. The policy ought to be aligned with the Group's performance and interests of all stakeholders. The Committee has to ensure that the remuneration structure is commensurate with each employee's performance, competency, commitment, dedication, responsibility and skill.

In implementing the policy, the Committee reviewed and compared the overall executive compensation package, benchmarking against the industry, for the consideration and adoption of the Board. It also recommended the packages for the Chief Executive Officer and other senior members of the Management, taking into cognisance the practice of the industry as well as the overall financial strength of the Group. In relation to this, the Committee took into consideration Key Result Areas and Performances linked to the achievement, contribution and performance of each individual officer, relative to respective targets set.

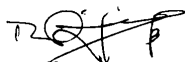
Independent Directors had not received, directly or indirectly, any consulting, advisory or other compensatory fees from the Group. Papers to be deliberated at meetings of the Committee were distributed in advance to all the members.

Other key responsibilities under the mandate of the Remuneration Committee covered the following scopes:

- ★ Reviewing and ensuring that the Group implemented a sound Performance Appraisal Review System for employees at all levels.
- ★ Making recommendation to the Board on annual increments, key promotions and scale-ups.
- ★ Making recommendation to the Board on bonus and related payment, if any, to employees of all levels.
- ★ Considering and recommending to the Board the remuneration scheme for the Directors.

The Board Remuneration Committee of Amāna Takaful PLC, the parent Company functions as the Board Remuneration Committee in terms of Section 7.10.5 (a) of the Listing Rules of the Colombo Stock Exchange. The Committee Comprised of four (4) Non-Executive Directors, of whom three (3) are independent. The Committee met twice during the year under review.

Members	Meeting Attendance
1. Dato' Mohd Fadzli Yusof – Chairman Independent Non-Executive Director	2 out of 2
2. M.H.M. Rafiq – Independent Non-Executive Director	2 out of 2
3. Dr. A.A.M. Haroon – Non-Executive Director	2 out of 2
4. A.S.M. Muzzammil Independent Non-Executive Director (retired w.e.f. 30.11.2019)	2 out of 2
5. Farhan Jabir –Secretary	2 out of 2



Dato' Mohd Fadzli Yusof
Chairman – Remuneration Committee

20 May 2020
Colombo

Objective of the Committee

The Committee reviews all related party transactions of Amāna Takaful Life PLC to ensure that the Company complies with the Rules set out under Section 9 of the Listing Rules.

The primary objective of the Committee is to ensure that the interests of the shareholders are taken into consideration when entering into related party transactions and to ensure that these transactions are not more favourable to related parties than those generally available to the general public.

The Related Party Transaction Review Committee of Amāna Takaful PLC, the Parent Company of Amāna Takaful Life PLC functions as the Related Party Transaction Review Committee in terms of Section 9.2.3 of the Listing Rules of the Colombo Stock Exchange.

Composition of Committee

The Related Party Transaction Review Committee (the Committee) comprises three Independent Non-Executive Directors.

Meetings of the Committee

Four (4) meetings of the Committee were held during the period under review and the attendance of the Committee is as follows:

Members	No. of Meetings Attended
1. M.R.M. Nayeem – Acting Chairman Independent Non-Executive Director	4 out of 4
2. A.S.M. Muzzammil – Chairman Independent Non-Executive Director (retired with effect from 30th November 2019)	4 out of 4
3. M.H.M Rafiq –Independent Non-Executive Director	4 out of 4

In addition, the Chief Executive of the Company, Chief Executive Officer of Amāna Takaful PLC, Head of Compliance and Head of Finance attended these meetings by invitation. The Head of Compliance, A.H.M. Dilshad served as the Secretary to the Committee.

Review of Related Party Transactions

The Committee reviewed all related party transactions of the Company for the year 2019. All related party recurrent transactions entered into during the year were within the normal scope of day-to-day operations of the Company. Details of recurrent and non-recurrent related party transactions entered in to during the year are given in Note 30 to the Financial Statements on pages 90 and 91 of this Annual Report.

The Chairman of the Committee has on a regular basis, appraised the Board on the matters deliberated at the Related Party Transactions Review Committee meetings.

Policies and Procedures

The Head of Compliance is responsible for reporting related party transactions proposed to be entered into by the Company which are within the purview of the Committee in terms of the Listing Rules of the Committee to review and to grant approval.

Moreover, on a quarterly basis, the Head of Compliance is required to report the related party transactions entered into by the Company during the period under consideration for Committee's consideration.

Conclusion

The Committee is satisfied that the interests of the shareholders as a whole are taken into consideration when entering into related party transactions and that the transactions were not more favourable to related parties than those generally available to the general public.



M.R.M. Nayeem
Acting Chairman – Related Party Transactions
Review Committee

20 May 2020
Colombo



بسم الله الرحمن الرحيم

Shari'ah Audit Report to the Shareholders of Amana Takaful Life PLC

السلام عليكم ورحمة الله وبركاته

We have examined the operations of Amāna Takaful Life PLC (the "Company") for the year ending 31st December 2019. We have also conducted our review to form an opinion as to whether the Company has complied with the Shari'ah Rules and principles and also with the specific fatwas, regulations and guidelines issued by the Shari'ah Advisory Council.

Responsibilities

It is our responsibility, as Shari'ah Advisory Council, to ensure that the Takaful operations, financial arrangements, contracts and transactions entered in to by the Company with its participants, clients and stakeholders are in compliance with Shari'ah rules and principles. It is the responsibility of the Company's Management to ensure that all rules, principles and guidelines set by the Shari'ah Advisory Council are complied with, and that all policies and services being offered are duly approved by the Shari'ah Advisory Council.

Scope of Audit and Basis of Opinion

The scope of our audit primarily involves the review of Company's compliance with the Shari'ah Regulations and Guidelines. Our review also includes examining, on a test basis of each type of product in relation to issuance & claims.

Opinion

In our opinion and to the best of our information and belief and according to the explanations given to us:

- The Takaful operations and financial transactions undertaken by the Company, during the year 2019, were generally in accordance with the guidelines prescribed by the Shari'ah Advisory Council.
- All non-permissible income received are applied in accordance with the guidelines issued by the Shari'ah Advisory Council.

We seek Allah the Almighty to grant us all success and straightforwardness.

والسلام عليكم ورحمة الله وبركاته

Mufti M I M Rizwe

Chairman-Shari'ah Advisory Council

Mufti Shafique A Jakhura

Member-Shari'ah Advisory Council

Ash-Sheikh Murshid Mulaffar

Secretary-Shari'ah Advisory Council

FINANCIAL REPORTS

Statement of Directors' Responsibilities	54
Certificate of the Actuary - Family Takaful (Life)	55
Independent Auditors' Report	56
Statement of Financial Position	59
Statement of Comprehensive Income	60
Statement of Changes In Equity	61
Statement of Cash Flows	62
Segment Analysis - Statement of Financial Position	64
Segment Analysis - Statement of Comprehensive Income	65
Notes to the Financial Statement	66

This statement sets out the responsibilities of the Directors in relation to Financial Statements of the Company. The Directors confirm that the Financial Statements for the year 2019 prepared and presented in this Annual Report are consistent with the requirements of the Companies Act No. 07 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000.

In preparing the Financial Statements, the Directors have adopted appropriate accounting, principles and policies and where relevant, disclosed and explained material departures, if any. The Directors ensure that applicable accounting standards (SLFRSs/LKASs) have been followed and that the judgments and estimates provided are reasonable and prudent and provide a true and fair view of the state of affairs as well as the profitability of the Company. The Directors also state that the Financial Statements are prepared on a going concern basis and a review of the Company's performance indicates that the Company has adequate resources to continue in operation.

The Directors have taken proper and sufficient care to ensure the maintenance of adequate accounting records in conformity with the applicable provisions of the Regulation of Insurance Act No. 43 of 2000 and any other legislations including the Companies Act No. 07 of 2007 to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

The Company possesses an effective internal audit system commensurate with the size and nature of its business. Steps have also been taken to ensure that proper records are maintained and the information generated is reliable.

It is the responsibility of the Directors to provide the Auditors every opportunity to carry out necessary audit work to enable them to present their audit report. The Directors, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities which were due and payable by the Company as at the reporting date have been paid or where relevant provided for.

The Directors are of the view that they have to the best of their knowledge, discharged their responsibilities as set out in this Statement.

For and on behalf of the Board,



Osman Kassim
Chairman

20 May 2020
Colombo

To the Shareholders of Amāna Takaful Life PLC.

**ACTUARIAL VALUATION OF THE LONG TERM INSURANCE BUSINESS AS AT 31 DECEMBER
2019**

We have carried out an actuarial valuation of the Long Term Insurance Business as at 31 December 2019. We hereby certify that, in our opinion,

1. Proper records have been kept by the Company, which are appropriate for the purpose of the actuarial valuation of the liabilities of the Long Term Insurance Fund;
2. Adequate and proper reserves have been provided as at 31 December 2019, for insurance related risk liabilities in respect of the Long Term Insurance Fund, taking into account all current and contingent liabilities as at that date.



Zainal Abidin Mohd. Kassim
Fellow of the Institute of Actuaries

Actuarial Partners Consulting Sdn. Bhd.

Suite 17.02, Kenanga International
Jalan Sultan Ismail
50250 Kuala Lumpur
Malaysia.

Tel.: 603 2161 0433
Fax: 603 2161 3595

Kuala Lumpur

13 March 2020



Ernst & Young
Chartered Accountants
201 De Saram Place
P.O. Box 101
Colombo 10
Sri Lanka

Tel : +94 11 2463500
Fax Gen : +94 11 2697369
Tax : +94 11 5578180
eysl@lk.ey.com
ey.com

APAG/HLKC/MHM

**INDEPENDENT AUDITORS' REPORT
TO THE SHAREHOLDERS OF AMĀNA
TAKAFUL LIFE PLC**

Report on the audit of the financial statements

Opinion

We have audited the financial statements of Amāna Takaful Life PLC ("the Company"), which comprise the statement of financial position as at 31 December 2019, and the statement of profit or loss and statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company give a true and fair view of the financial position of the Company as at 31 December 2019, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSS). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in the audit of the financial statements of the current period. These matters were addressed in the context of the audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Key Audit Matter	How Our Audit Addressed the Key Audit Matter
Valuation of Insurance contract liabilities	
The Company has significant Family Takaful Fund Insurance contract liabilities and Unit Linked Insurance contract liabilities both amounting to Rs. 2,218,839,985 as disclosed in Note 13, which represent 91% of Company's total liabilities.	Our audit procedures were focused on the valuations performed by the firm of external professional actuaries engaged by the Company which included the following procedures; ★ Testing the key controls on a sample basis over the process of recognition, measurement and submission of data for estimating the insurance contract liabilities.
Life insurance contract liabilities, are accounted for in the financial statement using significant estimates and judgments which are sensitive to various factors and uncertainties as disclosed in note 34.6 Significant management judgement was applied in setting these assumptions.	★ We engaged our internal specialised resources to assess the reasonableness of the assumptions used in the valuations of the insurance contract liabilities ★ We also assessed the adequacy of the related disclosures in Notes 13 and 34.6 to the financial statements.

Partners: W R H Fernando FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W R H De Silva ACA ACMA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA Ms. P V K N Sajeewani FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA

Principal G B Goudian ACMA A A J R Perera ACA ACMA T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited



Key Audit Matter	How Our Audit Addressed the Key Audit Matter
Changes in such significant estimates and judgments used in the valuation of the insurance contract liabilities directly impact the statement of profit and loss. Accordingly we considered the valuation of insurance contract liability as a key audit matter.	

Other Information included in the 2019 Annual Report

Other information consists of the information included in the Company's 2019 Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information. The Company's 2019 annual report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Management and those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- ★ Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- ★ Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal controls.



- ★ Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- ★ Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- ★ Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

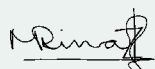
As required by Section 47(2) of the regulation of Insurance Industry Act, No.43 of 2000, we state that, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Regulatory Commission of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

The Institute of Chartered Accountant of Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1697.

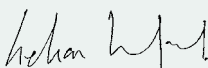
20 May 2020
Colombo

As at 31 December 2019	Notes	2019 Rs.	2018 Rs.
Assets			
Intangible Assets	4	19,658,919	20,954,644
Property, Plant and Equipment	5	20,109,849	28,703,776
Right Of Use Asset	6	16,063,681	-
Investment Property	7	147,500,000	144,929,000
Financial Investments	8	816,349,834	875,164,705
Contribution (Premium) Receivables	9	36,692,115	39,676,266
Other Assets	10	43,381,099	53,717,719
Financial Investments - Unit Linked	11	1,716,210,033	1,621,208,465
Cash and Bank Balances	12	70,324,846	85,064,941
Cash and Bank Balances - Unit Linked	12	38,197,730	8,155,160
Total Assets		2,924,488,105	2,877,574,677
Liabilities			
Insurance Contract Liabilities - Family Takaful Fund	13	471,280,391	534,967,470
Insurance Contract Liabilities - Unit Linked	13	1,747,559,594	1,660,124,030
Employee Benefits	14	10,090,893	7,078,883
Subordinated Debt	15	81,417,058	32,051,250
Other Liabilities - Unit Linked	16	50,986,682	51,285,609
Other Liabilities	17	62,683,754	72,491,565
Lease Liability	18	12,616,879	3,849,823
Total Liabilities		2,436,635,252	2,361,848,629
Shareholders' Equity			
Equity Attributable to Equity Holders of the Parent			
Stated Capital	19	500,000,000	500,000,000
Other Reserves	20	6,709,623	3,430,948
Revenue Reserves		(18,856,770)	12,295,100
Total Equity		487,852,853	515,726,048
Total Equity and Liabilities		2,924,488,105	2,877,574,677

We certify that Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.



M. Rinaz Niyas
Head of Finance



Gehan Rajapakse
Chief Executive Officer

The Board of Directors is responsible for these Financial Statements. Signed for and on behalf of the board by.



Osman Kassim
Chairman



M H M Rafiq
Director

The Accounting Policies and Notes on pages 66 through 100 form an integral part of the Financial Statements.

20 May 2020
Colombo

Year ended 31 December 2019	Notes	2019 Rs.	2018 Rs.
Gross Written Contribution (Premium)	21	851,292,853	827,947,507
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)		(32,419,293)	(21,194,646)
Net Written Contribution (Premium)		818,873,561	806,752,861
Net Change in Reserve for Unearned Contribution (Premium)		1,639,884	(690,597)
Net Earned Contribution (Premium)		820,513,444	806,062,264
Other Revenue			
Income From Investments	22	255,617,132	181,221,438
Other Income	23	64,609,056	36,105,340
Total Revenue		1,140,739,632	1,023,389,043
Expenses			
Takaful (Insurance) Claims and Benefits (Net)	24	(591,894,900)	(543,446,265)
Acquisition Cost (Net of Reinsurance Commission)		(117,897,768)	(105,824,511)
Change in Family Takaful Contract Liability		(27,283,776)	36,961,441
Other Operating and Administration Expenses	25	(426,284,169)	(472,013,445)
Amortisations	4	(1,295,725)	(1,295,725)
Total Expenses		(1,164,656,337)	(1,085,618,505)
Profit/(Loss) from Operations	27	(23,916,705)	(62,229,463)
Finance Cost	26	(5,201,325)	(747,036)
Profit/(Loss) Before Taxation		(29,118,030)	(62,976,499)
Income Tax	28	-	-
Profit/(Loss) for the Year		(29,118,030)	(62,976,499)
Other Comprehensive Income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods.			
Net Change in Fair Value of Available-for-Sale Financial Assets transferred (to)/ from Life policy Holders Reserve		3,278,674	2,550,539
Other Comprehensive Income not to be reclassified to Profit or Loss in subsequent periods			
Actuarial Loss on Defined Benefit Plans	14.1	(2,033,840)	(61,064)
Revaluation of Property, Plant and Equipment	5.1	-	2,425,184
Other Comprehensive Expense		1,244,834	4,914,659
Total Comprehensive Income for the year		(27,873,196)	(58,061,841)
Earnings Per Share	29	(0.58)	(1.26)

The Accounting Policies and Notes on pages 66 through 100 form an integral part of the Financial Statements.

Year ended 31 December 2019

	Other Reserves			Accumulated Profit / (Loss)	Total
	Stated Capital	Life Policyholders' Reserve Fund	Revaluation Reserve		
	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 1 January 2018	500,000,000	(1,664,916)	120,142	75,332,664	573,787,890
Profit/(Loss) for the year	-	-	-	(62,976,499)	(62,976,499)

Other Comprehensive Income

Net Change in Fair Value of

Available-for-Sale Financial Assets

transferred to Life Policy Holders Reserve Fund	-	2,550,539	-	-	2,550,539
Actuarial Loss on Defined Benefit Plans	-	-	-	(61,064)	(61,064)
Revaluation of Property, Plant and Equipment	-	-	2,425,184	-	2,425,184
Total Comprehensive Income	-	2,550,539	2,425,184	(63,037,563)	(58,061,841)
Balance as at 31 December 2018	500,000,000	885,622	2,545,326	12,295,100	515,726,048

Profit/(Loss) for the Period	-	-	-	(29,118,030)	(29,118,030)
------------------------------	---	---	---	--------------	--------------

Other Comprehensive Income

Net Change in Fair Value of

Available-for-Sale Financial Assets

transferred to Life Policy Holders Reserve Fund	-	3,278,674	-	-	3,278,674
Actuarial Loss on Defined Benefit Plans	-	-	-	(2,033,840)	(2,033,840)
Revaluation of Property, Plant and Equipment	-	-	-	-	-
Total Comprehensive Income	-	3,278,674	-	(31,151,870)	(27,873,196)
Balance as at 31 December 2019	500,000,000	4,164,297	2,545,326	(18,856,770)	487,852,853

The Accounting Policies and Notes on pages 66 through 100 form an integral part of the Financial Statements.

	Notes	2019 Rs.	2018 Rs.
Operating Activities			
Contribution (Premium) received from customers		854,277,005	822,260,423
Retakaful (Reinsurance) Premium paid		(7,450,612)	(5,606,491)
Claims, Benefits and Expenses paid		(614,196,403)	(545,782,864)
Retakaful (Reinsurance) Receipts in respect of Claims		-	22,377,788
Cash paid to and behalf of Employees		(161,632,013)	(124,124,951)
Profits Received from Investments		154,622,238	86,865,501
Finance Cost paid	26	(5,201,325)	(747,036)
Other operating cash payments		(207,049,207)	(218,743,624)
Net Flow from Operating Activities (Note A)		13,369,684	36,498,746
Investing Activities			
Purchase of Investment Securities		(844,563,949)	(949,740,868)
Disposal of Investment Securities		903,889,680	783,826,640
Purchase of Investment Property	7	-	(145,999,000)
Dividends received		3,061,427	4,537,276
Purchase of Property, Plant & Equipment	5.1	(5,607,292)	(12,396,547)
Net Cash Flow used in Investing Activities	18	56,779,866	(319,772,500)
Financing Activities			
Subordinated Debt	15	49,365,808	32,051,250
Repayment of Finance Lease Liability		(7,205,880)	(747,036)
		42,159,928	31,304,214
Net Decrease in Cash and Cash Equivalents		112,309,477	(253,039,538)
Cash and Cash Equivalents at the Beginning of the Year		265,886,195	518,925,733
Cash and Cash Equivalents at the end of the Year	12.1	378,195,671	265,886,195

	Notes	2019 Rs.	2018 Rs.
Note A			
Reconciliation of Operating Profit with Cash Flows from Operations			
Profit/(Loss) from Operations		(23,916,705)	(62,229,463)
Depreciation	5	7,301,219	7,282,950
Amortisation	4	1,295,725	1,295,725
Depreciation Right of Use of Asset	6	5,983,129	-
Provision for Employee Benefits	14.1	2,119,982	1,814,699
Decrease/(Increase) in Debtors and Other Assets		17,170,157	80,173,996
Increase in Family Takaful (Long Term Insurance) Fund		27,283,776	(36,961,441)
(Decrease)/Increase in Unearned Contribution (Premium)		(1,639,884)	690,597
(Decrease)/Increase in Other Creditors		(14,480,497)	44,918,602
(Gain)/Loss on Fair Value of Investment Property	7	(2,571,000)	1,070,000
Exchange Gain/Loss		1,166,918	-
Cash Flow from Operating Activities		19,712,820	38,055,665
Finance Cost paid		(5,201,325)	(747,036)
Gratuity Paid	14	(1,141,812)	(809,880)
Net Cash Flow from Operating Activities		13,369,684	36,498,746

The Accounting Policies and Notes on pages 76 through 100 form an integral part of the Financial Statements.

	As at 31st December 2019			2019 Total Rs.	2018 Total Rs.
	Family Takaful Fund Rs.	Shareholders' Fund Rs.	Adjustments Rs.		
Assets					
Intangible Assets	-	19,658,919	-	19,658,919	20,954,644
Property, Plant and Equipment	-	20,109,849	-	20,109,849	28,703,776
Right Of Use Asset	-	16,063,681	-	16,063,681	
Investment Property	-	147,500,000	-	147,500,000	144,929,000
Financial Investments	504,197,056	312,152,779	-	816,349,834	875,164,705
Contribution (Premium) Receivable	36,692,115	-	-	36,692,115	39,676,266
Other Assets	4,296,438	39,084,660	-	43,381,099	53,717,719
Financial Investments - Unit Linked	1,716,210,033	-	-	1,716,210,033	1,621,208,465
Inter Fund Receivable	-	30,674,203	(30,674,203)	-	-
Cash and Bank Balances	48,599,401	21,725,445	-	70,324,846	85,064,941
Cash and Bank Balances - Unit Linked	38,197,730	-	-	38,197,730	8,155,160
Total Assets	2,348,192,772	606,969,536	(30,674,203)	2,924,488,105	2,877,574,677
Liabilities					
Insurance Contract Liabilities					
- Family Takaful Fund	471,280,391	-	-	471,280,391	534,967,470
Insurance Contract Liabilities - Unit Linked	1,747,559,594	-	-	1,747,559,594	1,660,124,030
Employee Benefits	-	10,090,893	-	10,090,893	7,078,883
Subordinated Debt	-	81,417,058	-	81,417,058	32,051,250
Other Liabilities - Unit Linked	50,986,682	-	-	50,986,682	51,285,609
Lease Liability	-	12,616,879	-	12,616,879	3,849,823
Other Liabilities	43,527,604	19,156,150	-	62,683,754	72,491,565
Inter Fund Payable	30,674,203	-	(30,674,203)	-	-
Total Liabilities	2,344,028,475	123,280,980	(30,674,203)	2,436,635,252	2,361,848,629
Shareholders' Equity					
Equity Attributable to Equity Holders of the Parent					
Stated Capital	-	500,000,000	-	500,000,000	500,000,000
Other Reserves	4,164,297	2,545,326	-	6,709,623	3,430,948
Revenue Reserves	-	(18,856,770)	-	(18,856,770)	12,295,100
Total Equity	4,164,297	483,688,556	-	487,852,853	515,726,048
Total Equity and Liabilities	2,348,192,772	606,969,536	(30,674,203)	2,924,488,105	2,877,574,677

The Accounting Policies and Notes on pages 66 through 100 form an integral part of the Financial Statements.

	Year Ended 31st December 2019			2019 Total Rs.	2018 Total Rs.
	Family Takaful Fund Rs.	Shareholders' Fund Rs.	Adjustments Rs.		
Gross Written Contribution (Premium)	851,292,853	-	-	851,292,853	827,947,507
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(32,419,293)	-	-	(32,419,293)	(21,194,646)
Net Written Contribution (Premium)	818,873,560	-	-	818,873,560	806,752,861
Add : Unearned Takaful Contribution (Premium) at the beginning of the year	5,816,637	-	-	5,816,637	5,126,039
Less : Unearned Takaful Contribution (Premium) at the end of the year	(4,176,753)	-	-	(4,176,753)	(5,816,637)
Net Earned Contribution (Premium)	820,513,444	-	-	820,513,444	806,062,264
Other Income					
Allocation Fee from Contribution (Premium)	-	332,927,547	(332,927,547)	-	-
Allocation fee from Investment Income	-	26,549,860	(26,549,860)	-	-
Income from Investments	236,840,100	18,777,032	-	255,617,132	181,221,438
Other Operating Income	14,625,007	73,930,551	(23,946,501)	64,609,056	30,003,052
Total Revenue	1,071,978,550	452,184,991	(383,423,909)	1,140,739,633	1,017,286,754
Benefits, Losses and Expenses					
Takaful (Insurance) claims and benefits	(591,894,900)	-	-	(591,894,900)	(543,446,265)
Acquisition Cost (Net of Reinsurance Commission)	(1,534,984)	(116,362,783)	-	(117,897,768)	(105,824,511)
Increase in Family Takaful (Long Term Insurance) Fund	(27,283,776)	-	-	(27,283,776)	36,961,441
Allocation Fee from Contribution (Premium) - Comprising Acquisition Cost	(359,477,407)	-	359,477,407	-	-
Profit / (Loss) from Operations	91,787,484	335,822,207	(23,946,502)	403,663,190	404,977,419
Less : Indirect Expenses					
Other Operating, Investment Related and Administration Expenses	(91,787,484)	(351,141,967)	23,946,501	(418,982,950)	(458,628,707)
Amortisations	-	(1,295,725)	-	(1,295,725)	(1,295,725)
Depreciation	-	(7,301,219)	-	(7,301,219)	(7,782,950)
Finance Cost	-	(5,201,325)	-	(5,201,325)	(747,036)
Profit/(Loss) Before Taxation	-	(29,118,029)	-	(29,118,029)	(62,976,499)
Income Tax	-	-	-	-	-
Profit/(Loss) for the period	-	(29,118,030)	-	(29,118,030)	(62,976,499)

The Accounting Policies and Notes on pages 66 through 100 form an integral part of the Financial Statements.

1. CORPORATE INFORMATION

1.1 General

Amāna Takaful Life PLC ("the Company") is a public listed company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at 660 - 1/1, Galle Road, Colombo 03.

1.2 Principal Activities and Nature of Operations

Company

The principal activities of the Company are underwriting of Family (Life) Takaful Insurance businesses in both unitised and non - unitised contracts. Unit - Linked contracts are which, contract benefits are determined by reference to the unit prices of respective investment fund.

However, in line with the guidelines issued by Insurance Regulatory Commission of Sri Lanka (IRCSL) for segregation of composite insurance companies, the commercial operations of the Company commenced with effect from 1 January 2015 as follows.

Amāna Takaful Life PLC was incorporated on 10 July 2014 in order to transfer the Family Takaful business of Amāna Takaful PLC, with effect from 1 January 2015 in line with the requirement to segregate Life and General Insurance business as required by the RII (Amendment) Act No. 03 of 2011.

Amāna Takaful Life Limited listed on Diri Savi Board of the Colombo Stock Exchange in the year 2016 by way of offering 50 million ordinary voting shares at 1.50 rupees per share, which represents a 10 percent stake in the Company. Company's name was changed during the year from Amāna Takaful Life Limited to Amāna Takaful Life PLC.

In terms of Articles 9 of the Articles of the Association of the company, the shareholders having approved a consolidation of shares, every 10 existing issued ordinary share to 1 share without any change to the Share Capital of the Company on 30th July 2018, the issued number of shares have reduced from 500,000,000 fully paid shares to 50,000,000 fully paid shares.

1.3 Parent Entity and Ultimate Parent Entity

The parent entity of the Company is Amāna Takaful PLC.

1.4 Date of Authorisation for issue

The Financial Statements of Amāna Takaful Life PLC for the year ended 31 December 2019 was authorised for issue by the Board of Directors on 20 May 2020.

1.5 Responsibility for Financial Statements

The Board of Directors is responsible for these Financial Statements.

2. BASIS OF PREPARATION

The Company's Statement of Financial Position represents the assets, liabilities of Family Takaful Fund (Unitised and Non - Unitised) and equity of Shareholders' Fund.

The Company's Statement of Comprehensive Income reflects revenue, investment income, other income and related expenses attributable to Family Takaful Fund (Unitised and Non - Unitised) and Shareholders' Fund.

Financial assets and financial liabilities are offset, and the net amount reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously.

2.1 Statement of Compliance

The Financial Statements are prepared and presented in accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS) and they also provide information as required under the Companies Act, No. 07 of 2007, Regulation of Insurance Industry Act, No. 43 of 2000 and amendments thereto, Sri Lanka Accounting and Auditing Standards Act No 15 of 1995, Rules and Regulations of the Insurance Regulatory Commission of Sri Lanka, Listing Rules of the Colombo Stock Exchange (CSE).

2.2 Basis of Measurement

The Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

- ★ Motor vehicles in Property, Plant and Equipment measured at fair value (as at 31/12/2019)
- ★ Financial instruments at fair value through profit or loss are measured at fair value
- ★ Available-for-sale financial assets are measured at fair value
- ★ Investment properties, which are measured at fair value
- ★ Policyholder's liabilities have been measured at actuarial determined values
- ★ The liability for Defined Benefit Obligations are actuarially valued and recognised at the present value

The Company presents its Statement of Financial Position broadly in the order of liquidity.

2.3 Functional and Presentation Currency

These Financial Statements are presented in Sri Lankan Rupees (LKR), which is the Company's functional and presentation currency.) and all financial information presented in Sri Lankan Rupees has been rounded to the nearest rupee

2.4 Use of Estimates and Judgments

In the process of applying the Company's accounting policies, management is required to make judgments, apart from those involving estimations, which has the most significant effect on the amounts recognised in the Financial Statements. Further management is required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The respective carrying amounts of assets and liabilities are given in related notes to the Financial Statements. Actual results may differ from these estimates.

2.4.1 Assumptions and Estimations

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

The key items as such are discussed below.

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ending 31 December 2019 is included in the following notes:

Actuarial Valuations of the Insurance Provisions

Note 13 - Long Term Insurance Provision- (Family Takaful Fund)

The valuation of Long Term Insurance Provision was carried out by Mr. Zainal Abidin Mohd Kassim (BSC, FIA, ASA) of Actuarial Partners Consulting Sdn Bhd.

Life insurance liabilities are recognised when contracts are entered into and premiums are receivable. At each reporting date, an assessment is made of whether the recognised life insurance liabilities are adequate by using a liability adequacy test.

Significant estimates and assumptions made in respect of Actuarial Valuations have been disclosed in the Note 13 to the Financial Statements.

Note 14 - Employee Benefits

The Defined Benefit Obligation and the related charge for the year are determined using assumptions required under actuarial valuation techniques. The valuation involves making assumptions about discount rates, future salary increases, staff turnover rates etc. Due to the long term nature of such obligations these estimates are subject to significant uncertainty (Note 14.2).

Note 28 - Deferred Tax Asset

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the best estimate of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

Note 8 - Fair Value of Financial Investments

The determination of fair values of financial assets and financial liabilities recorded on the Statement of Financial Position for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical techniques.

Note 31 - Commitments Contingencies

The Company receives legal claims against in the normal course of business. Management has made judgments as to the likelihood of any claim succeeding in making provisions. The time of concluding legal claim is uncertain, as in the amount of possible outflow of economic benefits.

Timing and cost ultimately depend on the due process in respective legal jurisdiction.

2.5 Measurement of fair values

A number of the Company's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

When measuring the fair value of an asset or a liability, the Company uses market observable data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- ★ **Level 1:** quoted prices (unadjusted) in active markets for identical assets or liabilities.
- ★ **Level 2:** inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- ★ **Level 3:** inputs for the asset or liability that are not based on observable market data (Unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability might be categorised in different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Company recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included in the following notes:

- ★ **Note 5** - Property, Plant and Equipment
- ★ **Note 8** - Financial Investments
- ★ **Note 11** - Financial Investments - Unit Linked

2.6 Segment Reporting

A segment is a distinguishable component of the Company engaged in providing services subject to risks and rewards that are different to those of other segments.

Segmental information is based on industry segments reflecting the Company's management structure.

Segmentation has been determined based on the activities of the Company or sectors into which the product or services are sold. The primary format is based on the core business, Family and Fund management services of Shareholders' Fund.

Inter-segment transactions are based on fair market prices.

Expenses directly identified to a particular segment are charged accordingly. Expenses that cannot be directly identified to a particular segment are allocated on basis decided by the management and applied consistently throughout the period.

The Company's activities are located mainly in Sri Lanka. Consequently, assets and liabilities by geographic region are considered not material to be disclosed.

2.7 Going Concern

These Financial Statements are presented on the assumption that the Company is a going concern. The Directors have made an assessment of the Company's ability to continue as a going concern and they do not intend to liquidate.

2.8 Right-of-Use Assets and operating lease liability

The Company uses its judgment to determine whether an operating lease contract qualifies for recognition of right-of-use assets. The Company applies judgements in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic benefit for it to exercise either the renewal or termination. The Company can readily determine the interest rate implicit in the lease. Therefore, it does not require to use incremental borrowing rate to measure operating lease liability.

The incremental borrowing rate is the rate of interest that the Company would have to pay to borrow over a similar term and with similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in similar economic environment.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

2.8.1 Foreign Currency

Foreign currency transactions

Transactions in foreign currencies are translated to the respective functional currencies of Company at exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated to the functional currency at the exchange rate at the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated to the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured based on historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

Foreign currency differences are generally recognised in profit or loss.

However, foreign currency differences arising from the translation of available-for-sale equity investments (except on impairment, in which case foreign currency differences that have been recognised in OCI are reclassified to profit or loss); are recognised in Other Comprehensive Income.

2.8.2 Income Tax

Income tax expense comprises current and deferred tax. It is recognised in profit or loss except to the extent that items recognised directly in equity or in Other Comprehensive Income.

Current Taxes

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the Commissioner General of Inland Revenue.

The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

The provision for income tax is based on the elements of income and expenditure as reported in the Financial Statements and computed in accordance with the provisions of the Inland Revenue Act, No. 24 of 2017 and the amendments thereto.

Deferred Taxation

Deferred income tax is assessed, using the asset method, on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences. Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

2.8.3 Intangible Assets

Software

Intangible assets acquired separately are measured on initial recognition at cost. Following the initial recognition of the intangible assets, the cost model is applied requiring the assets to be carried at cost less any accumulated amortisation and accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the Statement of Comprehensive Income in the expense category consistent with the nature of the intangible asset. Amortisation commences when the assets were available for use.

The useful lives and the amortisation methods of intangible assets with finite lives are as follows:

Class	Useful Life	Amortisation method
Computer Software	20 years	Straight line method

Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Comprehensive Income when the asset is derecognised.

2.8.4 Prepaid Expenditure

Expenditure which is deemed to have a benefit or relationship to more than one financial year is classified as prepaid expenditure. Such expenditure is written off over the period to which it relates, on a straight-line basis.

2.8.5 Retakaful (Reinsurance) and Contribution (Premium) Receivable

The Company cedes insurance risk in the normal course of business for all of its businesses. Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the re insurer's policies and are in accordance with the related reinsurance contract.

Reinsurance assets are reviewed for impairment at each reporting date or more frequently when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Company may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Company will receive from the re insurer. The impairment loss is recorded in the Statement of Comprehensive Income.

Premiums and claims on assumed reinsurance are recognised as revenue or expenses in the same manner as they would be if the reinsurance were considered direct business, taking into account the product classification of the reinsured business.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Premiums and claims are presented on a gross basis for both ceded and assumed reinsurance.

Reinsurance assets or liabilities are derecognised when the contractual rights are extinguished or expired or when the contract is transferred to another party.

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the Statement of Comprehensive Income.

2.8.6 Other Assets & Receivables

Other assets & receivables are stated at their estimated realisable value.

2.8.7 Property, Plant and Equipment Cost

The Property, Plant and Equipment are stated at cost (except for motor vehicles) less accumulated depreciation and any accumulated impairment losses.

The cost of Property, Plant & Equipment is the cost of acquisition or construction together with any expenses incurred in bringing the asset to its working condition for its intended use.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Expenditure incurred for the purpose of acquiring, extending or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business has been treated as capital expenditure.

The motor vehicles are revalued every three years on a roll-over basis to ensure that the carrying amounts do not differ materially from the fair value at the reporting date.

An item of Property, Plant and Equipment is de-recognised upon disposal or when no future economic benefits are expected from its use. Any gain or losses arising on de-recognition of the asset is included in the Statement of Comprehensive Income in the year the asset is de-recognised.

Restoration Cost

Expenditure incurred on repairs or maintenance of Property, Plant and Equipment in order to restore or maintain the future economic benefits expected from originally assessed standard of performance, is recognised as an expense when incurred.

Depreciation

The Company provides depreciation from the date of assets are available for use up to the date of disposal on a straight - line basis over the period appropriate to the estimated useful lives of the different types of assets. Operating Leased assets if any, are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Company will obtain ownership by the end of the lease term.

The estimated useful lives of Property, Plant and Equipment are as follows:

Class	Useful Life
Motor Vehicles	05 Years
Computer Equipment	05 Years
Other Equipment	05 Years
Furniture & Fittings	05 Years
Leasehold vehicle	05 Years

The Company provides depreciation from the date the assets are available for use up to the date of disposal.

2.9 Financial Investments

The Company classifies non-derivative financial assets into the following categories: financial assets at Fair Value through Profit or Loss, Loans and Receivables and Available-For-Sale financial assets.

The Company classifies non-derivative financial liabilities into the Other Financial Liabilities category.

The classification depends on the purpose for which the investments were acquired or originated. Financial assets are classified as at fair value through profit or loss where the Company's documented investment strategy is to manage financial investments on a fair value basis, because the related liabilities are also managed on this basis. The available-for-sale and held-to-maturity categories are used when the relevant liability (including shareholders' funds) is passively managed and/or carried at amortised cost.

The Company's existing types of financial instruments and their classifications are shown in the table below.

Financial Asset	Category
Equity Shares	Fair Value Through Profit or Loss and Available - for - Sale
Unit Trust	Available for Sale
Term Deposits/ Mudharaba Deposits	Loans and Receivables
Treasury Bills/ Repurchase Agreements	Loans and Receivables
Commercial Papers	Loans and Receivables

Financial Liability	Category
Other Liabilities	Other Financial Liabilities

2.9.1 Recognition of financial instruments

The Company initially recognises loans and receivables on the date that they are originated. All other financial assets (including assets designated as at Fair Value Through Profit or Loss) are recognised initially on the trade date, which is the date that the Company becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Company has a legal right to offset the amounts and intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

2.9.2 Measurement

Financial assets at Fair Value Through Profit or Loss

Financial assets at fair value through profit or loss include financial assets held-for-trading and those designated at fair value through profit or loss at inception. Investments typically bought with the intention to sell in the near future are classified as held-for-trading. For investments designated as at fair value through profit or loss, the following criteria must be met.

The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognising gains or losses on a different basis; or The assets and liabilities are part of a Company of financial instruments, which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.

These investments are initially recorded at fair value. Directly attributable transaction costs are recognised in Statement of Comprehensive Income as incurred. Subsequent to initial recognition, these investments are re-measured at fair value. Fair value adjustments and realised gain and loss are recognised in the Statement of Comprehensive Income.

Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. These investments are initially recognised at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortised cost, using the effective interest rate method. Gains and losses are recognised in the Statement of Comprehensive Income when the investments are derecognised or impaired, as well as through the amortisation process.

Cash and Cash Equivalents

Cash and cash equivalents are defined as cash in hand, demand deposits and short-term highly liquid investments, readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of cash flow statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts.

Investments with short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents. The cash flow statement has been prepared using the direct method. Interest and dividend received are classified as operating cash flows.

Available-For-Sale Financial Investments

Available-For-Sale financial assets are non-derivative financial assets that are designated as Available-For-Sale or are not classified in any of the three preceding categories.

These investments are initially recorded at fair value plus any directly attributable transaction costs. After initial measurement, Available-For-Sale financial assets are measured at fair value. Fair value gains and losses are reported as a separate component in other comprehensive income and accumulated in the Available For Sale Reserve until the investment is derecognised or the investment is determined to be impaired.

On de-recognition or impairment, the cumulative fair value gains and losses previously reported in equity are transferred to the Statement of Comprehensive Income.

Other Financial Liabilities are non-derivative financial liabilities which are initially recognised at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these liabilities are measured at amortised cost using the effective interest method.

2.9.3 Impairment of financial Investments

Financial assets not classified as at fair value through profit or loss are assessed at each reporting date to determine whether there is objective evidence of impairment.

Objective evidence that financial assets are impaired includes:

- ★ default or delinquency by a debtor;
- ★ restructuring of an amount due to the Company on terms that the Company would not consider otherwise;
- ★ indications that a debtor or issuer will enter bankruptcy;
- ★ adverse changes in the payment status of borrowers or issuers;

- ★ the disappearance of an active market for a security; or
- ★ observable data indicating that there is measurable decrease in expected cash flows from a Company of financial assets.

Assets carried at amortised cost

If there is objective evidence that an impairment loss on assets carried at amortised cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate.

The carrying amount of the asset is reduced and the loss is recorded in the Statement of Comprehensive Income.

The Company first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a Company of financial assets with similar credit risk characteristics and that Company of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment. The impairment assessment is performed at each Reporting date.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed. Any subsequent reversal of an impairment loss is recognised in the Statement of Comprehensive Income, to the extent that the carrying value of the asset does not exceed its amortised cost at the reversal date.

Available-For-Sale financial investments

If an available-for-sale financial asset is impaired, an amount comprising the difference between its costs (net of any principal repayment and amortisation) and its current fair value, less any impairment

loss previously recognised in other comprehensive income, is transferred from equity to the Statement of Comprehensive Income. Reversals in respect of equity instruments classified as available-for-sale are not recognised in the Statement of Comprehensive Income.

Reversals of impairment losses on debt instruments classified at available-for-sale are reversed through the Statement of Comprehensive Income if the increase in the fair value of the instruments can be objectively related to an event occurring after the impairment losses were recognised in the Statement of Comprehensive Income.

Financial assets carried at cost

If there is objective evidence that an impairment loss has been incurred on an unquoted equity instrument that is not carried at fair value because its fair value cannot be reliably measured, or on a derivative asset that is linked to and must be settled by delivery of such an unquoted equity instrument, the amount of the impairment loss is measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment losses shall not be reversed.

2.9.4 De-recognition of financial instruments

A financial asset (or, when applicable, a part of a financial asset or part of a Company of similar financial assets) is derecognised when,

- ★ The rights to receive cash flows from the asset have expired
- ★ The Company retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a 'pass-through' arrangement
- ★ The Company has transferred its rights to receive cash flows from the asset and either:
 - ★ Has transferred substantially all the risks and rewards of the asset, or
 - ★ Has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Company has transferred its right to receive cash flows from an asset and has neither transferred nor retained substantially all the risks and rewards of the asset nor

transferred control of the asset, the asset is recognised to the extent of the Company's continuing involvement in the asset. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Company could be required to repay.

When continuing involvement takes the form of a written and/or purchased option (including cash settled option or similar provision) on the transferred asset, the extent of the Company's continuing involvement is the amount of the transferred asset that the Company may repurchase, except that, in the case of a written put option (including a cash settled option or similar provision) on an asset measured at fair value, the extent of the Company's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

The Company derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire.

2.10 Investment Properties

Investment properties are measured initially at cost, including transaction costs. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes the costs of day to day servicing of an investment property. Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the reporting date. Gains or losses arising from changes in the fair value of investment properties are included in the Statement of Comprehensive Income in the year in which they arise. Valuation of investment property by a professional valuer is carried out every year.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the Statement of Comprehensive Income in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner-occupied property, the deemed cost for subsequent accounting is the fair value at the date of change. If owner-occupied property becomes an investment property, the Company accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change.

2.11 Liabilities and Provisions (excluding Insurance Contracts)

Provisions (excluding Insurance Contracts)

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

2.12 Employee Benefit Plan – Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the Financial Statements in respect of defined benefit plans is the present value of the defined benefit obligation as at the reporting date. The defined benefit obligation is calculated by a qualified actuary as at the reporting date using the Projected Unit Credit (PUC) method as recommended by LKAS 19 - 'Employee Benefits'.

However, under the payment of Gratuity Act No. 12 of 1983, the liability to an employee arises only on completion of five years of continued service. The Company is liable to pay gratuity in terms of relevant statute. In order to meet this liability, a provision is carried forward in the Statement of Financial Position.

The item is stated under Employee Benefit Liability in the Statement of Financial Position.

Recognition of Actuarial Gains and Losses

Actuarial gains or losses are recognised in the Statement of Other Comprehensive Income in the period in which they arise.

Funding Arrangements

The Gratuity liability is not externally funded.

Defined Contribution Plans – Employees' Provident Fund (EPF) & Employees' Trust Fund (ETF)

Employees are eligible for Employees' Provident Fund Contributions and Employees' Trust Fund Contributions in line with the respective statutes and regulations. The Company contributes 12 % and 3 % of gross emoluments of employees to Employees' Provident Fund and Employees' Trust Fund respectively.

Short-term employee benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognised for the amount expected to be paid if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

2.13 Impairment of Non-Financial Assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Company makes an estimate of the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or Company of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

Impairment losses of continuing operations are recognised in the Statement of Comprehensive Income in those expense categories consistent with the function of the

impaired asset, except for property previously revalued where the revaluation was taken to equity. In this case the impairment is also recognised in equity up to the amount of any previous revaluation.

For assets, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Company makes an estimate of recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Comprehensive Income unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

2.14 Takaful Contribution (Premium)

Contributions (premiums) from Family Takaful (traditional life insurance) contracts, including participating contracts and annuity policies with life contingencies, are recognised as revenue when payable by the policyholder. Benefits and expenses are provided against such revenue to recognise profits over the estimated life of the policies. Moreover, for single contribution (premium) contracts, contributions (premiums) are recorded as income when received with any excess profit deferred and recognised in income in a constant relationship to the insurance in-force or, for annuities, the amount of expected benefit payments.

Retakaful Contracts (Reinsurance Contracts)

Outward Retakaful contributions (reinsurance premiums) are recognised when payable. Retakaful (Reinsurance) recoveries are credited to match the relevant gross claims.

Claims

Death claims are recorded on the basis of notifications received. Maturities are recorded when due. Claims on participating business include profit. Claims payable include direct costs of settlement.

The interim payments (Part withdrawals) and surrenders are accounted only at the time of settlement.

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue and associated costs incurred or to be incurred can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific criteria are used for the purpose of recognition of revenue.

Technical Provisions – Family Takaful Business provision and provision for Unit Linked liabilities

The Directors agree to the Family Takaful (long term insurance) business provisions for the Company on the recommendation of reporting actuary following his annual investigation of the Family Takaful (life insurance) business.

The actuary's valuation takes into account of all liabilities including contingent liabilities and is based on the assumptions recommended by the consultant actuary.

2.15 Revenue Recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue and associated costs incurred or to be incurred can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific criteria are used for the purpose of recognition of revenue.

Wakala Fee (Agency/Management Fee)

Wakala Fee (Agency/Management fee) on Takaful Contribution (Insurance Premium)

The management fee is charged on contribution of Family Takaful certificates at the following rates.

- Family Takaful Products	- First Year	80%
	- Second Year	45%
	- Third	02%
	- Fourth Year	02%
	- Fifth & after	02%

Wakala Fee (Agency/Management Fee) on Investment Income

The Shareholders' fund is entitled for management fee of 50% on net investment income only on Family Takaful Fund.

2.15.1 Investment Income

Income from Government Security

Interest income is recognised in the Statement of Comprehensive Income as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognised as an adjustment to the effective interest rate of the instrument.

Dividend Income

Investment income also includes dividends when the right to receive payment is established. For listed securities, this is the date the security is listed as ex dividend.

Realised/unrealised Gains and (Losses)

Realised gains and losses recorded in the Statement of Comprehensive Income on investments include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortised cost and are recorded on occurrence of the sale transaction.

Others

Other income consists with fund management fee, rental income and income from surpluses from re – insurers. All other income is recognised on an accrual basis.

2.16 Expenditure Recognition

Expenses are recognised in the Statement of Comprehensive Income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the Property, Plant and Equipment in a state of efficiency has been charged to the Statement of Comprehensive Income.

Surplus refund is made only when the Fund is in a surplus and to those participants who have not made any claims during the policy period.

For the purpose of presentation of Statement of Comprehensive Income, the Directors are of the opinion that nature of expenses method presents fairly the elements of the Company's performance, and hence such presentation method is adopted.

2.17 Events after the Reporting Period

All material post reporting events have been considered and where appropriate adjustments or disclosures have been made in **note 32** to the Financial Statements.

2.18 Capital Commitments & Contingencies

Capital commitments and contingent liabilities of the Company are disclosed in the Financial Statements.

2.19 Stated Capital

Stated capital in relation to a company means the total of all amounts received by the Company or due and payable to the Company.

2.20 Current and Non-Current Classification

The Company presents assets and liabilities in statement of financial position under liquidity basis. Current non-current analysis of financial assets and liabilities are given under liquidity disclosure (Note 34.7).

3. CHANGES IN ACCOUNTING POLICIES

3.1 SLFRS - 16 Leases

New and amended standards and interpretations

In the financial statements, the Company has applied SLFRS 16, effective for annual period beginning on or after 1 January 2019, for the first time. The Company has not adopted early any other standard, interpretation or amendment that has been issued but not yet effective.

SLFRS 16, Leases

SLFRS 16 "Leases" replaced Sri Lanka Accounting Standard (LKAS 17) - Leases, IFRIC 4 - Determining whether an Arrangement contains a Lease, SIC 15 - Operating Leases-Incentives and SIC 27- Evaluating the Substance of Transactions Involving the Legal Form of a Lease. SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for all leases under a single on-balance sheet model similar to the accounting for finance leases under LKAS 17.

The Company applied SLFRS 16 using the modified retrospective approach from 1 January 2019, without restating comparatives for 2018 reporting period, as permitted under the specific transitional provisions in the standard. Additionally, the disclosure requirements in SLFRS 16 have not generally been applied to comparative information.

Recognition

At inception of a contract, the Company assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Company assesses whether:

- ★ the contract involves the use of an identified asset
- ★ the Company has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- ★ the Company has the right to direct the use of the asset.

The Company recognises a right of use asset and a lease liability at the lease commencement

date. The right of use assets of the Company consists of branch premises and vehicles. Branches which were previously recognised as operating leases and vehicles were recognised as finance leases under LKAS 17.

Measurement

The right of use asset is initially measured at cost, which comprises the initial amount of the lease liability (present value of future lease payments discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined Company's incremental borrowing rate) adjusted for any lease payments made at or before the commencement date less any lease incentives received, plus any initial direct costs incurred.

Where the Company is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognised right of use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right of use asset or the end of the lease term. Right of use assets are subject to impairment.

3.2 Changers to classification and measurement

After 1 January 2019

The Company leases seven assets which includes seven branch buildings. The Company previously classified leases as operating leases based on its assessment of whether the lease transferred significantly the entire risks and rewards incidental to ownership of the underlying asset to the Company.

At the commencement date of a lease, a lessee will recognise a liability to make lease payments and an asset representing the right to use the underlying asset during the lease term. Lessees will be required to separately recognise the interest expense on the lease liability.

The Company recognised its lease liabilities in relation to leases and liabilities were measured at the present value of the future lease payments, discounted using the lessee's implicit borrowing rate as of commencement date of the lease. The lessee's implicit rate applied to the lease liabilities on was 8%.

The Company have vehicles classified as finance leases under LKAS 17, and therefore provisions relating to finance leases in IFRS 16 apply for the Company.

The company transitioned to IFRS 16 in accordance with the modified retrospective approach therefore prior year figures were not adjusted.

Before 1 January 2019

Previously, the Company recognised operating lease expenses on a straight-line basis over the term of the lease and recognised assets and liabilities only to the extent that there was a timing difference between actual lease payments and the expenses recognised.

4. STANDARDS ISSUED BUT NOT YET EFFECTIVE

Impending accountings standards / Standards issued not yet effective.

Certain new accounting standards and amendments / improvements to existing standards have been published, that are not mandatory for 31 December 2019 reporting periods. None of those have been early adopted by the Company.

4.1 Sri Lanka Accounting Standard (SLFRS) 9 - Financial Instruments:

In December 2014, the CA Sri Lanka issued the final version of SLFRS 9 Financial Instruments classification and measurement which reflects all phases of the financial instruments project and replaces LKAS 39 - Financial Instruments: Recognition and Measurement

SLFRS 9 is effective for annual periods beginning on or after 01st January 2019, with an early application permitted. Retrospective application is required, but comparative information is not compulsory.

Temporary Exemption from SLFRS 9

An insurer that meets the criteria in paragraph 20B of SLFRS 4 (amended) provides a temporary exemption that permits but does not require the insurer to apply LKAS 39 - Financial Instruments: Recognition and Measurement rather than SLFRS 9 for annual periods beginning before 1st January 2023.

An insurer may apply the temporary exemption from SLFRS 9 if, and only if;

- 1) It has not previously applied any version of SLFRS 9, other than only the requirements of the presentation of gains and losses on financial liabilities designated as at Fair Value Through Profit or Loss and;
- 2) Its activities are predominantly connected with insurance, at its annual reporting date that immediately precedes 01st April 2016, or at a subsequent annual reporting date.

Having considered the above criteria, since Amāna Takaful PLC and Amāna Takaful Life PLC are connected with insurance activities, both the companies may continue to apply LKAS 39 – Financial Instruments: Recognition and Measurement rather than SLFRS 9 for annual periods beginning before 01 January 2023. As at reporting date insurance related liabilities are above 90% which is the minimum percentage eligible to exemption as per SLFRS 9.

4.2 SLFRS 17 - Insurance Contracts

As recommended by the Accounting Standards Committee, the Institute of Chartered Accountants of Sri Lanka has decided to adopt SLFRS 17 Insurance Contracts with effective from annual reporting periods beginning on or after 1 January 2021.

However, International Accounting Standard Board (IASB) has tentatively decided to defer the effective date of IFRS 17 to period beginning on or after 1 January 2023.

SLFRS 4 permitted insurers to continue to use the statutory basis of accounting for insurance assets and liabilities that existed in their jurisdictions prior to January 2005. SLFRS 17 replaces this with a new measurement model for all insurance contracts.

SLFRS 17 requires liabilities for insurance contracts to be recognised as the present value of future cash flows, incorporating an explicit risk adjustment, which is updated at each reporting date to reflect current conditions, and a contractual service margin (CSM) that is equal and opposite to any day-one gain arising on initial recognition. Losses are recognised directly into the income statement. For measurement purposes,

contracts are grouped together into contracts of similar risk, profitability profile and issue year, with further divisions for contracts that are managed separately.

Profit for insurance contracts under SLFRS 17 is represented by the recognition of the services provided to policyholders in the period (release of the CSM), release from non-economic risk (release of risk adjustment) and investment profit.

The CSM is released as profit over the coverage period of the insurance contract, reflecting the delivery of services to the policyholder. For certain contracts with participating features (where a substantial share of the fair value of the related investments and other underlying items is paid to policyholders) the CSM reflects the variable fee to shareholders. For these contracts, the CSM is adjusted to reflect the changes in economic experience and assumptions. For all other contracts the CSM is only adjusted for non-economic assumptions.

SLFRS 17 introduces a new measure of insurance revenue, based on the delivery of services to policyholders and excluding any premiums related to the investment elements of policies, which will be significantly different from existing premium revenue measures, currently reported in the income statement. In order to transition to SLFRS 17, the amount of deferred profit, being the CSM at transition date, needs to be determined.

SLFRS 17 requires, this CSM to be calculated as if the standard had applied retrospectively. If this is not practical, an entity is required to choose either a simplified retrospective approach or determine the CSM by reference to the fair value of the liabilities at the transition date. The approach for determining the CSM will have a significant impact on both shareholders' equity and on the amount of profits on in-force business in future reporting periods.

SLFRS 17 Implementation Program

SLFRS 17 is expected to have a significant impact, as the requirements of the new standard are complex and requires a fundamental change to accounting for insurance contracts as well as the application of significant judgement and new estimation techniques. The effect of changes required to

the Company's accounting policies as a result of implementing these standards are currently uncertain, but these changes can be expected to, among other things, alter the timing of profit recognition. Given the implementation of this standard is likely to involve significant enhancements to IT, actuarial and finance systems of the Company, it will also have an impact on the Company's expenses.

The Company has an implementation programme underway to implement SLFRS 17 and SLFRS 9. The scope of the programme consists of setting accounting policies and developing application methodologies, establishing appropriate processes and controls, sourcing appropriate data and implementing actuarial and finance system changes.

The Steering Committee chaired by both Chief Financial Officer and General Manager Actuarial provides oversight and strategic direction to the implementation programme along with the involvement of external consultants.

The Company remains on track to providing SLFRS 17 financial statements in line with the requirements for interim reporting at its effective date, which is currently expected to be 2021 or 2022.

4.3 Amendments to Sri Lanka Accounting Standard - LKAS 1 "Presentation to Financial Statements" and Sri Lanka Accounting Standard - LKAS 8 "Accounting Policies, Changes in Accounting Estimates and Errors"

The amendments LKAS 1 "Presentation of Financial Statements" and LKAS 8 "Accounting policies, Changes in accounting Estimates and Errors" align the definition of "material" across the standard and clarify certain aspects of the definition. The new definition states that, "information is material if omitting or obscuring it could reasonably be expected to influence decisions that the primary users of general-purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.

The amendments are applied prospectively for the annual periods beginning on or after 1st January 2020 with early application permitted.

The Company will apply these amendments when they become effective.

4.4 Amendments to references to the conceptual framework in SLFRS standards
Revisions to the Conceptual Framework were made because some important issues were not covered, and some guidance was unclear or out of date. The revised Conceptual Framework includes:

- ★ a new chapter on measurement;
- ★ guidance on reporting financial performance;
- ★ improved definitions of an asset and a liability, and guidance supporting these definitions; and
- ★ clarifications in important areas, such as the roles of stewardship, prudence and measurement uncertainty in financial reporting

The amendments are effective for annual periods beginning on or after 1st January 2020, with early application is permitted. The Company will apply these amendments when they become effective.

4. INTANGIBLE ASSETS

	2019 Rs.	2018 Rs.
Cost		
At beginning of the year	25,848,652	25,848,652
At end of the year	25,848,652	25,848,652
Amortisation		
At beginning of the year	4,894,008	3,598,283
Amortisation charge for the year	1,295,725	1,295,725
At end of the year	6,189,733	4,894,008
Carrying value	19,658,919	20,954,644

4.1 Acquisition of Intangible Assets during the year

During the financial year, the Company did not acquire/ capitalise Intangible Assets (Computer Software) (2018 - Nil).

4.2 Fully amortised Intangible Assets in Use

There are no intangible assets that is amortised fully as at reporting date.

4.3 Title restriction on Intangible Assets

There are no restrictions that existed on the title of the Intangible Assets of the Company as at the Reporting Date.

4.4 Assessment of Impairment of Intangible Assets

The Board of Directors has assessed potential impairment indicators of intangible assets as at 31 December 2019. Based on the assessment, no impairment indicators were identified.

4.5 Capitalisation of Borrowing Costs

There were no capitalised borrowing costs related to the acquisition of Intangible assets during the year (2018 - Nil).

5. PROPERTY, PLANT AND EQUIPMENT

	2019 Rs.	2018 Rs.
Freehold Property, Plant and Equipment (Note 5.1)	20,109,849	21,803,776
Leasehold Property, Plant and Equipment	-	6,900,000
	20,109,849	28,703,776

5.1 Freehold Property, Plant and Equipment

	Balance as at 01.01.2019 Rs.	Additions during the Year Rs.	Disposals during the Year Rs.	Increase/ Decrease in Revaluation	Eliminations	Balance as at 31.12.2019 Rs.
At Cost						
Motor Vehicles	337,986	-	-	-	-	337,986
Computer Equipment	7,677,472	1,418,650	-	-	-	9,096,122
Other Equipment	12,209,336	3,123,077	-	-	-	15,332,413
Furniture and Fittings	13,309,251	1,065,565	-	-	-	14,374,816
Total Value of Depreciable Assets	33,534,045	5,607,292	-	-	-	39,141,337

5. PROPERTY, PLANT AND EQUIPMENT (Contd.)

5.1 Freehold Property, Plant and Equipment

	Balance as at 01.01.2019 Rs.	Change for the Year Rs.	Disposals during the Year Rs.	Increase/ Decrease in Revaluation	Eliminations	Balance as at 31.12.2019 Rs.
Accumulated Depreciation						
Motor Vehicles	-	67,560	-	-	-	67,560
Computer Equipment	4,188,566	1,520,010	-	-	-	5,708,576
Other Equipment	2,915,871	2,877,570	-	-	-	5,793,441
Furniture and Fittings	4,625,832	2,836,080	-	-	-	7,461,912
Total Depreciation	11,730,268	7,301,219	-	-	-	19,031,488
Carrying Amount	21,803,776	-	-	-	-	20,109,849

	Balance as at 01.01.2018 Rs.	Additions during the Year Rs.	Disposals during the Year Rs.	Increase/ Decrease in Revaluation	Eliminations	Balance as at 31.12.2018 Rs.
At Cost						
Motor Vehicles	505,001	-	-	262,899	(429,914)	337,986
Computer Equipment	6,002,015	1,675,457	-	-	-	7,677,472
Other Equipment	5,582,212	6,627,124	-	-	-	12,209,336
Furniture and Fittings	9,215,284	4,093,967	-	-	-	13,309,251
Total Value of Depreciable Assets	21,304,512	12,396,548	-	262,899	(429,914)	33,534,045

	Balance as at 01.01.2018 Rs.	Change for the Year Rs.	Disposals during the Year Rs.	Increase/ Decrease in Revaluation	Eliminations	Balance as at 31.12.2018 Rs.
Accumulated Depreciation						
Motor Vehicles	289,091	140,823	-	-	(429,914)	-
Computer Equipment	2,832,177	1,356,389	-	-	-	4,188,566
Other Equipment	1,172,371	1,743,499	-	-	-	2,915,870
Furniture and Fittings	2,544,064	2,081,768	-	-	-	4,625,832
Total Depreciation	6,837,703	5,322,479	-	-	(429,914)	11,730,268
Carrying Amount	14,466,809	-	-	-	-	21,803,776

5.2 Acquisition of Property, Plant and Equipment during the year

During the financial year, the Company acquired Property, Plant and Equipment to the aggregate value of Rs. 5,607,292/- for cash consideration. (2018 Rs. 12,396,548/-).

5.3 Fully depreciated Property, Plant and Equipment in Use

Property, Plant and Equipment includes fully depreciated assets having a gross carrying amount of Rs. 2,276,246 (2018 - Nil)

5.4 Title restriction on Property, Plant and Equipment

There are no restrictions that existed on the title of the Property, Plant and Equipment of the Company as at the Reporting Date.

5.5 Assessment of Impairment of Property, Plant and Equipment

The Board of Directors has assessed potential impairment indicators of Property, Plant and Equipment as at 31 December 2019. Based on the assessment, no impairment indicators were identified.

5.6 Capitalisation of Borrowing Costs

There were no capitalised borrowing costs related to the acquisition of Property, Plant and Equipment during the year (2018 - Nil).

5.7 Revaluation

In 2018, the Company's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd, which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level two in the fair value hierarchy. In carrying out such valuation market value of similar make, life and condition and year of manufacture of vehicles have been used as main inputs. The revaluation surplus was transferred to the Revaluation Reserve. The carrying amount of revalued motor vehicles that would have been included in the financial statements had the assets been carried at cost would have been as follows;

	2019 Rs.	2018 Rs.
Cost	10,312,726	10,312,726
Accumulated depreciation	(7,542,449)	(5,499,924)
Carrying Value	2,770,276	4,812,802

6. RIGHT OF USE OF ASSET

6.1 Initial Application of SLFRS 16 - Leases

The Company as a lessee has applied SLFRS 16 as initial application with effect from 01st January 2019 using the modified retrospective approach and therefore the comparative information has not been restated and continues to be reported under LKAS 17.

At inception of a contract, the company assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the company assesses whether:

- ★ the contract involves the use of an identified asset
- ★ the company has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- ★ the company has the right to direct the use of the asset

The company recognises a right-of-use asset and a lease liability at the lease commencement date. The right of use assets of the company consist of a vehicle taken on lease which were previously recognised as finance leases under LKAS 17.

6.2 The present value of operating lease commitments as at 1st January 2019 has been calculated using weighted average incremental borrowing rates of 14% for the company.

6.3 The company has elected not to recognise right of use assets and lease liabilities for leases of low value assets and short term leases. The company recognises the lease payments associated with these leases an expense on a straight line basis over the lease term.

	2019			2018
	Vehicle Rs.	Property Rs.	Total Rs.	Rs.
Opening right of use lease asset as at 01st January	6,900,000	15,146,811	22,046,811	-
Depreciation for the period	(1,379,244)	(4,603,885)	(5,983,129)	-
Closing Right of use lease asset as at 31st December	5,520,756	10,542,926	16,063,681	-

7. INVESTMENT PROPERTY

	2019 Rs.	2018 Rs.
Balance as at 1st January	144,929,000	-
Addition during the year	-	145,999,000
Net Gain/(Loss) from Fair Value Adjustment	2,571,000	(1,070,000)
At end of the year	147,500,000	144,929,000

During the financial year, the company has incurred direct operating expenses on the investment property to the aggregate value of Rs. Nil (2018 - Rs. Nil).

Fair value hierarchy

The fair value of investment property was determined by external, independent property valuers, Mr. P. P. T. Mohideen (FIV, FRICS) having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuer provides the fair value of the Company's investment property portfolio annually. The Company's entire class of investment properties were revalued on 31 December 2019.

The fair value measurement for investment property of Rs.147,500,000/- (2018- Rs. 144,929,000/-) has been categorised as a Level 3 fair value based on the inputs to the valuation technique used.

Valuation Technique

In determining the fair value, the current condition of the properties, further usability and associated redevelopment requirements have been considered. The Valuer has also made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are approximated within appropriate range of values which are as follows :

Details	Extent	Fair Value 2019 Rs.	Per Perch/ Sq. ft. Value Rs.	Fair Value 2018 Rs.	Per Perch/ Sq. ft. Value Rs.
Land	5.5 Perches	137,500,000	25,000,000 per Perch	134,750,000	24,500,000 per Perch
Building	2,610 sq. ft	10,000,000	3,831 per sq. ft	10,179,000	3,900 per sq. ft

The Building is one continuous block holding the address 451, Old Moor Street Colombo 12

Sensitivity

Reasonably possible changes at the reporting date to one of the relevant inputs, holding other assumptions constant, would have affected the investment property by the amounts shown below.

	31 December 2019	
	Increase	Decrease
Per Perch Value (Rs.100,000 movement)	550,000	(550,000)
Per square Feet (Rs.1000 movement)	2,610,000	(2,610,000)

8. FINANCIAL INVESTMENTS

	2019 Rs.	2018 Rs.
Financial Assets at Fair Value Through Profit or Loss (Note 8.1.1)	25,156,250	44,566,961
Available-For-Sale Financial Assets (Note 8.1.2)	28,030,231	26,561,505
Loans and Receivable (Note 8.1.3)	763,163,353	804,036,238
	816,349,834	875,164,705

8.1 Fair Value Through Profit or Loss Investments and Available-For-Sale Investments have been valued at fair value. Loans and Receivable are valued at amortised cost.

8.1.1 Financial Investments at Fair Value Through Profit or Loss

	2019 Rs.	2018 Rs.
Investments in Equity Securities (Note 8.3)	25,156,250	44,566,961
	25,156,250	44,566,961

8.1.2 Financial Investments at Available-For-Sale Financial Assets

	2019 Rs.	2018 Rs.
Unit Trust-Candor Balance Fund	12,944,847	12,423,578
Unit Trust-Candor Income Fund	15,085,384	14,137,927
	28,030,231	26,561,505

8.1.3 Loans and Receivable

	2019 Rs.	2018 Rs.
Investment in Repurchase Agreements	239,466,090	314,737,394
Mudharaba Investments	523,697,263	489,298,844
	763,163,353	804,036,238

8.1.4 Loans and receivables includes a provision of Rs. 75,658,959 (2018 - 75,658,959). The said provision will be revised upon recovery.

8.2 Investments in Government Securities are made for the purpose of meeting the requirements of the Regulation of Insurance Industry Act, No. 43 of 2000.

8.3 Investments in Equity Securities

	2019		2018	
	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
At Fair Value Through Profit and Loss				
Amāna Bank PLC	10,937,500	25,156,250	10,937,500	33,906,250
Access Engineering PLC	-	-	70,000	987,000
Alumex PLC	-	-	47,500	641,250
Ceylon Glass PLC	-	-	301,209	1,084,351
Chevron Lubricants Lanka PLC	-	-	40,100	2,919,280
Colombo Dockyard PLC	-	-	22,341	1,242,160
Haycarb PLC	-	-	10,000	1,300,000
Kelani Vally Plantations PLC	-	-	11,100	1,106,670
Tokyo Cement Company (Lanka) PLC - Non Voting	-	-	60,000	1,380,000
	10,937,500	25,156,250	11,499,750	44,566,961

8.4 Fair Value Hierarchy for Assets Carried at Fair Value

The different levels have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs)

The following table shows the fair value hierarchy of the financial assets carried at fair value.

(a) Fair Value Through Profit or Loss Financial Assets	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.
As at 31 December 2019			
Investments in Equity Securities	25,156,250	-	-
Investments in Equity Securities - Unit Linked (Note 11.1)	58,391,703	-	-
	83,547,953	-	-
As at 31 December 2018			
Investments in Equity Securities	44,566,961	-	-
Investments in Equity Securities - Unit Linked (Note 11.1)	61,432,832	-	-
	105,999,793	-	-

8. FINANCIAL INVESTMENTS (Contd.)

(b) Available For Sale Financial Assets

	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.
As at 31 December 2019			
Unit Trust	-	28,030,231	-
Unit Trust - Unit Linked (Note 11.2)		28,900,391	
	-	56,930,622	-
As at 31 December 2018			
Unit Trust	-	26,561,505	-
Unit Trust - Unit Linked (Note 11.2)		27,007,989	
	-	53,569,494	-

The fair value of unit trust is directly obtained from the unit trust market and categorised under level two, based on the expanded level of the market. The company used average unit price of Rs.11.15 and Rs.11.11 respectively for unit Linked and non Unit Linked investments as at 31 December 2019.

The following financial instruments are not measured at fair value they are financial instruments for which their carrying amounts are a reasonable approximation of fair value, because for example, they are short - term in nature or repriced to current market rates frequently.

	2019 Rs.	2018 Rs.
Carrying Amount		
Financial assets		
Loans and Receivable	763,163,353	804,036,238
Loans and Receivable -Unit Linked	1,628,917,940	1,532,767,644
Contribution (Premium) Receivable	36,692,115	39,676,266
Other Assets	31,615,393	34,853,628
Cash and Bank Balances	70,324,846	85,064,941
Cash and Bank Balances - Unit Linked	38,197,730	8,155,160
Financial liabilities		
Finance Lease Liability	12,616,879	3,849,823
Other Liabilities - Unit Linked	15,595,782	13,134,356
Other Liabilities	34,931,726	17,209,898

9. CONTRIBUTION (PREMIUM) RECEIVABLE

	2019 Rs.	2018 Rs.
Contribution (Premiums) Receivable from Participants	36,692,115	39,676,266
	36,692,115	39,676,266

10. OTHER ASSETS

	2019 Rs.	2018 Rs.
Financial Assets (Note 10.1)	31,615,393	34,853,628
Non Financial Assets (Note 10.2)	11,765,706	18,864,091
	43,381,099	53,717,719
10.1 Financial Assets		
Amounts Due from a Related Party - Amāna Takaful PLC	6,359,096	1,832,200
Other Receivables	25,256,298	33,021,428
	31,615,393	34,853,628

10.2 Non Financial Assets

	2019 Rs.	2018 Rs.
Advances and Prepayments	11,765,706	18,864,091
	11,765,706	18,864,091

11. FINANCIAL INVESTMENTS - UNIT LINKED

	2019 Rs.	2018 Rs.
Fair Value Through Profit or Loss (Note 11.1)	58,391,703	61,432,832
Available-For-Sale (Note 11.2)	28,900,391	27,007,989
Loans and Receivable (Note 11.3)	1,628,917,940	1,532,767,644
	1,716,210,033	1,621,208,465

11.1 Fair Value Through Profit or Loss

Investment in Equity Securities (Note 11.3.1)	58,391,703	61,432,832
	58,391,703	61,432,832

11.2 Available-For-Sale

Unit Trust-Candor Income Fund	28,900,391	27,007,989
	28,900,391	27,007,989

11.3 Loans and Receivable

Investment in Repurchase Agreements	30,110,959	20,056,657
Fixed Term Investments	1,598,806,981	1,512,710,987
	1,628,917,940	1,532,767,644

11.3.1 Investment in Equity Securities

At Fair Value Through Profit or Loss	2019		2018	
	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
Access Engineering PLC	432,148	9,420,826	797,148	11,239,787
ACL Cables PLC	78,142	4,493,165	78,142	2,891,254
Alumex PLC	-	-	184,653	2,492,816
Bairaha Farms PLC	7,991	894,992	-	-
Chevron Lubricants Lanka PLC	124,434	9,320,107	287,439	20,925,559
Colombo Dockyard PLC	22,948	1,422,776	22,948	1,275,909
Dipped Products PLC	28,137	2,363,508	28,137	2,391,645
Hayleys MGT Knitting Mills PLC	433,470	7,759,113	430,000	3,913,000
Piramal Glass Ceylon PLC	800,001	3,600,005	522,240	1,984,512
Textured Jersey Lanka PLC	224,500	9,159,600	-	-
Three Acre Farms PLC	90	10,494	-	-
Tokyo Cement Company (Lanka) PLC - Non Voting	253,753	9,947,118	622,537	14,318,351
	2,405,614	58,391,703	2,973,244	61,432,832

12. CASH AND CASH EQUIVALENTS IN STATEMENT OF CASH FLOWS

12.1 Components of Cash and Cash Equivalents

	2019 Rs.	2018 Rs.
Cash and Bank Balances	70,324,846	85,064,941
Cash and Bank Balances - Unit Linked	38,197,730	8,155,160
Investments in Government Securities	269,673,095	172,666,094
	378,195,671	265,886,195

13. INSURANCE CONTRACT LIABILITIES

	2019 Rs.	2018 Rs.
Insurance Contract Liability	2,196,947,463	2,174,312,930
Surplus of the Fund	21,892,522	20,778,570
Total Insurance Contract Liability (Note 13.1, Note 13.2)	2,218,839,985	2,195,091,500
13.1 Insurance Contract Liabilities - Family Takaful Fund		
Participant Investment Fund (PIF)	368,699,272	426,958,498
Participant Tabarru Fund (PTF) & Group Fund (GF)	98,404,367	102,192,336
Unearned Premium - Group Family Takaful	4,176,753	5,816,637
	471,280,391	534,967,470
13.2 Insurance Contract Liabilities - Unit Linked		
Unit Fund - Unit Linked	1,728,526,204	1,641,098,275
Participant Tabarru Fund & Group Fund - Unit Linked	19,033,390	19,025,755
	1,747,559,594	1,660,124,030
13.3 The movement in the Life Insurance Fund is as follows:		
Balance as at 1 January	2,187,805,876	2,099,782,794
Net Change in Contract Liabilities	31,034,109	88,023,081
Balance as at 31 December	2,218,839,985	2,187,805,875

13.4 The insurance provision has been based upon the following assumptions and other information

13.4.1 Actuarial Assumptions

Valuation Interest Rate

For Participant Tabarru Fund (PTF) of Family Takaful and Unit Linked business, the company has chosen Valuation Interest Rates of 2.5%p.a. and 2.0%p.a. respectively, which is net of Mudharaba sharing of investment returns with the Takaful Operator. For Mortgage Fund, Valuation Interest Rate of 7.5%p.a. is used which is based on the average of the last 4 years yield of the fund whereas for the Takaful Operator's Fund, Valuation Interest Rate equivalent to the risk-free yield is assumed.

Mortality and Morbidity Assumption

The Company has used the standard table SLA07/09 based on the Sri Lanka Assured Lives Mortality Study Report 2013 from Munich Re to calculate the best estimate assumptions for mortality due to insufficient in-house mortality and morbidity experience. The Total Permanent Disability (TPD) rates are assumed to be 10% of mortality rates and other morbidity rates are assumed as Retakaful rates. The risk margin loading factors assumed for mortality and morbidity are +/- 10% and +/- 20% respectively.

Lapse Assumption

Lapse rate assumptions are based on a combination of the company's experience for early durations as well as industry experience in Sri Lanka. The company has used different lapse assumptions for each product to suit the specific nature of the product and business. A different lapse rate assumption has been used for single contribution as they are likely to exhibit different lapse experiences. The risk margin loading factor assumed for lapses is +/-20% for both regular and single contribution plans.

Expense Assumption

The company performed the expense study internally where the expenses are allocated to acquisition and maintenance expenses as well as variable and fixed expenses based on the best representation of actual cost. The variable expenses are linked to contribution amount whereas the fixed expenses are expressed as a per policy expense. Further, the maintenance expenses assumptions were derived assuming that 30.5% of the variable expenses and 20.1% of the fixed expenses will be charged to the PTF for Family Takaful and Unit - Linked business. Expense inflation is assumed to be 5.0% p.a for per policy maintenance expense. The risk margin loading factor assumed for expenses is + 10%.

Bonus Assumption

No guarantees apply to any of the Takaful funds, and all funds except the unit fund and the mortgage fund are subject to sharing of investment income between the certificate holders and the Takaful Operator.

13.4.2 Other Information

The valuation of the Insurance Provisions (Family Takaful Fund), as at 31 December 2019 was made by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd, Malaysia.

In the opinion of the consultant actuary, the provision is adequate to cover the liabilities pertaining to Long Term Insurance (Family Takaful) Fund. It is not required to perform a valuation on the Participating Investment Fund since it represents just the accumulation of investments made by the policy holders, with no guaranteed returns.

13.5 Liability Adequacy Testing (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance contract Liability was carried out by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd, Malaysia as at 31st December 2019 as required by SLFRS 4 - Insurance Contracts. According to the Consultant Actuary's report, assets are sufficiently adequate as compared to the sum of the discounted cash flow reserves and any further additional reserves as at 31 December 2019.

14. EMPLOYEE BENEFITS

	2019 Rs.	2018 Rs.
Employee Benefits - Gratuity		
At beginning of the year	7,078,883	6,013,000
Net Benefit Expense (Note 14.1)	4,153,822	1,875,763
	11,232,705	7,888,763
Payments during the year	(1,141,812)	(809,880)
At end of the year	10,090,893	7,078,883
14.1 Net Benefit Expense		
Included in Statement of Comprehensive Income		
Interest Cost	833,892	607,313
Current Service Cost	1,286,090	1,207,386
	2,119,982	1,814,699
Included in Other Comprehensive Income		
Actuarial Loss on Obligations	2,033,840	61,064
	2,033,840	61,064
Net Benefit Expense	4,153,822	1,875,763

The gratuity liability was actuarially valued under the Projected Unit Credit Cost method by Mr. Piya S. Goonetilleke (Fellow of the Society of Actuaries - USA) in 2019 as required by LKAS 19, Employee Benefits.

Principal actuarial assumptions used :

	2019	2018
a) Discount Rate % per Annum	10.5	11.78
b) Salary Increase % per Annum	9	9
c) Incidence of Withdrawals	2	4
d) Expected Average Future Working Life of the Active Participants	4.8 Years	4.6 Years
Demographic Assumption		
	2019	2018
e) Retirement age	55 Years	55 Years
f) Mortality rates	GA 1983 Mortality Table	GA 1983 Mortality Table

The liability is not externally funded.

14. EMPLOYEE BENEFITS (Contd.)

14.2 Sensitivity

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation by the amounts shown below.

	31 December 2019		31 December 2018	
	Increase	Decrease	Increase	Decrease
Discount rate (1% movement)	(419,571)	462,021	(294,664)	325,877
Future salary growth (1% movement)	461,318	(426,486)	329,369	(302,778)

Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumptions shown.

15. SUBORDINATED DEBT

As at 31st December

	2019 Rs.	2018 Rs.
Unsecured Subordinated Debt	81,417,058	32,051,250
	81,417,058	32,051,250

16. OTHER LIABILITIES - UNIT LINKED

	2019 Rs.	2018 Rs.
Financial Liabilities (Note 16.1)	15,595,782	13,134,356
Non - Financial Liabilities (Note 16.2)	35,390,900	38,151,252
	50,986,682	51,285,609
16.1 Financial Liabilities		
Retakaful Payable	15,595,782	13,134,356
16.2 Non - Financial Liabilities		
Advances	24,144,780	20,939,015
Other Creditors	11,246,120	17,212,238
	35,390,900	38,151,252

17. OTHER LIABILITIES

	2019 Rs.	2018 Rs.
Financial Liabilities (Note 17.1)	34,931,726	17,209,898
Non - Financial Liabilities (Note 17.2)	27,752,027	55,281,666
	62,683,754	72,491,565
17.1 Financial Liabilities		
Commission Payable	7,824,922	7,965,365
Retakaful Payable	24,271,392	1,764,137
Amount Due to a Related Party - Amāna Takaful PLC	2,835,413	7,480,397
	34,931,726	17,209,898
17.2 Non - Financial Liabilities		
Accrued Liabilities	8,564,465	6,135,307
Other Creditors	19,187,562	49,146,359
	27,752,027	55,281,666

18. LEASE LIABILITY

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the Ijarah rate implicit in the lease or, if that rate can not be readily determined, the Group's incremental borrowing rate. The movement of Lease creditor for the period is as follows,

	2019			2018
	Motor Vehicle Rs.	Property Rs.	Total Rs.	Rs.
Opening lease Creditor as at 01st January	3,849,823	13,889,452	17,739,275	6,381,600
Ijarah Expense recognised in Profit or Loss	410,518	1,672,966	2,083,484	-
Settlement through lease payment	(1,914,480)	(5,291,400)	(7,205,880)	(1,914,480)
Unamortised Profit	-	-	-	(617,297)
Lease Liability	2,345,861	10,271,018	12,616,879	3,849,823
		1 Year or less Rs.	2-5 Years Rs.	Total Rs.
Maturity Analysis				
Gross Liability		5,936,880	9,164,100	15,100,980
Unamortised Profits		(1,264,959)	(1,219,143)	(2,484,101)
Net Liability		4,671,921	7,944,957	12,616,879

Lease Liabilities as at 1 January 2019 can be reconciled to the Operating Lease commitments as of 31 December 2018, as follows:

	Rs
Operating Lease commitments as at 31st December 2018	18,339,740
Weighted Average Incremental Borrowing rate as at 1st January 2019	14%
Discounted operating Lease commitments as at 1st January 2019	14,257,874
Less: Commitments relating to Short term leases	(368,421)
Add: Commitments relating to leases previously classified as finance	3,849,823
Commitments as at 31st December 2018	17,739,275

19. STATED CAPITAL

	2019	2018
Fully Paid Ordinary Shares -Voting (Rs.)	500,000,000	500,000,000
No of Ordinary Shares - Voting	50,000,000	50,000,000

All issued shares carry equal voting rights. The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the Company.

20. OTHER RESERVES

Reserves consists of the following :

20.1 Available For Sale Reserve

The Available For Sale Reserve comprises the cumulative net change in the fair value of Available For Sale financial assets until the assets are derecognised or impaired.

20.2 Life Policyholders' Reserve Fund

The Life Policyholder Reserve Fund includes the fair value changes recorded under Other Comprehensive Income in respect of Available For Sale financial assets related to Family Takaful Fund.

20. OTHER RESERVES (Contd.)

20.3 Revaluation Reserve

The Revaluation Reserve relates to the revaluation of motor vehicles under property, plant and equipment.

21. GROSS WRITTEN CONTRIBUTION (PREMIUM)

	2019 Rs.	2018 Rs.
Family Takaful	60,280,672	79,332,430
Mortgage and Group Family Takaful	27,922,203	36,332,555
Unit Linked	763,089,978	712,282,522
	851,292,853	827,947,507

22. INCOME FROM INVESTMENTS

	2019 Rs.	2018 Rs.
Investment Income (Note 22.1)	247,596,067	236,913,664
Unrealised Capital Gain- Fair Value Through Profit or Loss Investments	38,098,809	(55,692,225)
Net Realised Capital (Losses) or Gain - Fair Value Through Profit or Loss Investments	(30,077,744)	-
	255,617,132	181,221,438

22.1 Investment Income

Dividend Income	3,397,125	4,537,276
Income from Mudharaba Investments	217,593,683	201,630,615
Interest Income from investment in Government Securities	26,605,259	30,745,773
	247,596,067	236,913,664

23. OTHER INCOME

	2019 Rs.	2018 Rs.
Fund Management Fee Income	20,806,716	22,203,052
Sundry Income	14,625,007	5,800,000
Fees & Charges	23,106,333	6,102,288
Rental Income	3,500,000	2,000,000
Net Change in Fair Value of Investment Property	2,571,000	-
	64,609,056	36,105,340

24. TAKAFUL (INSURANCE) CLAIMS AND BENEFITS (NET)

	2019 Rs.	2018 Rs.
Claims Incurred	81,972,504	71,896,890
Surrenders	428,413,917	399,762,430
Policy Maturities	39,999,464	51,364,521
Interim Payments/Part withdrawals	41,509,015	20,422,425
Long Term Insurance Claims & Benefits	591,894,900	543,446,265

25. OTHER OPERATING AND ADMINISTRATION EXPENSES

	2019 Rs.	2018 Rs.
Staff Expenses (Note 25.1)	223,882,201	204,294,092
Administration & Establishment Expenses	176,029,205	247,440,721
Selling Expenses	11,567,147	10,660,507
Depreciation (Note 05)	7,301,219	7,282,950
Depreciation ROU (Note 06)	5,983,129	-
Consultancy Fees	354,350	1,265,175
Exchange Gain/Loss	1,166,918	-
Net Change in Fair Value of Investment Property	-	1,070,000
	426,284,169	472,013,445

25.1 Staff Expenses

	2019 Rs.	2018 Rs.
Wages, Salaries & Bonuses	194,354,255	174,617,880
Contribution to defined contribution plans - EPF & ETF	10,948,660	8,132,822
Staff welfare	5,775,078	6,526,618
Staff training	3,761,470	5,115,201
Medical claims	6,810,931	8,086,871
Employee Benefit/Gratuity (Note 14.1)	2,231,807	1,814,699
	223,882,201	204,204,092

26. FINANCE COST

	2019 Rs.	2018 Rs.
Extended Wakala Profit	3,610,550	-
Profit Mark up on Lease (Ijara) Facility	1,590,775	747,036
	5,201,325	747,036

27. PROFIT FROM OPERATIONS FOR THE YEAR

is stated after charging the following :

	2019 Rs.	2018 Rs.
Directors' Emoluments	-	-
- Executive	-	-
- Non - Executive	3,599,937	2,467,188
Auditors' Remuneration	1,655,380	1,309,758
- Audit	1,655,380	1,309,758
- Audit Related Other	411,536	1,357,873
- Non - Audit	255,338	459,197
Depreciation	7,301,219	7,282,950
Amortisation of Intangibles	1,295,725	1,295,725

28. INCOME TAX EXPENSE

Amāna Takaful Life PLC is liable for income tax at 28% on the taxable income for the year of assessment 2018/2019 (2017/2018 - 28%).

28.1 Tax Reconciliation Statement

	2019 Rs.	2018 Rs.
Investment Income of the Share Holder Fund	31,027,032	29,147,589
Surplus Distributed to Shareholders from Life Insurance Policy Holders	Nil	Nil
Surplus Distributed to Policy Holders	Nil	Nil
Expenses relating to Investment Income of the Share Holder Fund	(13,851,429)	(59,877,240)
Loss Brought forward - 100% of below	(17,175,603)	(30,729,651)
Assessable/Taxable Income	-	-

Unrecognised deferred tax asset

Deferred Tax Asset / (Liability) is attributable to the following:

	2019		2018	
	Temporary Difference Rs.	Tax Effect Rs.	Temporary Difference Rs.	Tax Effect Rs.
On Retirement Benefit Obligations	10,090,893	2,825,450	7,078,883	1,982,087
On Life Policyholders' Reserve Deficit	(4,164,297)	(1,166,003)	(885,622)	(247,974)
Accumulated Tax losses	874,291,447	244,801,605	1,106,273,798	309,756,663
	880,218,043	246,461,052	1,112,467,059	311,490,776

Deferred tax asset of Rs. 246,461,052 (2018: Rs. 311,490,776) as at 31 December 2019 arising out of the above temporary differences has not been recognised since it is not probable that future taxable profits will be available against which the Company can utilise the benefits therefrom.

29. EARNINGS PER SHARE

29.1 Basic Earnings Per Share is calculated by dividing the profit for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

29.2 The following reflect the income and share data used in the Basic Earnings Per Share computations.

	2019 Rs.	2018 Rs.
Amount used as the Numerator:		
Profit for the year	(29,118,030)	(62,976,499)
Number of Ordinary Shares used as Denominator :		
Weighted Average Number of Ordinary Shares in Issue	50,000,000	50,000,000
Earnings Per Share	(0.58)	(1.26)

29.3 There were no potential dilutive ordinary shares outstanding at any time during the year. Therefore, Diluted Earning Per Share is same as Basic Earnings Per Share shown above.

30. RELATED PARTY DISCLOSURES

The Company carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 - "Related Party Disclosures". Transactions with related parties were made on the basis of the price lists in force with non-related parties, but subject to approved discounts. Outstanding balances with related parties as at the reporting date are unsecured and interest free. Settlement will take place in cash. Such outstanding balances have been included under respective assets and liabilities. These transactions are reviewed by related party transaction committee on frequent basis. Details of related party transactions are reported below :

The Company carried out following transactions with related parties in the ordinary course of its business on an arm's length basis at commercial rates during the year.

(A) Transactions and Outstanding Balances with the Related Companies

Relationship	Nature of Transactions and Outstanding Balances	2019	2018
		Rs.	Rs.
Parent	Shared Cost	106,044,402	157,466,734
	Takaful Premium Paid	9,770,933	8,086,871
	Takaful Premium Received	586,403	622,158
	Shared Cost Settlements	110,571,297	168,389,501
	Current Account Balance (Net)	3,523,683	5,648,197

Shared Cost refers to the value of expenses paid by the Parent Company on behalf of Amāna Takaful Life PLC on the shared cost. The subsequent settlement by Amāna Takful Life PLC is recorded as Shared Cost Settlements.

(B) Compensation of Key Management Personnel

According to Sri Lanka Accounting Standard (LKAS) 24 - "Related Party Disclosure", Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the Directors (including Executive and Non-Executive Directors) of the Company and its parent have been classified as Key Management Personnel of the Company.

The Company carries out transactions with KMPs & their close family members in the ordinary course of its business on an arms length basis at commercial rates.

The Company has made following payments to key management personnel during the year.

	2019 Rs.	2018 Rs.
Salary and other short term benefits	12,411,459	10,786,181
Contributions made by the company to EPF And ETF	1,020,528	968,849
Non cash benefits	1,140,000	1,140,000
	14,571,989	12,895,031

31. COMMITMENTS AND CONTINGENCIES

31.1 Commitments

The Company does not have significant capital commitments as at the reporting date.

31.2 Contingencies

The Company does not have significant contingencies as at the reporting date.

32. EVENTS OCCURRING AFTER THE REPORTING PERIOD

The outbreak and spread of the coronavirus globally since January 2020 have caused disruption to business and economic activities, and uncertainty to the global economy. Quarantine measures taken by respective countries widely affected the Company's clients directly or indirectly linked to industry sectors such as Financial, Agriculture, Manufacturing, Tourism, Transportation, Construction, Trade, Services, Consumption. Recent COVID 19 containing measures taken by Local Government has also caused temporal disruption to business operations and economic activities of the Company and its customers. Expected financial effects would be negative, financial repercussions would be felt by the Company in the first quarter of FYE 2020.

Increase in claims, long outstanding premium receivables, policy surrenders are likely to have negative impact on the earnings, cash flows and liquidity positions of the Company.

The life insurance contract liabilities as at 31 December 2019 was estimated based on a range of forecast economic conditions such as mortality, morbidity, longevity, investment returns, expenses, lapses and surrender rates and discount rates. Non-life insurance contract liabilities were estimated based on the assumptions such as existing knowledge of risk events, industry ultimate loss ratio, claims handling expenses and management expenses. It may cause a doubt on the appropriateness of such assumptions due to the COVID 19 outbreak.

Decrease in the prices of equity and debt instruments will be negatively impacted to the solvency of the company where market consistent value of the investments for risk-based capital consider the market value of the securities.

The Company will continue to take appropriate actions to mitigate any potential impact and will keep its contingency and risk management measures under review, as the situation evolves. With the situation and the spread of the coronavirus still evolving, the impact to our core markets and also to the Company's financial results cannot be reasonably estimated at the current stage.

33. ASSETS PLEDGED

No assets have been pledged as security for liabilities as at the reporting date.

34. RISK MANAGEMENT

34.1 Overview

All entities face uncertainty and the challenge for the Company is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Primarily, risk management framework enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

34.2 Risk Management Framework

Amāna Takaful Life PLC risk management framework forms an integral part of the management and Board processes and decision-making framework across the Company. The Company has a robust Enterprise Risk Management Framework to mitigate the identified risks exposed at multiple levels of the operation. We believe, while having the Governance practices and the Standard Operating Procedures (SOP's), having the right people at the right place will mitigate more than half the risks.

However, the Board of Directors has the overall responsibility for the establishment and oversight of the Company's risk management framework and thus, their approval is necessary for the Risk management Strategies. The Company's Risk Management Framework categorised into four lines of defense as follows:

1. Front Line People – Risk awareness of the people in the front line is the first line of defense.
2. Policies and Procedures – the Standard Operating Procedures will mitigate the risks at operational level.
3. Key Personnel – Appointing key personnel at the key positions will assist mitigating through right decision making and approval controls at senior management level.
4. Governance – the governance practices to mitigate the risks at Board level.

The Board has appointed a Subcommittee (Board Risk Committee) to monitor closely the affairs of Risk Management of the company.

This section discusses the salient features of the risks exposed by the Company in terms of financial instruments and other areas as an insurance Company. The Financial instruments of the Company are exposed to the following Risks.

1. Financial Risk
2. Market Risk
3. Insurance Risk
4. Liquidity Risk

34.3 Financial Risk

34.3.1 Capital Management

a. Objectives and policies

The Company has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- ★ Optimise capital utilisation within the regulatory guidelines.
- ★ To maintain the required level of solvency of the Company, thereby providing a degree of security to policyholders.
- ★ To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders, policyholders and other stakeholders.
- ★ To retain financial flexibility by maintaining strong liquidity
- ★ To align the profile of assets and liabilities taking account of risks inherent in the business

The Company currently has stated capital worth Rs 500Mn which is the minimum regulatory requirement of the Insurance Regulatory Commission of Sri Lanka (IRCSL). Operations of the Company are also subject to statutory requirements of the IRCSL (Capital, investments, solvency etc.,) of which adaptations are made to internal processes from time to time as and when regulations are amended. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions on events such as capital adequacy and solvency to minimize the risk of default and insolvency on the part of the insurance companies to meet unforeseen liabilities.

b. Approach to capital management

Capitals of all investments are maintained strictly within the investment guidelines of the Insurance Regulatory Commission of Sri Lanka (IRCSL). This primarily helps the Company to maintain the required levels of solvency at all the times at different funds. In meeting the objectives mentioned above, the Capital management and asset allocation decisions are reviewed and approved by the Executive Committee and the Board Investment Committee which meet regularly on a monthly basis. The Board Investment Committee operates under clear terms of reference to thoroughly analyze the new investment proposals, review the past performance and provide guidance in terms of future investments and movements of assets.

34.4 Credit Risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation.

How credit risk could arise

- 1 Premium Receivable
- 2 Re-Insurance Receivable
- 3 Financial Investments
- 4 Bank Balances
- 5 Other Financial Assets

The following policies and procedures are in place to mitigate the Company's exposure to credit risk:

- ★ The Company has a stringent credit policy and a detailed SOP outlining the authority and approval limits to manage credit granted to customers.
- ★ All Re-insurers are selected based on the ratings as required by IRCSL.
- ★ The investment committee evaluates the exposure and the new investments in instruments in order to reduce the risks.
- ★ The executive committee regularly reviews the credit position of the company i.e. out-standings and over-dues. In addition the company also ensures that there are sufficient provisions created in the case of doubtful debts.

34.4.1 Credit Exposure

The Company's maximum exposure to credit risk for the components of the statement of financial position at 31 December 2019 is the carrying amounts of respective financial instruments.

	2019 Rs.	2018 Rs.
Financial Assets		
Fair Value through Profit or Loss		
Investment in Equity Securities	25,156,250	44,566,961
Investment in Equity Securities-Unit Linked	58,391,703	61,432,832
Available for Sale Financial Assets		
Unit Trust	28,030,231	26,561,505
Unit Trust-Unit Linked	28,900,391	27,007,989
Loans & Receivables		
Mudhrabha Investments	523,697,263	489,298,844
Repurchase Agreements	239,466,090	314,737,394
Mudhrabha Investments-Unit Linked	1,598,806,981	1,512,710,987
Repurchase Agreements-Unit Linked	30,110,959	20,056,657
Investment in Commercial Papers	-	-
Other Financial Assets		
Contribution (Premium) Receivables	36,692,115	39,676,266
Other Assets	31,615,393	34,853,628
Cash and Cash Equivalents	70,324,846	85,064,941
Cash and Cash Equivalents-Unit Linked	38,197,730	8,155,160
Total Financial Assets	2,709,389,952	2,664,123,165

34. RISK MANAGEMENT (Contd.)

	Neither Past due nor Impaired Rs.	Past due but not Impaired Rs.	Individually Impaired Rs.	As at 31st December 2019 Rs.
Financial Assets				
Fair Value through Profit or Loss				
Investment in Equity Securities	25,156,250	-	-	25,156,250
Investment in Equity Securities-Unit Linked	58,391,703	-	-	58,391,703
Available-for-Sale Financial Investments				
Unit Trust	28,030,231	-	-	28,030,231
Unit Trust-Unit Linked	28,900,391	-	-	28,900,391
Loans & Receivables				
Mudhrabha Investments	523,697,263	-	-	523,697,263
Repurchase Agreements	239,466,090	-	-	239,466,090
Mudhrabha Investments-Unit Linked	1,598,806,981	-	-	1,598,806,981
Repurchase Agreements-Unit Linked	30,110,959	-	-	30,110,959
Other Assets Exposed to Credit Risk				
Contribution (Premium) Receivable	36,692,115	-	-	36,692,115
Other Assets	31,615,393	-	-	31,615,393
Cash and Cash Equivalents	70,324,846	-	-	70,324,846
Cash and Cash Equivalents-Unit Linked	38,197,730	-	-	38,197,730
Total Credit Exposure	2,709,389,952	-	-	2,709,389,952

	Neither Past due nor Impaired Rs.	Past due but not Impaired Rs.	Individually Impaired Rs.	As at 31st December 2018 Rs.
Financial Assets				
Fair Value through Profit or Loss				
Investment in Equity Securities	44,566,961	-	-	44,566,961
Investment in Equity Securities-Unit Linked	61,432,832	-	-	61,432,832
Available-for-Sale Financial Investments				
Unit Trust	26,561,505	-	-	26,561,505
Unit Trust-Unit Linked	27,007,989	-	-	27,007,989
Loans & Receivables				
Mudhrabha Investments	489,298,844	-	-	489,298,844
Repurchase Agreements	314,737,394	-	-	314,737,394
Mudhrabha Investments-Unit Linked	1,512,710,987	-	-	1,512,710,987
Repurchase Agreements-Unit Linked	20,056,657	-	-	20,056,657
Other Assets Exposed to Credit Risk				
Contribution (Premium) Receivable	39,676,266	-	-	39,676,266
Other Assets	34,853,628	-	-	34,853,628
Cash and Cash Equivalents	85,064,941	-	-	85,064,941
Cash and Cash Equivalents-Unit Linked	8,155,160	-	-	8,155,160
Total Credit Exposure	2,664,123,166	-	-	2,664,123,166

34.5 Market Risk

Market risk involves all the fluctuations in the demand and supply forces in the capital and insurance markets for the Company. The capital market forces determine interest rates, equity prices, yield on other investment assets, while the market forces in the insurance market determines the net premiums and gross premium values. Further, prices of goods and services in general i.e. inflation, determines the cost of administration.

34.5.1 Equity Risk

Listed equity investments are prone to market risk arising from uncertainties faced in the future values of the securities. In order to diversify its risk the company has a diversified investment policy based on fundamental analysis which has helped balance the uncertainty faced. It is also notable that the company invests only in sound fundamental value giving investments to the company greater security in its invested equity securities.

Non-Unitised Fund	Equity Exposure			
	2019		2018	
	Exposure (Rs.)	Sector Weight	Exposure (Rs.)	Sector Weight
Construction & Engineering	-	-	1,242,160	3%
Manufacturing	-	-	7,011,882	16%
Plantation	-	-	1,106,670	2%
Chemical & Pharmaceuticals	-	-	1,300,000	3%
Banking, Insurance & Finance	25,156,250	100%	33,906,250	76%
	25,156,250	100%	44,566,962	100%

Unitised Fund	Equity Exposure			
	2019		2018	
	Exposure (Rs.)	Sector Weight	Exposure (Rs.)	Sector Weight
Construction & Engineering	10,843,602	19%	12,515,696	20%
Manufacturing	29,723,902	51%	45,004,037	73%
Footwear/ Textile	16,918,713	29%	3,913,000	6%
Food & Beverage	905,486	2%	-	0%
	58,391,703	100%	61,432,832	100%

Sensitivity Analysis of Equity Risk

Type of Classification		2019		2018	
		Rs.	Rs.	Rs.	Rs.
		10% Decline	10% Increase	10% Decline	10% Increase
10% decline in stock markets					
Non-Unitised Fund	FVTPL	(2,515,625)	2,515,625	(4,456,696)	4,456,696
Unitised Fund	FVTPL	(5,839,170)	5,839,170	(6,143,283)	6,143,283
Net impact on profit before tax	FVTPL	(2,515,625)	2,515,625	(4,456,696)	4,456,696

34.5.2 Currency Risk

Currency risk is the risk of loss resulting from changes in exchange rates. The company's principle operation is based in Sri Lanka; therefore it is not materially exposed to the financial impact at an operational level arising from changes in the exchange rates of various currencies.

The company has raised a cumulative subordinated debt in USD for a value of USD 335,000. This funds are reinvested in USD based financial instruments thereby mitigating currency risk exposure.

34.5.3 Interest rate risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in the market interest rates. Floating rate instruments expose the company to cash flow interest risk, whereas fixed interest rate instruments expose the company to fair value interest risk.

The Company invests in Treasury Bills primarily to meet the mandatory requirement of the investment Insurance Regulatory Commission of Sri Lanka and to park the cash inflow within the admissible assets category until a suitable option is identified within the available time space.

34. RISK MANAGEMENT (Contd.)

34.6 Insurance Risk

Being an insurance Company, risks related to the insurance business i.e. Insurance Risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this Category.

- ★ Underwriting Risks
- ★ Claims Risks
- ★ Re-Insurance Risk

In addition to the above Life insurance is specifically subject to the following risks

1. Mortality risk – risk of loss arising due to policyholder death experience being different than expected.
2. Morbidity risk – risk of loss arising due to policyholder health experience being different than expected
3. Investment return risk – risk of loss arising from actual returns being different than expected
4. Expense risk – risk of loss arising from expense experience being different than expected
5. Policyholder decision risk – risk of loss arising due to policyholder experiences (lapses and surrenders) being different than expected.

In order to mitigate such risk the company has adopted various strategies. The company strategy is driven by the comprehensive screening of policy holders in order to ascertain current medical status, family medical history the key been the comprehensive screening of participants. Further the company ensures that the overall risk is reduced by diversifying the product portfolio across widespread geographical and industry wide segments.

The company also rejects the payment of fraudulent claims once fully exhausting its investigative capacity. The insurance risk described above is also affected by the contract holder's right to pay reduced premiums or no future premiums, to terminate the contract completely. As a result, the amount of insurance risk is also subject to contract holder behaviour.

34.6.1 Under-writing Risks

In insurance, underwriting risk may either arise from an inaccurate assessment of the risks entailed in writing an insurance policy, or from factors wholly out of the underwriter's control. As a result, the policy may cost the insurer much more than it has earned in premiums.

Management Strategy

- i. Price - The Company has strict pricing mechanisms which need to be adhered in respect of various classes of products. Pricing is based on the Actuarial Valuation of the product plan done by Actuarial Partners.
- ii. Exposure - The Company fully ensures that the company does not underwrite risk which does not suit its risk profile and further ensures all high volume risks are re-insured.
- iii. Personnel - The Company ensures that all Underwriting personnel in Life are adequately trained. Further all staff inclusive of underwriting staff have been given specific Key Performance Indicators (KPI's) with regard to revenue and profitability of product segments.

Further it should be noted that the company monthly monitors product profitability of all main classes of insurance.

34.6.2 Claims Risk

The key risk facing insurance companies is the claims risk, where an extremely high amount of withdrawals i.e. a significantly high surrender ratio in comparison to the premium, could drastically affect company performance.

Sensitivities

The sensitivity analysis below has been performed for reasonably possible movements in key assumptions with all other assumptions held constant, showing the impact on gross and net liabilities. The correlation of assumptions will have a significant effect in determining the ultimate claims liabilities, but to demonstrate the impact due to changes in assumptions, assumptions had to be changed on an individual basis. It should be noted that movements in these assumptions are non-linear. Sensitivity information will also vary according to the current economic assumptions.

Impact on Takaful Contract Liabilities

	Change in Assumptions %	Gross LKR'000	Net LKR'000	(Loss)/Profit Before Taxation LKR'000	
31st December 2019					
Mortality/morbidity	+10%	11,048	0.50%	4,235	0.19%
Mortality/morbidity	-10%	(10,677)	-0.48%	(4,072)	-0.19%
Lapse and surrender rates	-10%	2,873	0.13%	2,745	0.12%
Discount rate	-1%	1,106	0.05%	1,081	0.05%
Expenses	+10%	4,075	0.18%	3,987	0.18%
Unit Fund Investment Return	-1%	(324)	-0.01%	(297)	-0.01%

Movement in Takaful Contract Liabilities

The movement of Takaful Contract Liabilities are summarised in the table below by measurement category

	Takaful Contract Liabilities	
	Gross LKR'000	Net LKR'000
As at 31 December 2018	2,205,214	2,174,370
Reserve Unwinding	(24,785)	(18,462)
Experience variance	(11,250)	(10,807)
Change in valuation basis (Methodology)	-	-
Change in valuation basis (Assumptions)	1,041	525
New Business	24,578	21,402
Others	29,138	29,138
As at 31 December 2019	2,223,937	2,196,168

Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully emphasised in Key Performance indicators of all staff levels.

34.6.3 Re-Insurance Risk

Insurance companies in events where sum insured is extremely high in comparison to premium earned decide on reinsuring the policy with another insurer in order to mitigate/share its loss in the case of disaster. The risk borne would add up to the premium foregone in the event that disaster does not occur to the said policy.

Management Strategy

The Board Risk Committee annually reviews the list of reinsurers to ensure that the company's exposure is hedged to maximum effect whilst periodically monitoring the financial status and condition of the same. The company employs pre-agreed treaty insurance agreements to hedge against day to day insurance exposure whilst engages in facultative insurance to hedge against extra-ordinary insurance risks in the line of day to day business.

34. RISK MANAGEMENT (Contd.)

34.6 Insurance Risk

34.6.3 Re-Insurance Risk

Class of business	Name of the reinsurer	Reinsurers Country of origin	Name of the regulatory authority which approval obtained to transact reinsurance business *	License validity period of the reinsurer	Rating		Rating Agency	Date of Rating
					Financial Strength	Credit		
Life								
1. Long Term Takaful Plans (Endowments)	1. Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	26/07/2019
	2. Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	19/08/2019
Other								
1. All family Takaful Policies (CAT Cover)	Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	19/08/2019
2. Unit Link Takaful	Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	19/08/2019
3. Group Family	Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	26/07/2019
4. Credit & Mortgage Takaful	1. Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	19/08/2019
	2. Score Re	Malaysia	Labuan FSA	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	25/07/2019

34.7 Liquidity Risk

Liquidity risk is when a possibility arises that an entity will encounter difficulty in meeting obligations associated with financial instruments. The company has a standard set of guidelines set up by an Investment policy under the purview of the Investment committee which is followed in accordance with the IRCSL guidelines.

The following policies and procedures are in place to mitigate the company's exposure to liquidity risk:

- ★ The company maintains a diverse maturity profile in its assets, in order to ensure sufficient funding available to meet insurance and investment contracts obligations.
- ★ The investment committee regularly reviews the liquidity levels and takes appropriate action to improve the liquidity whilst ensuring maximum possible yield and efficiency in investments.
- ★ Efficient forecasting of future commitments and making investments to meet the payouts to mitigate any possible liquidity concerns.

Maturity profile of Company investments based on remaining maturity is given below.

Maturity Analysis 2019	Less than one Year	1-3 Years	3-5 Years	More than 5 years	No stated maturity	Total
Financial Assets						
Investments in Equity Securities	83,547,953	-	-	-	-	83,547,953
Repurchase Agreements	269,577,049	-	-	-	-	269,577,049
Unit Trust	56,930,622	-	-	-	-	56,930,622
Mudharaba Investments	2,122,504,244	-	-	-	-	2,122,504,244
Contribution (Premium) Receivable	36,692,115	-	-	-	-	36,692,115
Other Assets	31,615,393	-	-	-	-	31,615,393
Cash and Bank Balances	70,324,846	-	-	-	-	70,324,846
Cash and Bank Balances - Unit Linked	38,197,730	-	-	-	-	38,197,730
	2,709,389,952	-	-	-	-	2,709,389,952
Financial Liabilities						
Finance Lease Liability	4,671,921	7,944,957	-	-	-	12,616,879
Subordinated Debt	-	-	81,417,058	-	-	81,417,058
Other Liabilities	34,931,726	-	-	-	-	34,931,726
Other Liabilities - Unit Linked	15,595,782	-	-	-	-	15,595,782
	55,199,430	7,944,957	81,417,058	-	-	144,561,445

Maturity Analysis 2018	Less than one Year	1-3 Years	3-5 Years	More than 5 years	No stated maturity	Total
Financial Assets						
Investments in Equity Securities	105,999,793	-	-	-	-	105,999,793
Repurchase Agreements	334,794,052	-	-	-	-	334,794,052
Unit Trust	53,569,494	-	-	-	-	53,569,494
Mudharaba Investments	2,002,009,831	-	-	-	-	2,002,009,831
Contribution (Premium) Receivable	39,676,266	-	-	-	-	39,676,266
Other Receivables	34,853,628	-	-	-	-	34,853,628
Cash and Bank Balances	85,064,941	-	-	-	-	85,064,941
Cash and Bank Balances - Unit Linked	8,155,160	-	-	-	-	8,155,160
	2,664,123,165	-	-	-	-	2,664,123,165
Financial Liabilities						
Finance Lease Liability	1,503,962	2,345,861	-	-	-	3,849,823
Subordinated Debt	-	-	32,051,250	-	-	32,051,250
Other Liabilities	17,209,898	-	-	-	-	17,209,898
Other Liabilities - Unit Linked	13,134,356	-	-	-	-	13,134,356
	31,848,216	2,345,861	32,051,250	-	-	66,245,327

INDUSTRY ANALYSIS

31st December 2019	Financial Services	Asset Management	Government	Food & Beverages	Telecommunication	Construction, Manufacturing, Power & Chemicals	Others	Total
Assets								
Fair value through profit or loss								
Investments in equity securities	25,156,250	-	-	-	-	-	-	25,156,250
Investments in equity securities-Unit Linked	-	-	-	905,486	-	40,567,504	905,486	42,378,476
Available-for-sale financial investments								
Unit Trust	-	56,930,622	-	-	-	-	-	56,930,622
Loan and Receivables								
Repurchase Agreements	-	-	239,466,090	-	-	-	-	239,466,090
Repurchase Agreements-Unit Linked	-	-	30,110,959	-	-	-	-	30,110,959
Mudharaba investments	523,697,263	-	-	-	-	-	-	523,697,263
Mudharaba investments-Unit Linked	1,598,806,981	-	-	-	-	-	-	1,598,806,981
Investment in Commercial Papers	-	-	-	-	-	-	-	-
	2,147,660,494	56,930,622	269,577,049	905,486	-	40,567,504	905,486	2,516,546,640

31st December 2018	Financial Services	Asset Management	Government	Food & Beverages	Telecommunication	Construction, Manufacturing, Power & Chemicals	Others	Total
Assets								
Fair value through profit or loss								
Investments in equity securities	-	-	-	-	-	9,554,042	35,012,920	44,566,962
Investments in equity securities-Unit Linked	-	-	-	-	-	57,519,833	3,913,000	61,432,833
Available-for-sale financial investments								
Unit Trust	-	53,569,494	-	-	-	-	-	53,569,494
Lone and Receivables								
Repurchase Agreements	-	-	314,737,394	-	-	-	-	314,737,394
Repurchase Agreements - Unit Linked	-	-	20,056,657	-	-	-	-	20,056,657
Mudharaba investments	489,298,844	-	-	-	-	-	-	489,298,844
Mudharaba investments - Unit Linked	1,512,710,987	-	-	-	-	-	-	1,512,710,987
Investment in Commercial Papers	-	-	-	-	-	(82,342)	82,342	-
	2,002,009,831	53,569,494	334,794,052	-	-	66,991,533	39,008,262	2,496,373,173

ANNEXES

Value Added Statement	102
Share Information	103
Ten Year Summary	105
Geographic Locations	106
Glossary	107
Notice of Meeting	109
Notes	110
From of Proxy	111

	2019 Rs. Mn	2018 Rs. Mn
Net earned contribution (premium)	820	806
Investment & Other Income	320	217
Net Claims & Benefits	(592)	(543)
Cost of external services	(258)	(320)
Total Value added	291	159
To employees as Salaries and other benefits	162	146
To intermediaries as acquisition cost	118	106
To the Government as taxes	-	-
Increase/(Decrease) in Family Takaful (Long Term Insurance) Fund	27	(37)
Retained with the business		
- depreciation	13	7
- in reserves	(29)	(63)
Total Value added	291	159

1. Analysis of the Distribution of Shareholders as at 31st December 2019

Shareholding	Resident			Non-Resident			Total		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
1-1,000	963	206,109	0.41	2	127	0.00	965	206,236	0.41
1,001-10,000	150	605,172	1.21	1	2,500	0.01	151	607,672	1.22
10,001-100,000	30	755,246	1.51	-	-	-	30	755,246	1.51
100,001-1,000,000	3	688,102	1.38	-	-	-	3	688,102	1.38
Over 1,000,000	3	47,742,744	95.49	-	-	-	3	47,742,744	95.49
	1,149	49,997,373	99.99	3	2,627	0.01	1,152	50,000,000	100.00

2. Twenty Largest Shareholders

2.1 Twenty Largest Shareholders as at 31st December 2019

Name of Shareholder	No. of Shares	%
Amāna Takaful PLC	41,150,000	82.30
Aberdeen Holdings (Pvt) Limited	3,850,000	7.70
Seylan Bank PLC/ Senthilvel Holdings (Pvt) Ltd	2,742,744	5.49
Sampath Bank Plc / Dr.T.Senthilvel	335,686	0.67
Mr.Behman Pestonjee	196,200	0.39
Dr.Thirugnanasambandar Senthilvel	156,216	0.31
Mr.Dueleep Fairlie George Dalpethado/ Mrs. D. K. A. F. H. Fonseka	72,982	0.15
Mr.Ravindra Earl Rambukwella	49,500	0.10
Mr.Abdul Azees Mohamed Anas	49,100	0.10
Mr.Mohamed Fazal	37,731	0.08
Mr.Ahamad Mohamed Subair	34,400	0.07
Mr.Mohamed Sahabdeen Mohamed Ikram	31,900	0.06
Mr.Mohammed Fariq Cader	25,000	0.05
Mr.Muhammadu Muyeess Mohammadu Abdul Cader	24,600	0.05
Mr.Mohamed Luthufur Rahman	24,600	0.05
Miss.Manchanayaka Appuhamilage Yasassri Rangana Manchanayaka	24,600	0.05
Miss.Manchanayake Appuhamilage Buddima Chathuri Manchanayake	24,600	0.05
Mr.Mohamed Nizamdeen Mohamed Nazir	24,600	0.05
Mr.Manchanayaka Appuhamilage Tharindu Ganganath Manchanayaka	24,600	0.05
Mrs.Epa Ranasinghe Imiya Appuhamilage Anoja Ranasinghe	24,600	0.05
	48,903,659	97.81
	1,096,341	2.19
Total	50,000,000	100.00

2. Twenty Largest Shareholders (Contd.)

2.2 Twenty Largest Shareholders as at 31st December 2018

Name of Shareholder	No. of Shares	%
Amāna Takaful PLC	41,150,000	82.30
Aberdeen Holdings (Pvt) Limited	3,850,000	7.70
Seylan Bank PLC/Dr.Thirugnanasambandar Senthilverl	2,742,744	5.49
Sampath Bank PLC/ Dr.T.Senthilverl	335,686	0.67
Mr.Behman Pestonjee	196,200	0.39
Dr.Thirugnanasambandar Senthilverl	156,216	0.31
Hatton National Bank Plc-Amāna Candor Shariah Balanced Fund	100,000	0.20
Mr.Abdul Azees Mohamed Anas	49,100	0.10
Mr.Ravindra Earl Rambukwella	39,500	0.08
Mr.Ahamad Mohamed Subair	34,400	0.07
Mr.Mohamed Sahabdeen Mohamed Ikram	31,900	0.06
Mr.Mohamed Fazal	31,677	0.06
Mrs.Epa Ranasinghe Imiya Appuhamilage Anoja Ranasinghe	24,600	0.05
Mr.Manchanayaka Appuhamilage Tharindu Ganganath Manchanayaka	24,600	0.05
Miss.Manchanayaka Appuhamilage Yasassri Rangana Manchanayaka	24,600	0.05
Miss.Manchanayake Appuhamilage Buddima Chathuri Manchanayake	24,600	0.05
Mr.Mohamed Luthufur Rahman	24,600	0.05
Mr.Mohamed Nizamdeen Mohamed Nazir	24,600	0.05
Mr.Muhammadu Muyeys Mohammadu Abdul Cader	24,600	0.05
Miss.Ashanthe Samarasinghe	20,272	0.04
	48,909,895	97.82
Total	1,090,105	2.18
	50,000,000	100.00

3. Public Shareholding

	31.12.2019	31.12.2018
Float Adjusted Market Capitalisation (Rs.)*	61,950,000	88,500,000
Percentage of Shares held by the Public	17.70%	17.70%
Number of Public Shareholders	1151	1055

The Company Complies with the minimum public shareholding required under option 02 of section 7.13.1 (b) of the Listing Rules.

* Float Adjusted Market Capitalisation = Market Capitalisation X Public Holding Percentage

4. Investor Ratios

	Company	
	2019 Rs.	2018 Rs.
Earnings/(Loss) per Share	(0.58)	(1.26)
Dividend per Share	-	-
Dividend pay out	-	-
Net Assets per Share	9.76	10.31

5. Market Value of Shares

	2019 Rs.	2018 Rs.
Highest Value	12.90	13.50
Lowest Value	6.10	1.10
Year End Value	7.00	10.00

Amāna Takaful Life PLC/Long Term (Family Takaful) Insurance Business

**Statement of Income
for the year ended**

	2019 Rs.'000	2018 Rs.'000	2017 Rs.'000	2016 Rs.'000	2015 Rs.'000	2014 Rs.'000	2013 Rs.'000	2012 Rs.'000	2011 Rs.'000	2010 Rs.'000
Gross Written Contribution (Premium)	851,293	827,948	792,174	820,726	928,294	679,029	542,986	364,759	317,897	240,156
Net Earned Contribution (Premium)	820,513	806,062	765,036	806,057	908,064	665,250	537,963	356,951	310,854	232,115
Income from Investments and Other Income	320,226	217,327	269,068	222,789	130,203	136,988	65,566	33,975	9,251	23,286
Net Claims Incurred	(591,895)	(543,446)	(423,475)	(320,181)	(207,572)	(161,238)	(179,545)	(80,345)	(83,361)	(70,583)
Net Commission Incurred	(117,898)	(105,825)	(97,198)	(108,237)	(97,322)	(73,711)	(47,741)	(16,452)	(19,643)	(20,054)
Expenses	(432,781)	(474,056)	(422,303)	(263,688)	(232,484)	(220,458)	(162,046)	(127,081)	(85,888)	(89,481)
Change in Family Takaful (Long Term Insurance) Fund	(27,284)	36,961	(40,536)	(301,048)	(482,827)	(346,831)	(221,141)	(167,048)	(131,213)	(75,283)
Profit/(Loss) Before Taxation	(29,118)	(62,976)	50,592	35,691	18,064	-	(6,945)	-	-	-
Income Tax Expenses	-	-	(760)	-	-	-	-	-	-	-
Net Profit/(Loss) for the year	(29,118)	(62,976)	49,832	35,691	18,064	-	(6,945)	-	-	-
Basic Earnings/(Loss) Per Share (Rs.)	(0.58)	(1.26)	0.10	0.07	0.04	-	-	-	-	-

Amāna Takaful Life PLC/Long Term (Family Takaful) Insurance Business

**Statement of Financial
Position as at**

	2019 Rs.'000	2018 Rs.'000	2017 Rs.'000	2016 Rs.'000	2015 Rs.'000	2014 Rs.'000	2013 Rs.'000	2012 Rs.'000	2011 Rs.'000	2010 Rs.'000
Assets										
Financial Assets	816,350	875,165	1,040,576	1,018,398	1,089,313	590,099	506,956	539,756	328,486	424,414
Investment Property & Other Investments	147,500	144,929	-	-	-	43,683	71,908	73,463	161,666	50,750
Financial Assets - Unit Linked	1,716,210	1,621,208	1,526,679	1,473,332	1,092,154	637,572	353,566	127,335	91,882	-
Intangible Assets	19,659	20,955	22,250	23,549	18,408	-	-	-	-	-
Property, Plant and Equipment	20,110	28,704	21,165	17,467	14,932	-	-	-	-	-
Right Of Use Asset	16,064	-	-	-	-	-	-	-	-	-
Other Assets	150,398	178,459	191,588	102,661	142,504	64,612	37,992	43,936	27,420	10,913
Other Assets - Unit Linked	38,197	8,155	7,370	72,193	46,639	95,837	36,434	14,512	6,187	-
Total Assets	2,924,488	2,877,575	2,809,628	2,707,599	2,403,950	1,431,803	1,006,856	799,002	615,641	486,077
Liabilities										
Family Takaful Fund Balance (Insurance Provision - Long Term)	471,280	534,967	580,710	559,914	574,711	551,211	550,220	577,899	494,321	413,141
Family Takaful Fund (Insurance Provision - Long Term)-Unit Linked	1,747,560	1,660,124	1,525,136	1,504,145	1,191,795	730,799	380,958	138,447	50,364	-
Subordinated Debt	81,417	32,051	-	-	-	-	-	-	-	-
Other Liabilities	85,392	83,420	78,149	69,708	82,414	129,678	66,636	79,171	23,251	72,936
Other Liabilities -Unit Linked	50,987	51,286	51,845	50,316	39,437	20,116	9,042	3,485	47,705	-
Total Liabilities	2,436,635	2,361,849	2,235,840	2,184,082	1,888,357	1,431,804	1,006,855	799,002	615,641	486,077
Shareholders' Equity										
Equity Attributable to Equity Holders of the Parent										
Stated Capital	500,000	500,000	500,000	500,000	500,000	-	-	-	-	-
Other Reserves	6,710	3,431	(1,545)	(2,669)	2,169	-	-	-	-	-
Revenue Reserves	(18,857)	12,295	75,333	26,186	13,424	-	-	-	-	-
Total Equity	487,853	515,726	573,788	523,517	515,594	-	-	-	-	-
Total Equity and Liabilities	2,924,488	2,877,575	2,809,628	2,707,599	2,403,951	1,431,804	1,006,855	799,002	615,641	486,077

Head Office

660-1/1, Galle Road Colombo 03
011 750 1000

Akkaraipattu

Main Street, Akkaraipattu
067 750 1100

Akurana

207/B, Matale Road, Akurana.
081 750 1151

Anuradhapura

521/22, 1st Floor, Maithripala Senataka
Mawatha, Anuradhapura.
025 750 1103

Batticaloa

32, Bar Road, Batticaloa
065 750 1100

Dehiwala

142, Galle Road, Dehiwala.
011 750 1275

Galle

41, Sri Devamittha Mawatha, China Garden,
Galle
091 750 1128

Gampola

134/A, Kandy Road, Gampola
081 750 1114

Jaffna

249/1, 2nd Floor, Power House Road, Jaffna
021 750 1100

Kaduruwela

379A, Main Street, Kaduruwela
027 750 1120

Kalmunai

32, Mallika Building, Main Street, Kalmunai.
067 750 1116

Kalutara

161, Main Street, Kalutara South.
034 750 1132

Kandy

111-1/1, Kotugodella Street, Kandy
081 750 1135

Kattankudy

287/C, Main Street, Kattankudy-01
065 750 1118

Katugastota

161/1, Madawala road, Katugastota.
081 750 1166

Kinniya

124, Main Street, Kinniya
026 750 1115

Kurunegala

7, South Circular Road, Kurunegala
037 750 1125

Matale

510, Main Street, Matale
066 750 1101

Matara

36/1 St. Thomas Mawatha, Matara
041 750 1132

Mawanella

207, New Kandy Road, Mawanella
035 750 1107

Mutur

253/A, Main Street, Mutur
026 750 1150

Negombo

121 1/1, St Joseph's Street, Negombo
031 750 1121

Pettah

51-53, 1st Floor, Bankshall Street, Colombo 11
011 750 1307

Puttalam

128, Mannar Road, Puttalam
032 750 1124

Ratnapura

310, 1/1, Main Road, Kudugalwatta, Ratnapura
045 750 1105

Trincomalee

71, Thirugnanasambanthar Street,
Trincomalee
026 750 1100

Vavuniya

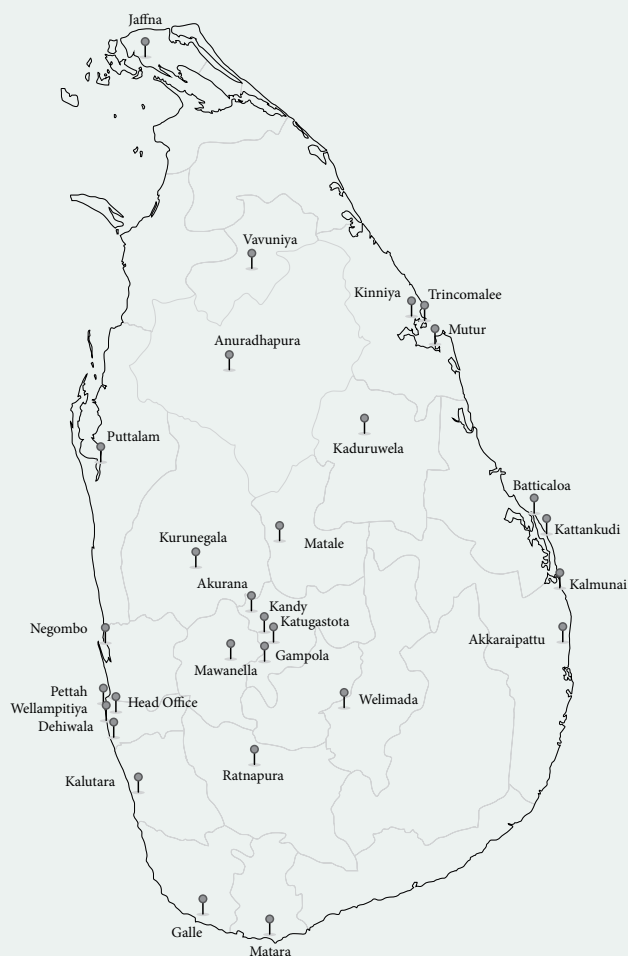
41, 2nd Floor, 2nd Cross Street Vavuniya
024 750 1104

Welimada

17, Haputale Road, Welimada
057 726 7301

Wellampitita

1, Megoda Kolonnawa, Wellampititiya
011 750 1223



Acquisition Expenses - General Takaful (Insurance)

All expenses which vary with and are primarily related to the acquisition of the new insurance contracts and the renewal of existing insurance contracts.

Acquisition Expenses - Family Takaful (Life)

All expenses which vary with and are primarily related to the acquisition of new insurance contracts.

Actuary

An expert concerned with the application of probability and statistical theory to problems of insurance, investment, financial management and demography.

Capital Adequacy Ratio (CAR)

Measures adequacy of the Total Available Capital (TAC) as against the Risk Capital Required (RCR) under the Risk Based Capital Regime.

Claims

The amount payable under a contract of insurance arising from the occurrence of an insured event, such as, the destruction or damage of property and related death or injuries, the incurring of hospital or medical bills, death or disability of the insured, the maturity of an endowment policy and the amount payable on the surrender of a policy.

Claims Incurred

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the claims outstanding provisions at the beginning and the end of the accounting period.

Claims Incurred But Not Reported (IBNR)

A reserve to cover the expected cost of losses that have occurred by the balance sheet date but have not yet been reported to the insurer.

Claim Outstanding - General Takaful (Insurance) Business

The amount provided to cover the estimated ultimate cost of settling claims arising out of events which have occurred by the balance sheet date including claims handling expenses, less amounts already paid in respect of those claims.

Commissions

A payment made to intermediaries in return for selling and servicing an insurer's products.

Earned Premium

Written premium adjusted by the unearned premium provisions at the beginning and the end of the accounting period.

General Insurance Business (General Takaful) Insurance business falling within the classes of insurance specified as General Insurance Business, under the Regulation of Insurance Industry Act No. 43 of 2000.

Ijara - (Leasing)

A contract under which, the Bank buys and leases out equipment required by its client for a rental fee. The duration of the lease and rental fees are agreed in advance. Ownership of the equipment remains with the Bank and only the usufruct is transferred to the client. The client is gifted the item at the end of the lease period based on a separate understanding taken by the Bank to gift the asset subject to certain conditions.

Insurance Provision - Family Takaful (Long Term)

The fund or funds to be maintained by an insurer in respect of its Long Term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

Insurance Provision - General Takaful (Insurance)

This includes net unearned premium, provisions for unexpired risks, outstanding claims reserve and IBNR reserve.

Life Insurance Business (Family Takaful)

Insurance business falling within the classes of insurance specified as Long Term Insurance, under the Regulation of Insurance Act No. 43, 2000.

Mudharaba

This is an agreement made between two parties. The Investor, who provides 100% of the capital for the project and the Mudharib manages the entire project using his entrepreneurial skills. The Investor has no control over the management of the project. Profits arising from the project are distributed according to a predetermined ratio. Losses are borne by the provider of the capital.

Net Earned premium

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

Premium (Contribution)

The consideration payable by the insured for an insurance contract.

Retakaful (Reinsurance)

Transfer of all or part of the risk assumed by an insurer under one or more insurance to another insurer, called the re-insurer.

Risk-Based Capital

A "Risk Based" approach to assess the Capital Adequacy, determined as per Solvency Margin (Risk-Based Capital) Rules 2015.

Risk Based Capital (RBC)

An amount of capital based on an assessment of risk that the company should hold to protect the policyholders.

Shari'ah

Is the code of law for the Islamic way of life which has been derived from the Quran and the Sunnah (The Practice of the holy Prophet Muhammad - Peace be upon him).

Shari'ah Advisory Council (SAC)

This comprises of Shari'ah Scholars or/ and well versed personnel in Shari'ah, which ensures Shari'ah compliance in the operations of the Company. The SAC advises the Company on all Shari'ah matters in its business activities and involves in endorsing and validating relevant documentation, such as products manuals, policy terms and conditions, marketing materials, sales illustrations, etc.

Surrender

The act of canceling of an insurance contract before it reaches its date of maturity.

Takaful

Is an Arabic word, which means "guaranteeing each other". It is a system of risk management based on the principle of mutual assistance (TA-AWUN) and contributions (Tabarru) where the risk is shared collectively by the Group voluntarily.

Underwriting

The process of selecting which risks an insurance company can cover, and deciding the premium and terms of acceptance.

Unearned Premium/Unearned Premium Reserve

It represents the portion of premium already entered in the accounts as due but which relates to a period of risk subsequent to the balance sheet date.

Written Premium

Total premium received or due from all insurance contracts during a period.

NOTICE IS HEREBY GIVEN NOTICE IS HEREBY GIVEN that the 04th Annual General Meeting of Amāna Takaful Life PLC will be held on 14th July 2020 at 11.30 a.m. at the board room of Amāna Takaful PLC, No 660 - 1/1, Galle Road, Colombo 03, via Audio/Video (Virtual AGM) for the following purposes:

1. To receive and consider the Annual Report of the Board of Directors on the affairs of the Company for the year ended 31st December 2019 and the Report of the Auditors thereon.
2. Appointment of Directors subsequent to the last Annual General Meeting in terms of Article 24 (2) of the Article of Association of the Company.
 - a. Mr. Syed Rizwan Hussain being eligible offers himself for re-election as a Director of the Company
3. Re-election of Directors by Rotation in terms of Article 24 (7) of the Articles of Association of the Company
 - a. Mr. Ammar Shafik Kassim being eligible, offers himself for re-election as a Director.
 - b. Mr. Mohamed Rizwan Mohamed Nayeem being eligible, offers himself for re-election as a Director.
4. Re-election of Directors in terms of section 210 of the Companies Act no 7 of 2007
 - a. Mr. M. H. M. Rafiq who is over 70 years of age does not offer himself for re-appointment, and have notified his intention of stepping down from the board.
 - b. Dato' Mohd Fadzli Yusof who is over 70 years of age does not offer himself for re-appointment, and have notified his intention of stepping down from the board.
5. Appointment of Auditors, M/s. Ernst & Young, Chartered Accountants for the ensuing year and to authorise the Directors to determine their remuneration.
6. To pass the following Special Resolution to Amend the Articles of Association with the inclusion of Article No. 21(3) to the Articles of Association as follows:
21(3) "Notwithstanding any provision in this articles suggesting the contrary, a meeting of Shareholders may be held by means of Audio, or Audio and Visual communication by which all shareholders participating and constituting quorum can simultaneously hear each other throughout the meeting , or by any means of Virtual meeting whereby Shareholders regardless of their location could connect or linkup online through Video/Audio/Text."

By Order of the Board,
AMĀNA TAKAFUL LIFE PLC



MANAGERS & SECRETARIES (PRIVATE) LTD.

Secretaries
20 May 2020

Notes :

1. A member entitled to attend and vote at the above meeting is required to complete and submit a pre-registration form in order to ensure participation at the AGM of the Company. Only members of ATLL are entitled to take part at the AGM of ATLL.
2. A Pre-registration form is enclosed for this purpose to be completed by ATLL Shareholders only
3. A member entitled to attend and vote at the above meeting is entitled to appoint a proxy to attend and vote in his/her behalf. A proxy need not be a member of the Company.
4. A form of proxy is enclosed for this purpose.
5. The instruments for registration and appointing a proxy must be completed and deposited at the Registered Office of the Company, No. 660, 1/1, Galle Road Colombo 03, , or e-mailed to "agm.atlife@takaful.lk" not less than forty eight hours prior to the time appointed for holding the meeting.

[illegible]

I/We the undersigned

bearing NIC No , of

being a member/members of Amāna Takaful Life PLC, hereby appoint

..... of

Bearing NIC No.or failing him

Mr. Osman Kassim of Colombo or failing him

Dato' Mohd. Fadzli Yusof of Malaysia or failing him

Mr. M.H.M. Rafiq of Colombo or failing him

Mr. A.S.Kassim of Colombo or failing him

Mr. M.R.M.Nayeem of Colombo or failing him

Mr. Syed Rizwan Hussain of Pakistan

as my/our proxy to represent me/us and * to vote for me/us on my/our behalf at the Annual General Meeting 2019 to be held on 14th July 2020 at 11.30 a.m. and at any adjournment thereof and at every poll which may be taken in consequence thereof.

Please mark your preference with "X".

	For	Against
(1) To, receive and consider the Annual Report of the Board of Directors on the Affairs of the Company for the year ended 31st December 2019 and the Report of the Auditors thereon	☐	☐
(2) To re- elect Mr. Syed Rizwan Hussain as a Director of the Company,subsequent to the Last Annual General Meeting.	☐	☐
(3) To re-elect Mr. Ammar Shafik Kassim as a Director of the Company,who retires by rotation and has offered himself for re-election.	☐	☐
(4) To re-elect Mr. Mohamed Rizwan Mohamed Nayeem as a Director of theCompany, who retires by rotation and has offered himself for re-election.	☐	☐
(5) To re-appoint the retiring auditors M/s. Ernst & Young, CharteredAccountants for the ensuing year and authorize directors to determine their remuneration.	☐	☐
(6) To pass the Special Resolution to Amend the Articles of Association.	☐	☐

As witness my/our hands this day of 2020

.....
Signature

INSTRUCTIONS AS TO COMPLETION

1. In order to appoint a proxy, this form shall in the case of an individual be signed by the shareholder or by his/her Attorney and in the case of a company/corporation, the form of proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
2. The full name and address of the Proxy holder and of the Shareholder appointing the Proxy holder should be entered legibly in the form of proxy.
3. The duly completed form of proxy must be deposited at the Registered Office of the Company at
No. 660, 1/1, Galle Road Colombo 03, not later than 48 hours prior to the time appointed for the holding of the meeting.
4. In the case of a proxy signed by an Attorney, the relevant Power-of-Attorney or a certified copy thereof should also accompany the completed form of proxy and must be deposited at the Registered Office of the Company.

Name of the Company

Amāna Takaful Life PLC

Legal Status

Public Quoted Company with Limited Liability
incorporated in Sri Lanka on 10th July 2014.

Company Registration Number

PB 5202 PQ

Tax Payer Identification Number (Tin)

139052021

Stock Exchange Listing

The shares of the Company are listed in the Second Board of the Colombo Stock Exchange, Sri Lanka on 18th August 2016. Stock Exchange Code for Amāna Takaful Life PLC shares is 'ATLL'.

Directors

Mr.Osman Kassim (Chairman)

Dato' Mohd Fadzli Yusof

Mr. M.H.M. Rafiq

Mr. R. Gopinath (Resigned w.e.f. 1st December 2019)

Mr. M. Fazal Ghaffoor (Resigned w.e.f. 30th November 2019)

Mr. Ammar Kassim

Mr. M.R.M. Nayeem

Mr.D.A Wijesundera (Resigned w.e.f. 6th January 2020)

Mr.Syed Rizwan Hussain (Appointed w.e.f. 2nd October 2019)

Registered Office

No. 660 - 1/1, Galle Road, Colombo 03,
Sri Lanka

Auditors

Ernst & Young Chartered Accountants

Secretaries

Managers & Secretaries (Pvt) Ltd

Reinsurance Panel

Hannover Re

Munich Re

Consultant Actuaries - Long-Term Insurance

Actuarial Partners Consulting Sdn Bhd Suite 17.02
Kenanga International Jalan Sultan Ismail 50250 Kuala
Lumpur, Malaysia

Shariah Advisory Council

Mufti M.I.M. Rizwe - Chairman

Mufti Shafique Ahmed Jakhura - Member

Ash-Sheikh Murshid Mulaffar- Secretary

Chief Executive Officer

Mr. Gehan Shivantha Rajapakse

Principal Bankers

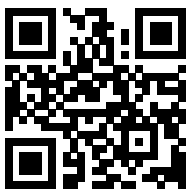
Amāna Bank PLC/Pan Asia Bank/National

Development Bank/Bank of Ceylon

Commercial Bank/Sampath Bank/Hatton

National Bank/Nations Trust Bank

Deutsche Bank/MCB Bank



Amāna Takaful Life PLC
660-1/1, Galle Road, Colombo 03, Sri Lanka

www.takaful.lk